Sōkyū-ō Soba Zenshū

Complete Collected Works on Markets
by Master Sōkyū

宗久翁相場全集

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An Annotated Edition of the
Rice Trading Teachings of

本間宗久
Honma Sōkyū (1717–1803)

Collated, annotated, and edited by
早阪二菊
Hayasaka Nikiku

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Edited and produced by Zach Booth
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The complete methodology—including OCR transcription, working translation files, and LaTeX source—is available at https://github.com/groverburger/soba-hidensho.

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About This Edition

This is the first English translation of the *Sōkyū-ō Soba Zenshū*. The original is a Meiji-era (1910) annotated edition of Honma Sōkyū's rice-trading writings, compiled by Hayasaka Nikiku from the Honma family's autograph manuscript and various circulating hand-copies. The translation was produced in two mechanically-separated stages:

1. Transcription. The printed Meiji edition was passed through NDL 古典籍OCR-Lite, a specialist OCR toolchain released by Japan's National Diet Library. This step is purely mechanical: the model reads pixels, not meaning.

2. Translation. The OCR output was then rendered into English with AI assistance (Claude Opus 4.6, Anthropic), working from the mechanical transcription and consulting the manuscript images only to sanity-check OCR artifacts.

How to Read This Translation

This book has a distinctive two-layer structure. Sōkyū's own words — the original Edo-period trading instructions — appear in **tinted boxes with a red left border**, presented first in Japanese and then in English translation. Hayasaka's Meiji-era commentary (釋, *shaku*) follows in regular body text, introduced by a COMMENTARY label. This visual distinction is editorial: the source text interleaves the two voices without typographic differentiation. Footnotes marked "*Translator's note*" provide additional historical context.

Structure of the Text. The front matter comprises a preface by Hayasaka, a brief biography of Sōkyū in classical Chinese, and a description of the Sakata Rice Exchange's trading customs. The body consists of 158 numbered articles across two volumes (Upper, 73 articles; Lower, 85 articles), followed by historical price records. Article lengths vary enormously: some are a single sentence, others span several pages.

On the Missing Page. Page 88 of the source is absent from the NDL scan (marked 欠, "lacking"), taking with it the body text of Lower Volume Articles 67–84. Only the table-of-contents entries survive.

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Translator's Introduction

The *Sōkyū-ō Soba Zenshū* (宗久翁相場全集), or "Complete Collected Works on Markets by Master Sōkyū," is one of the foundational texts of Japanese market analysis.[1] It preserves the trading teachings of Honma Sōkyū (1717–1803), the legendary rice speculator of Sakata, Dewa Province, whose methods on the Osaka Dōjima and Sakata exchanges are considered among the earliest systematic approaches to market analysis anywhere in the world.

Who Was Honma Sōkyū?

Honma Sōkyū — known in his lifetime as Honma Kosaku (本間古作) — was born in 1717 into a farming family in Tagawa district, Dewa Province (modern Yamagata Prefecture). Adopted into the powerful Honma merchant house of Sakata, he observed rice price movements for years before experiencing what the biography in this volume calls a "sudden, sweeping enlightenment" (一旦豁然有所悟焉). From that point forward, his trades on the Sakata exchange were unfailingly profitable. He later moved to Osaka — the national center of the rice futures market — where he again amassed enormous wealth, and finally to Edo, where he entered the service of the Rinnō-ji-no-miya at Ueno. He died in 1803 at the age of eighty-seven.

His writings circulated as secret transmission texts (相場秘伝書, *sōba hidensho*), copied and recopied among traders for generations. By the Meiji period, these hand-copies had diverged considerably, prompting Hayasaka's systematic edition.

[1] *Translator's note:* The edition translated here was published in April 1910 (Meiji 43) by Shingidō (信義堂) of Tokyo, collated and annotated by Hayasaka Nikiku (早阪二菊). Hayasaka's preface states that the base text is the Honma family's autograph manuscript, supplemented by dozens of additional articles from circulating hand-copies.

The Honma Corpus

A point worth surfacing before the text begins: Japanese scholarly consensus is that *no Edo-period autograph* of any work attributed to Honma survives. The chain of transmission runs from Honma's teachings, recorded in his lifetime by his student Kuzuoka Isoka (葛岡五十香); through late-Edo and Meiji hand-copies passing within the Honma family in Sakata; to Hayasaka's own 1900 manuscript held at Kōkyū Bunko (光丘文庫); and finally to the 1910 print edition translated here.[2] The book in your hands is one generation downstream of a Meiji manuscript, which is itself several generations downstream of whatever Honma actually wrote. The teaching is consistent across the surviving recensions, but the reader should not picture this as a transcription of Honma's hand. Treat it instead as the most carefully assembled witness to a tradition whose Edo originals are lost.

A reader new to the literature should also know that several distinct titles refer to essentially the same body of material. *Sōkyū-ō Hiroku* (宗久翁秘録) is the received core, a ∼157-section collection of aphorisms, position rules, and market psychology. *Sōkyū-ō Sōba Zenshū* (宗久翁相場全集) — this book — is Hayasaka's 1910 collation of the Hiroku plus annotation. *Shōnai Honma Sōkyū-ō Isho* is the 1900 manuscript ancestor named above. *Sōba Sanmai-den* (相場三昧伝) and *Sōba San'i no Den* (相場三位の伝) are the same aphoristic corpus under different titles — where they appear as separate works in catalogues, the apparent independence is bibliographic, not textual.

Three further titles often cited as "Honma's writings" have no textual basis and should be treated with suspicion. *Honsō Bakuna-ken* (本宗莫那剣) appears only as a disputed title; no manuscript has ever surfaced. *Sakata Senhō* (酒田戦法) is a twentieth-century umbrella term for chart doctrine, popularized by Shōwa-era brokerage marketing; there is no Edo book of that name, despite its appearance in English-language trading literature since Steve Nison's *Japanese Candlestick Charting Techniques* (1991). *Sakata Senjutsu* (酒田戦術) rests on a single preface-passage attestation in the Kōkyū Bunko manuscript claiming Honma compiled his memoranda into a book of that name in his later years; no such volume has ever been found. A fourth body of text, sold in English under titles like *The Fountain of Gold — The Three Monkey Record of Money*, belongs to a separate

[2] *Translator's note:* The 1900 Kōkyū Bunko manuscript — *Shōnai Honma Sōkyū-ō Isho* (荘内本間宗久翁遺書) — is the proximate ancestor of the present text and is freely viewable online via the ADEAC archive of Sakata City. The 1910 edition's preface is candid about the variant-reading problem; it is exactly Hayasaka's motivation for producing a systematic recension.

Edo tradition altogether: it is Ushida Gonzaburō's *Sanen Kinsen Hiroku* (Osaka/Ise lineage, 1755), translated in this project's companion volume.

Honma and the Candlestick Myth

Honma did not invent candlestick charts. The Nippon Technical Analysts Association dates the candlestick form to the Meiji 30s (1897–1906), roughly a century after Honma's death in 1803.[3] The pattern taxonomy English readers know as the "Sakata Five Methods" (酒田五法) was first compiled by Arai Teishirō (新井貞四郎) in his 1950 book *Sakata Senjutsu Shōkai* (酒田戦術詳解), drawing on Shōwa-era brokerage practice rather than any Edo source. Shōnai Securities — the Sakata investment firm in Honma's own hometown — notes plainly in their commentary on the *Sōkyū-ō Hiroku* that the text "contains no discussion of charts whatsoever" — in the original, チャートの話は一切ありません.

What Honma did leave, as preserved in the present book, is a discipline of position management and market psychology: when to enter, when to wait, how the crowd's mood inverts at extremes, how to read the rhythm of price exhaustion. The visual pattern apparatus that bears his name was attached to the legend long after his death.

The Two Voices

What makes this text unusual is its two-layer structure. Each chapter contains two distinct voices:

1. **Sōkyū's original text** — terse, oracular, imperative. He writes in the voice of a master transmitting secret knowledge to a disciple. His sentences are short, his maxims memorable: *"At two, close out; at three, fully ripe; at four, it turns."* He teaches by principle, not by explanation.
2. **Hayasaka's commentary** (釋) — analytical, discursive, pedagogical. Writing three centuries later, Hayasaka unpacks Sōkyū's compressed instructions for a modern audience. He gives hypothetical examples, cross-references other chapters, cites Western economists (including David Ricardo), and explains the now-vanished customs of the Sakata Rice Exchange.

[3] *Translator's note:* Steve Nison himself acknowledged this in *Beyond Candlesticks* (1994, p. 14), noting that his subsequent research indicated Honma "likely did not use candlestick charts." By that point the narrative was already in wide circulation in English.

In this edition, Sōkyū's words appear in tinted boxes to make the distinction immediately visible. The reader can follow Sōkyū's teachings as a continuous thread, or read each chapter complete with Hayasaka's gloss.

The Three-Position Tradition

At the heart of Sōkyū's method stands the *sanmi no den* (三位の傳), the "Three-Position Tradition." Its central formula — 二ツ仕廻、三ツ十分、四ツ轉じ, "At two, close out; at three, fully ripe; at four, it turns" — encodes a theory of market rhythm:

trends exhaust themselves in predictable stages. When a market has moved "two" (whatever the unit of observation), it is time to close; at "three," the move is fully mature; at "four," reversal is imminent.

Sōkyū supplements this with the Heavenly Stems calendar system (十干), in which each month is assigned a celestial stem, and the first four stems (kinoe through hinoto) signal rising markets while the remaining six signal falling. Whether this calendar method holds predictive power is beside the point for the modern reader; what matters is the underlying logic of cyclicality, exhaustion, and contrarian discipline that pervades every chapter.

Reading This Book

The text rewards both linear and selective reading. Articles 1–15 of the Upper Volume lay the philosophical foundation. The famous maxims — "leap into the fire," "plunge into the sea," "the lamp burns brightest before it dies" — appear in Articles 3, 4, and 35. The practical trading rules cluster in Articles 30–50 of each volume. The calendar and almanac articles (Lower Volume, Articles 27–36) are the most culturally remote but offer a window into Edo-period cosmological thinking about markets.

The Lower Volume's Article 48 contains perhaps the most celebrated maxim in all of Japanese trading literature:

"What seems too late is still early;
what seems still early is already too late."

— Zach Booth, 2026

Chapter 1

Preface and Front Matter

1.1 Preface (緒言)

The posthumous writings of Master Sōkyū are a book of lofty insight and striking perception, exhaustively explicating the methods by which one penetrates the subtleties of the market, leaving nothing to be desired. How fitting, indeed, that the master achieved such great success. Yet the original manuscript in the master's own hand has been kept under lock in the family's treasury, not easily seen by outsiders. Meanwhile, the hand-copies circulating in the world are rife with scribal errors — characters mistaken one for another, corruptions multiplying with each transcription. This not only does violence to the true meaning of the master's teachings but risks leading future students astray.

Troubled by this state of affairs, we earnestly petitioned the Honma family and obtained permission to transcribe the master's autograph manuscript. We further collated it against the various hand-copies in circulation, thereby supplementing several dozen additional articles. Moreover, where the text employs trade jargon or presents difficult passages, we have appended individual annotations to elucidate the meaning. The resulting work we have titled *Sōkyū-ō Soba Zenshū*. Now that it has gone to press, we offer these few words at the head of the volume to make clear its provenance.

April, Meiji 43 (1910). Hayasaka Yutaka.

1.2 Annotator's Notes (凡例)

One. This book takes as its base text the autograph manuscript held in secret by the master's family, corrected and supplemented by reference to the hand-copies in circulation, with annotations added in an effort to bring out the true meaning. Yet given the annotator's own limitations, we fear we may fail to convey even a tenth of the master's true intent. Particularly when it comes to the subtle art of market maneuvering (駈引 (*kakehiki*)) and the rhythm of trading — these are matters that no brush or tongue can fully exhaust. The reader is advised to seek the meaning beyond the words.

Two. All dates recorded in this book follow the lunar calendar (太陰暦 (*taiin-reki*)). Wherever the text says "this region" (當地 (*tōchi*)), it refers to the Shōnai district (荘内地方).

Three. The principles in this book may be applied in any region, but since the master based his arguments on the Shōnai district, a clear understanding of the text requires the reader first to comprehend the trading customs of the Shōnai rice merchants. This is precisely why we have included the customs of the former Sakata Rice Exchange (酒田米會所 (*Sakata Kome Kaisho*)) at the head of the volume.

Four. Anyone who wishes to grasp the subtle art of futures maneuvering (期米駈引 (*kimai kakehiki*)) must read this book through again and again, many times over. Do so, and in time one will naturally come to distinguish strength from weakness in the market and master the art of maneuvering. Above all, while one holds an open position, one must never neglect this reading — for to do so is to grow careless in one's attention to the market.

Chapter 2

A Brief Biography of Master Honma Sōkyū

> *Editor's note:* The biography that follows is written in classical Chinese (*kanbun*), the formal literary language of Meiji-era scholarly prose. It was composed by Hayasaka as a prefatory tribute.

The master's common name was Kosaku (古作). He belonged to the Honma (本間) clan, the great landholding family of Dewa Province, renowned throughout the realm as foremost farmers. In later years the master took up residence at Negishi in Edo, and thus the world knew his line as "the Negishi Honma." By nature quick and spirited, striking in his perceptions, he possessed an uncanny ability to read the signs of the market. In his advances and retreats he never erred by so much as a hair's breadth, and through the buying and selling of rice he amassed enormous wealth. That the Honma house today stands as the richest in all Japan is, of course, largely owing to the great efforts of its restorer Shirōsaburō (四郎三郎) — yet the master's supporting contribution was by no means small. To relate the master's career, we must first trace the origins of the main Honma family's fortune.

The Founding of the Honma Fortune

The Honma were originally surnamed Satō. Their ancestor, a man called Kyūshirō (久四郎), was a native of Sado. More than two hundred and fifty years ago he came to Sakata, destitute, and entered service as a retainer of a certain Honma household. This Honma family had lived in Sakata for generations, operating a shipping agency (*kaisen don'ya*), and was counted among the town's leading houses. Kyūshirō, quick and diligent by nature, devoted himself faithfully to his duties and quickly earned his master's deep trust, before long being elevated to chief steward.

It happened that the head of the Honma house was imprisoned on some charge, and he entrusted all affairs to Kyūshirō. Fearing above all to betray this trust, Kyūshirō threw himself into the work — from overseeing the entire shop to receiving its customers, he shouldered

every responsibility himself — and in the end preserved the house's reputation undiminished. When the master's innocence was established and he returned home, he found his assets undiminished and his credit intact as before. Greatly pleased, he rewarded Kyūshirō's service by bestowing upon him the Honma name and establishing a branch house under his charge. This was the founding ancestor of the present-day Honma fortune.

The lands of Shōnai enjoyed bountiful harvests year after year, and the price of rice was deeply depressed. Kyūshirō privately reasoned: though the paddies now yield abundantly and rice is cheap, when autumn passes into winter and buyers come competing, the price must surely rise. He committed his entire resources to purchasing spot rice (正米 (*shōmai*)). Sure enough, merchants from the various provinces came rushing to buy; demand outstripped supply, and the price leapt upward. Kyūshirō seized the moment to sell, and in a single stroke reaped enormous profit.

Sōkyū's Enlightenment

Master Sōkyū was born in the second year of Kyōhō (享保二年, 1717) in Niibori village, Tagawa district, Dewa Province. As a child he was adopted into the Honma house. When the second-generation head died and the young Shirōsaburō was still a child, Sōkyū assumed temporary charge of the household affairs and took up residence at Shimogura (下藏) — a corner of Sakata's Funaba-chō where the Honma family's warehouses stood.

The master reasoned: anyone who would grow rich through commerce must choose a trade with broad distribution channels and smooth transactions. The lands of Ryōu (兩羽) stretch across tens of *ri* of fine paddies, and Sakata possesses a rice exchange where large and fluid transactions take place. Surely the trade to pursue is the rice trade.

From that time he immersed himself in the principles governing the rise and fall of rice prices, observing with a broad eye the shifts in market sentiment (人氣 (*ninki*)). After several years, one day he experienced a sudden, sweeping enlightenment. From then on, whenever he traded rice — when he sold, prices fell; when he bought, they rose — there was nothing he undertook that did not yield profit. In short order he accumulated tens of thousands of gold pieces.

He later traveled to Osaka — the foremost rice market in all Japan — where he invariably seized the initiative before others could act; the brilliance of his dealings left traders of many generations gaping in

astonishment. He then proceeded to Edo, entered the service of the Rinnō-ji-no-miya at Ueno, and built a residence at Negishi. In old age he transferred the household to his adopted son Inoshirō (猪四郎). He died on the last day of the eighth month of Kyōwa 3 (享和三年, 1803) at his Negishi residence, at the age of eighty-seven. He was buried at Zuitoku-ji (隨徳寺) in Shitaya Sakamoto-chō.

Sōkyū and Zenbē

Few anecdotes of the master's life survive. Only this is told: while the master still lived at Shimogura in Sakata, there was a rice-pounder named Zenbē (善兵衛) who had speculated in rice, misjudged the market, and very nearly lost his entire fortune. The master sent a man to observe his situation. The report came back: he works bare to the waist, pounding rice, drenched in sweat. The master judged: this man can be helped. He summoned Zenbē and asked: "I hear you owe several hundred gold pieces, yet you pound only two or three mortars of rice a day. How do you expect to recover?" Zenbē answered: "I have a wife and children, and I cannot let them go hungry for even a single day. The rice-pounding merely sustains us. As for recovery — I have other hopes for the future." The master said: "I hear that you bought and lost. If you had capital now, would you buy or sell?" Zenbē replied: "I would still buy." The master said: "Good. I shall give you the capital. Buy at once and do not hesitate." Zenbē bought heavily, the price surged, and he recovered his fortune entirely.

Sōkyū once said to Zenbē: "The rice traders of Sakata are all blind to the art of reading the moment. I now entrust you with my strategy" — and he produced a single volume and gave it to him. That book is this book. Its value, then, need hardly be stated.

The master was born into a farming household. Through innate acuity and many years of practical experience he secured his success, enlarged the main family's fortune, and raised himself to the standing of a wealthy commoner ranked above the samurai class. More than a hundred years have passed since his death, yet he is still revered by rice traders. Can this be mere accident?

Chapter 3

Trading Customs of the Sakata Rice Exchange

In setting out the trading customs of the Sakata Rice Exchange (酒田米會所 (*Sakata Kome Kaisho*)), one must first say a word about Sakata's geography. Its western expanse faces the Sea of Japan and lies at the mouth of the Mogami River (最上河), giving it great advantage for water transport. The various lords whose domains border the Mogami — their tribute rice and domain-tax rice as well as merchants' private stocks — all of this was customarily shipped to this port and traded at the exchange's market. Rice from the Mogami, Yonezawa (米澤), and Shōnai regions converged on Sakata in quantities that at times exceeded several hundred thousand *koku*.

Merchants from Nagato, Izumo, Iwami, Shikoku, Kaga, Noto, and the Matsumae region each loaded their local products onto traditional sailing vessels (*wasen*), came to sell their goods, and purchased rice to carry home.

As is common in northern regions, from around the tenth month through the second and third months of the following spring, fierce northerly winds made navigation difficult. Despite fewer ships entering port, rice continued to flow out in volume, keeping the price low. Merchants from the various provinces therefore came in what was called "winter buying" (冬買 (*fuyugai*)) — purchasing spot rice and waiting for the first ships of spring to export it. The spot-rice trade thus flourished enormously, and the need for a rice exchange arose. The institution called the *Hozakata* (歩座方), the exchange proper, dates its founding to some hundred and forty or fifty years before the time of writing.

Shōnai Rice Certificates

Tracing their origin: in Genna 8 (元和八年, 1622), when Sakai Tadakatsu (酒井忠勝) was granted the Shōnai domain, he vigorously promoted agriculture and land reclamation, and rice production increased year by year. A chief retainer named Shibaya Buemon (柴谷武右衛門) vigorously reformed the domain's finances: he established domain granaries in both Sakata and Tsuruoka (鶴岡), requiring all tribute

rice to be delivered by the tenth month of each year. Against these deposits, rice certificates (*kome-fuda*) were issued. Samurai stipends were all paid in these certificates, and rice sold to merchants was likewise transacted through them. The certificates could be redeemed at any time for actual rice at the granary. The domain government supervised the system strictly while permitting the certificates to circulate freely on the market, treated the same as actual rice. Trading grew more vigorous with each passing year.

The Founding of the Exchange

The founding of the Sakata Rice Exchange originated in the trading of these rice certificates. The certificates possessed several key advantages: uniform quality, year-long redemption, and transfer by paper alone without physical inspection. Merchant ships purchased certificates through wholesalers in great numbers. Among the buyers were speculators (思惑人 (*omowaku-nin*)) who purchased when prices were low and sold when the market rose. As trading grew ever more active, the wholesalers agreed to establish a common marketplace. This was the origin of the Sakata Rice Exchange.

Key Exchange Terms

The November Contract (霜月限 (*shimotsuki-giri*)): the November delivery month, in which the contract rice is new-crop rice. Trading typically opened around the middle of the sixth month.

Tawara-up and tawara-down (何俵上げ / 何俵下げ): under the domain's system, rice prices were quoted as so-many bales (俵 (*tawara*)) of five-*to* capacity per ten *ryō*. One "lot" (一枚) was defined as one hundred *ryō* worth.

Margin calls (落引 (*ochibiki*)): the forfeit-or-extend decision on deposited margin money. The threshold varied with periodic revisions to the exchange rules: sometimes twenty tawara of price movement, sometimes forty. Under the exchange's system, profit-and-loss settlement could not be conducted until the contract month arrived. A margin call against one's position operated the same as an ordinary new trade.

Part I

Upper Volume (上卷)

Article 1: The Initial Entry

第一章　米商は踏出大切の事

In the rice trade, the initial entry (踏出し (*fumidashi*)) is of the utmost importance. When the entry is poor, one will invariably come to grief. One must not rush into a trade; to rush is the same as a poor entry. Whether buying or selling, when the impulse seizes you that today is the only chance, wait three days. This is the Tradition.

Consider well the oscillation of the rice market, weigh the position of the ceiling (天井 (*tenjō*)) and the floor (底 (*soko*)), and only then trade. This is the Three-Position Tradition (三位の傳 (*sanmi no den*)). Until the floor price has emerged, wait for months on end — consider the moment when the opportunity aligns, and then trade.

COMMENTARY (釋, *Shaku*): This is the general preface to Master Sōkyū's market method. The hundred and several dozen articles that follow may all be regarded as detailed elaborations of this opening statement.

The "initial entry" means the moment of committing to a trade. When one hesitates — shall I sell, or shall I buy? — and vacillates between the two, one enters the trade like a general whose strategic calculations are already deficient before the battle begins.

To fix one's assessment requires above all that one empty one's mind and calm one's spirit. It is for this reason that Master Sōkyū built a Zen meditation room behind his house and entered a state of contemplative absorption (*sanmai*). Yet when we market traders attempt to fix our assessment, there are demons that seek to cloud the mirror of our judgment. What are these demons? They are the spirit of haste.

First: the haste to profit — when one borrows money at high interest and, compelled by the repayment deadline, forces oneself to find an opportunity where none exists.

Second: the envy of another's success — so-called "jealousy buying" or "jealousy selling."

Third: the fury of repeated failure — when one trades recklessly out of frustration. Such madness is best cured by sitting in Zen meditation and driving out the demon.

Fourth: the conviction that today is the only chance. This is no demon at all; it is perfectly reasonable. And yet — experience shows that what we take for a true opportunity is often a false one wearing a mask. Therefore, wait three days. Suppress the impulse to rush, calm oneself, and consider: is this a trending market (伸相場 (*nobi sōba*))? A consolidating market (保合 (*mochai*))? Or a range-bound market (通相場 (*kayoi sōba*))? Then weigh the crop conditions, the volume of old rice, the quality of the wheat harvest, the movements of the major players; determine whether the current price stands at the ceiling, the floor, or a middle level; and only when one's conviction rings true within one's breast should one commit. It is never too late.

> *Article 1 (continued)*
>
> "One must not rush a trade" means: watch for the ceiling price and the floor price. "The initial entry is of the utmost importance" means: what emerges often lies beyond what one expected. When one knows the ceiling and the floor, one trades profitably and without loss. When a trade is profitable, resist greed; use a hundred-tawara rise as the benchmark and take profits. Close the trade and rest for forty or fifty days. "To rest" means: to watch for the floor price. Consider all sides carefully and put this into practice.

Commentary: The ceiling typically rises more than a hundred tawara above the floor. Using this hundred-tawara measure as the standard, one can gauge whether a ceiling or floor is forming. In most cases, a hundred-tawara swing marks the ceiling or floor; when one sees the signs, one should promptly take profit. After closing the trade, withdraw and rest quietly for forty or fifty days, and wait for the next ceiling or floor to appear.

This instruction to rest for forty or fifty days after closing a trade is indeed golden counsel. One can ride success and increase one's positions, but to take profit and then *rest* — this is what is truly difficult. Looking at the world's failures, eight or nine out of ten come from traders who pile on more positions heedless of the extremity of the price, only to be caught by the reversal in sentiment and suffer sudden, catastrophic loss. This is why the master returned again and again to this admonition.

Article 2: Monthly Rhythms in a Falling Market

第二章　下相塲月頭強く月末弱き事

In a falling market, rice is strong at the opening of the month and declines through the twenty-ninth and thirtieth. In a rising market's range-bound oscillation, the month opens weak and the end of the month is strong, with a sharp upward thrust. Sell positions held through the fifth month may be carried, at one's discretion, through the twenty-ninth before closing. But any sell position in the sixth month must be closed cleanly (*sappari*) by the twenty-first, without exception.

COMMENTARY: This chapter describes the broad pattern of a falling market after a ceiling has been reached. Sell positions through the fifth month may be carried to month-end at one's discretion, but the sixth month brings the approach of the storm season, when prices tend to rally; therefore sell positions should be closed as early as possible.

Market sentiment retains the memory of the recent high ceiling price. The popular feeling of "prices were high" is deeply imprinted in people's minds, and the new low price inspires a vague impulse to buy. Particularly in a falling market after a ceiling has been struck, each month opens at a discount to the previous close — a pattern that tempts buyers at the month's opening. Prices briefly advance but, lacking any supporting developments, the market grows heavy. From mid-month into the latter part, buying thins out and bearish sentiment takes hold.

One point requires particular attention. After two or three months of month-opening strength followed by month-end weakness, if at month-end the expected decline fails to materialize and instead the month closes *high*, take careful note. Such a market sometimes marks the bottom — from which prices promptly break upward the following month.

Article 4: On the Resolve to Plunge into the Sea When Everyone Shares the Same Outlook

第四章　人も同じ見込の節海中へ飛入る心持の事

When rice has been falling steadily, when there is no change in the 上方 (*Kamigata*) market, when rumours abound that domain rice (拂物 (*haraimono*)) from the provinces and from 最上 (*Mogami*) is plentiful, when market sentiment (人氣 (*ninki*)) is uniformly bearish, and when even one's own judgment inclines toward weakness with no telling how far prices may fall—at precisely that moment, reverse one's thinking and buy. This resolve requires the spirit of plunging into the sea. It is an exceedingly unpleasant feeling, yet at that moment one must not give rise to doubt: buy. This is supremely profitable. When one expects a decline and the market obliges, it is easy enough; but when sentiment leans entirely toward decline, the market perversely rises, and one's calculations avail nothing. The same applies in the opposite direction. This spirit of plunging into the sea is the innermost secret.

Commentary: Mogami refers to the collective name for what is now the Murayama and Mogami districts. *Haraimono* denotes the official disposal rice (御拂米 (*ohara-mai*)) of the various domains, all of which was customarily shipped to the port of 酒田 (*Sakata*) for sale—a point already noted at the opening of this volume.

The previous chapter explained selling when sentiment has swung unanimously to the buy side; this chapter explains buying when sentiment has swung unanimously to the sell side.

When sentiment has tilted entirely toward selling and one's own sympathies likewise favour the sell side, one must absolutely not sell. At such a time, one should summon the great courage of one who plunges into the sea and turn to the buy side. The reason is this: the phenomenon of unanimously bearish sentiment, seen from one angle, means that sellers have sold to the absolute limit—the season when profit-taking (利喰 (*rigui*)) must soon emerge is at hand. And since everyone, without exception, has piled onto the sell side, the subtle mechanism of a reactive upward turn is already in motion. However, what the master teaches here applies to cases where both the number of months and the price level have ripened. It must not be applied when the months and days are still young. 慈雲齋 (*Jiunsai*) also says as much:

"Whether rising or falling, ride the move at five parts or one-tenth; know that at two- or three-tenths, the market reverses."

"Whether rising or falling, at five parts or one-tenth the ride is good; past the midpoint, riding is foolish."

Together with this chapter, these are worthy admonitions.

Article 5: On Rice That Consolidates from Winter through the First and Second Months

> 第五章　冬より正二月迄持合ふ米の事
>
> Rice that holds in consolidation (持合 (*mochai*)) at the floor price from mid-winter through the first and second months will, from the third and fourth months into the fifth and sixth, assuredly rise.

Commentary: When prices were high the previous year and then declined for three months or more through January of the following year, this is a market that fell because the previous year's harvest was abundant, the autumn supply was ample, and bearish drift (ダラダラ (*daradara*)) was chanted to exhaustion. With no immediately bullish factors in sight, and particularly when the winter weather is unobjectionable, sellers appear early in anticipation of fine equinox weather, and for a time low prices will persist. This low price often becomes the year's floor price (底直段 (*soko nedan*)). One should therefore consult the chart (*keisen-hyō*), examine the number of months elapsed and the proportional extent of the decline, weigh these against external conditions in the broader economy, and resolve to buy. This is what is called the buying opportunity (買時機 (*kai-jiki*)). The reason is that in such calm, uneventful years, the market has already exhausted whatever decline it could produce. Even at the equinox—a time when prices ought to fall—they do not fall; and whenever the weather turns the slightest bit unfavourable, buying driven by hasty profit-taking and the like emerges, gradually lifting prices. On top of this, as the sixth month approaches and the planting season presses near, if the weather is unpromising, short-covering by sellers and fresh buying appear, producing unexpectedly high prices. This sometimes marks a temporary ceiling (一ト天井 (*hito-tenjō*)), so one must study the number of months and the proportional move to determine whether it is indeed the ceiling price.

Article 6: On Markets That Fall Sharply and Rise Sharply

第六章　急に下げ急に上る相場の事

In a market that falls sharply and rises sharply, the time limit for the ceiling and floor cannot be fixed in advance. One must judge the moment and close out the trade (手仕廻 (*teshimai*)). At such times: "At two, close out; at three, fully ripe; at four, it turns"—this is the secret tradition of the Three Positions (三位の秘傳 (*sanmi no hiden*)).

COMMENTARY: The best standard for determining the ceiling and the floor is to observe whether the number of months and the proportional move have ripened or not. However, there is an exceptional case: namely, the market described in this chapter—one that rises sharply or falls sharply. This is what is called a fast-ripening market (早熟相場 (*sōjuku sōba*)). It reaches its ceiling or its floor without regard to the number of months or days. Therefore, if a trade (商内 (*akinai*)) shows a profit, one should close it out at a reasonable point. The guiding principle is to keep in mind the rhythm of "at two, close out; at three, fully ripe; at four, it turns"—release one's position, observe with a calm and level mind as the market ripens fully, and then strike at the reversal.

This chapter explains the approach to markets that form an exception to the calendar rule.

Article 7: On How to Read Rice at the Ceiling Price from Winter through the New Year

第七章　冬より正月迄天井直段の米見様の事

Rice at the floor price through mid-winter and the New Year should rise by the fifth and sixth months.

Rice at the ceiling price from mid-winter through the first and second months should fall by the fifth and sixth months. When it falls fully in the fifth month, it will surge upward in the sixth. If it does not fall in the fifth month, it will assuredly break in the sixth—of this there is no doubt.

> Rice at the floor price through the seventh, eighth, ninth, and tenth months should be expected to rise by the twelfth month.

COMMENTARY: This chapter should be read in three sections. The first section has already been explained in detail in the preceding chapter, so we proceed directly to the second section.

Rice that has continued rising from the previous year owing to poor harvest and reached its ceiling price by around the twelfth or first month: even after physical rice from the supplying regions, drawn by the high price of the futures contract, has come to market in fair volume, sentiment remains buoyant because people remember the previous year's crop failure and continue buying on nostalgia. It does not collapse easily. Nevertheless, in such circumstances one must not forget the sell policy appropriate to a ceiling-price consolidation (天井保合 (*tenjō mochai*)) following a poor harvest. The reason is that such nostalgic buying cannot last forever. By the fifth month, the wheat harvest is average, the weather is not unfavourable, and moreover the poor-quality rice from the previous year's bad crop risks spoilage in the warm weather. The rush of rice-holders to sell, among other factors, produces a major break.

However, when the decline is excessive, a sharp upward reaction may occur into the sixth month, so one should take note. Next, let us explain the third section.

A floor price in the eighth or ninth month arises in a year when the weather since spring has been unobjectionable, when the wheat harvest has been proclaimed bountiful, and when prices have gradually declined. Occasionally a rumour of flooding in one or two provinces produces a small rebound, but on the whole, when post-planting weather has been good and the midsummer heat (土用 (*doyō*)) has been ample, farmers sell their stored rice with confidence and merchants adopt a policy of refraining from buying, making it difficult for purchases to advance. Prices drift lower into the 盆 (*Bon*) season; and as everyone, anticipating an abundant harvest (豐年萬作 (*hōnen mansaku*)), joins in chanting bearish drift, the year's floor price sometimes appears. At such a juncture, one should decidedly buy. Because sentiment is leaning uniformly toward the bearish side, a minor storm warning of low intensity will scarcely disturb confidence. But while things stand thus, a rumour of insect damage in a nearby province emerges, or a typhoon strikes, or an early cold spell arrives—some trivial event becomes the catalyst, and prices gradually advance. By around the eleventh month, word spreads of

insufficient sickle-entry (鎌入不足 (*kamairi-fusoku*)—meaning inadequate harvesting), or of unsettled autumn-drying weather, and prices climb ever higher. On top of that, complaints that producing regions find the futures price unprofitable, or that producers are withholding stock, and various other circumstances converge, tightening the market relentlessly. Short-covering by sellers (煎米 (*iri-mai*)) and bullish buying pressure drive prices naturally upward through the eleventh and twelfth months. However, a market that has risen on these circumstances often reaches a temporary ceiling around the twelfth or first month, so great attention is required.

Article 8: On Ceilings in the Seventh through Tenth Months, and the Summer Decline

第八章　七、八、九、十月天井及夏下げの事

Rice at the ceiling price in the seventh, eighth, ninth, or tenth month should be expected to decline by the twelfth month. In a year when speculative positions (思入 (*omoiire*)) are large, the summer decline (夏下げ (*natsu-sage*)) will assuredly occur.

COMMENTARY: Generally speaking, a ceiling price in the seventh, eighth, ninth, or tenth month is, in most cases, the result of natural disasters such as storms and floods during the summer, or else a temporary high produced by the thinning of supply at the crop boundary (端境 (*hazakai*)). Thereafter, once the weather recovers and crop prospects are reassessed upward, and as the high prices previously attracted physical rice from various regions, futures too gradually decline. Then, as the harvest approaches and the prospect of ample new-crop intake becomes clear, farmers in the countryside begin to contract forward sales of new rice at low prices to merchants. Physical rice in the various regions falls first, and the resulting impact on futures—including liquidation by the bull side—produces an unexpected decline. The subsequent phrase, “In a year when speculative positions are large, the summer decline will assuredly occur,” carries the same meaning as the second section of the preceding chapter.

Article 8 (continued)

> This is the fourth sub-section of the chapter, continuing from the previous one. It explains the pattern of the rise from the floor price (底直段 (*soko nedan*)) to the ceiling, and then describes the consolidation (保合 (*mochai*)) at the ceiling in the spring following a poor-harvest year.

To illustrate the pattern of a market rising from the year's floor price: this market falls five tawara (俵 (*tawara*)) and then rises ten, falls ten tawara and then rises twenty—oscillating upward in this fashion, pressing higher from around the eighth month through the first month of the following year, grinding upward for five or six months until it produces the ceiling price. In an ordinary year, when this ceiling is struck, the market drops sharply. In an extreme poor-harvest year, however, sentiment is so taut that the market may hold in consolidation near the ceiling for two or three months without falling. Even so, from around the ceiling month (the first month) and the month following (the second month), the tone softens slightly, and by the fourth or fifth month—because rice is dear and therefore unprofitable—buyers (referred to as "ships": Sakata being a port town, buyers were largely from the shipping trade) grow reluctant. Then, when the sixth month brings fair weather and the midsummer heat (土用 (*doyō*)) bears down, sentiment turns worse. In particular, the sixth month brings anxiety over rice spoilage and measure-loss (桝減り (*mashiberi*)), and it is also the opening month (發會 (*hakkai*)) of the new November contract (新甫十一期); for all these reasons, amateurs (*shirōto*) and out-of-town long holders alike rush to close their positions, and the market crashes seventy or eighty to as much as a hundred tawara.

Article 9: On Maneuvering in a Poor-Harvest Year

> 第九章　不作年駈引の事
>
> When in this region the sixth and seventh months are rainy and cool, the weather persistently chilly, and clear skies rare, the harvest in this area and neighbouring provinces will be extremely poor. Moreover, in Kyushu, the western provinces, the 中國 region, the Home Provinces (五畿内 (*Gokinai*)), the 東海道, and the northern interior (奥筋 (*Okusuji*)), weather and crop conditions differ from year to year. The northern provinces may have a good harvest while the western provinces fail, or

> the western provinces may prosper while the Kanto fails. Although in most years conditions roughly follow those of one's own province, there are exceptions. Consider this carefully.

COMMENTARY: This chapter can be divided into several sections. The present section describes the method of using local crop conditions as a basis for surveying the national harvest outlook. Because the explanation here takes the 荘内 (*Shōnai*) region as its base point, "this region" (當地 (*tōchi*)) should be understood accordingly.

In general, the sixth and seventh months of the lunar calendar are an extremely critical season for the growth of rice plants (稲草 (*inakusa*)). Abundant sunshine and scorching heat are required. If rainfall is frequent and the air feels cool—the kind of unseasonable weather where one wears padded garments during the midsummer *doyō* period—then one should know that the harvest in this area and the neighbouring provinces will be extremely poor. Furthermore, although it is the same Japan, differences in the orientation of mountains and seas, in ocean currents, and in meteorological conditions mean that weather patterns and consequently crop yields vary to some degree among Kyushu, the western provinces, Chugoku, the Home Provinces, the Tokaido, and the northern provinces—they are not uniform. And so, when crop reports come in from various regions, conflicting and contradictory, one sometimes finds it difficult to judge which to follow. The essential point is to use one's own province's crop conditions as the benchmark, fix the general picture in one's own mind, and remember that—northern provinces good harvest, western provinces poor; or western provinces good, Kanto poor—there are always year-to-year differences.

> *Article 9 (continued)*
>
> Furthermore, even when this region has had unsettled weather in the sixth and seventh months, and the rice stalks are short, the paddy surfaces appear concave, and the base growth looks thin, if the sun shines continuously from the end of the sixth month through around the twentieth of the seventh month, the outlook rapidly improves and shifts toward a good harvest. Moreover, between the sixth and eighth months, pay the closest attention to the severity of natural disasters—typhoons, floods, and insect infestations. This applies not only to this region but above all to Kyushu and the Kamigata region.

This section is the second part, explaining how to read the condition of the rice plants. Now then: when unsettled weather persists in the sixth and seventh months, and looking out over the paddies one sees that the rice stalks are short, that the fields appear concave, and that the base growth looks thin (in a bountiful year the paddy surface appears convex), if sunshine continues through the end of the seventh month, the outlook rapidly improves toward a good harvest. Also, the period from the sixth through the eighth month is called the natural disaster season, a critical time for the growth of the rice plants. Not only in this region, but in all provinces, one must pay careful attention to the occurrence and extent of natural disasters.

> *Article 9 (continued)*
>
> Now, the November contract (霜月限 (*shimotsuki-giri*)) new trading: taking into account old rice and reports of the year's crop, trading opens (發會 (*hakkai*)) fifty to sixty or up to one hundred tawara (俵 (*tawara*)) below the old-rice price. From that opening, a further decline of forty or fifty tawara is rare. Because trading opens based on the year's estimated harvest, in most years the price settles just ten to twenty or thirty tawara lower, and depending on the year's developments it turns upward. If the Kamigata region or this area suffers poor harvests or natural disasters, a sharp rise may occur from the time trading opens in the sixth month. In any event, each year the severity of the crop failure, the quantity of stored old rice, and conditions in Kyushu and the various provinces determine the price movements in 大坂 (*Ōsaka*), which then produce corresponding movements here. One must not be complacent. Truly, the variations are without limit.

Commentary: This is the third section, describing the normal pattern of new trading each year. The November contract new trading (*shimotsuki-giri shin-akinai*) refers to the November-delivery contract. By long custom at the 酒田米會所 (*Sakata Kome Kaisho*), trading in the new-crop November contract was opened from the first or last ten days of the sixth month.

Now, as for the pattern of the market at its formation: in an ordinary year, based on the wheat harvest outlook and the state of the growing rice plants, the November contract opens at a discount of roughly fifty to sixty tawara per hundred *ryō*—that is, five to six or up to ten tawara per ten-*ryō* unit—below the old-rice price. However, it is extremely rare for the price to fall a further four or five tawara from its opening

level. In most cases, after declining one, two, or three tawara, it finds a floor and turns upward. The reason is that the sixth month of the lunar calendar is not only the onset of the natural disaster season, but also because the rice plants' growth outlook, to the extent it is good, has already been discounted into the low opening price—hence the price cannot be driven much further down.

> *Article 9 (continued)*
>
> When the ceiling price emerges in mid-winter, it is because both the local region and the 上方 (*Kamigata*)—along with neighboring provinces—have suffered natural disasters or crop failure from cold weather. Both Osaka and the local market have risen to the point where no one knows how much further they may climb. After five or six months of grinding higher, with ten, twelve, or thirteen consecutive days of people clamoring and the atmosphere crackling with tension—this is the year's full ceiling price. One should regard it with alarm and never let one's guard down. Sell with the resolve of one leaping into fire; great profit is beyond doubt. Though this is exceedingly difficult to execute, if one rolls one's position forward month after month for five or six months, great profit is beyond doubt. After this ceiling has appeared, it is well to observe the market for about ten days until it settles, and then sell into it. Apart from this, when one establishes a speculative sell position at other times, unexpected rallies invariably come and losses are certain. One should always be on guard against this.

COMMENTARY: This sub-section explains the proper mindset for selling at the ceiling price. "Natural crop failure" (自然の不作) refers to poor harvests caused by cold weather.

To describe what it looks like when the ceiling price emerges in mid-winter: beforehand, both the local region and the Kamigata have experienced typhoons and other natural disasters, or cold weather has produced crop failure. As a result, both Osaka and the local market have been rising steadily, grinding upward for five or six months, until sentiment reaches a state where no one knows how much further prices may climb. On top of this, ten or twelve or thirteen more days of advances pile on, and bulls and bears alike join together in a frenzy. When this happens, it is the year's absolute highest price—the great ceiling (大天井 (*ōtenjō*))—and the finest possible selling opportunity. One should regard it with alarm and never let one's guard down. The

instruction is to sell with the resolve of one leaping into a fire. After the great ceiling has been struck, the market will continue falling month after month for five or six months; therefore, if one rolls one's position at intervals over that span, great profit is beyond doubt. That said, to sell into the great ceiling itself requires either a thoroughly seasoned trader or extraordinary resolve, and so the text advises: after the ceiling, observe carefully for five or six days, up to ten days, and then sell into the second peak—the so-called "second mountain" (二の山 (*ni no yama*)) in common parlance.

In truth, the only sure-win opportunity is the case where the market has overshot—the ceiling price has run to a point out of line with all other regions. Markets are, by their nature, eight parts bullish, and therefore establishing speculative sell positions during a consolidation (持合相場 (*mochai sōba*)) is inadvisable: unexpected rallies come, and losses are frequent. One should keep this in mind at all times.

> *Article 9 (continued)*
>
> From the first appearance of new rice, the market rises through range-bound oscillation (通高下 (*kayoi takasage*)); therefore, when rice is trending upward, one must not reckon with the abacus. Buy on each dip within the oscillation, target a hundred-tawara rise, and understand that a margin call (落引 (*ochibiki*)) of about two rounds marks the limit of one's buying.

Commentary: This sub-section teaches that once the floor price of new rice has been identified, one should adopt a buying stance and hold to it through the intervening oscillations without wavering, and moreover, that when the market has taken on an upward momentum, one must never trade against it.

In essence, the new contract (*shinsho*) rises gradually from around the opening (發會 (*hakkai*)) through range-bound oscillation. This is termed the "natural rise." Because such a market leads physical rice on the strength of prevailing conditions, one must not compare prices against other regions, nor measure the spread against physical rice and complain of unprofitability—one must not sit with the abacus and calculate. It is reasonable to expect a rise of roughly twice the margin deposit (證據金 (*shōko-kin*)); buy on each dip and accumulate. In the course of such a rise, breakaway gaps will also narrow, so one may continue accumulating even if margin calls come twice on the losing side.

The phrase “about two rounds of margin calls” means being called for additional margin (追證據金 (*tsui-shōko-kin*)) twice. For the full details, one should consult the section on margin calls in the “Customs of Sakata Rice Trading” at the front of the volume.

Article 9 (continued)

However, in a year when the harvest across the provinces is reasonable and the local crop is about eight parts in ten, the ceiling may come after a rise of only sixty or seventy tawara, depending on the year. As a rule, a hundred-tawara rise is the norm. But when Kyushu, the Kamigata, and the local region together suffer a harvest of four to five parts—a half-crop year—market sentiment heats up exceptionally. Visiting traders (旅人 (*tabibito*)) are a given, and everyone piles into speculative buying. Moreover, in such a poor-harvest year, farmhouse rice (内米 (*uchi-mai*)) is insufficient; even rice normally earmarked for domain tribute payments (郷方札納 (*gōkata satsu-nō*)), provisions (夫食 (*bujiki*)), and other normally uncommitted stocks gets bought up. The market is bid up without any reckoning until there is no arbitrage rice (乗米 (*nosei-mai*)) left relative to Osaka. One should pay close attention. In such cases, the rise is not limited to a hundred tawara but may reach a hundred and twenty or thirty, even a hundred and eighty tawara. Judging the moment is critical. Once the ceiling has appeared, one must not hold a long position no matter how convinced one may be. Should one mistakenly insist on being bullish, the loss will assuredly be ruinous—enough to overturn one’s entire fortune. This is the state where sentiment has climbed to the absolute extreme of bullishness: a hundred out of a hundred people believe prices will rise without limit, the fever pitch of euphoria carries the crowd, and the bulls multiply still further. One must exercise the strictest caution.

COMMENTARY: "A half-crop year of four or five parts" means a year when the harvest yields only four parts or about half the normal crop. "Visiting traders" (旅人) means traders who have come from various provinces—that is, out-of-town buyers. "Farmhouse rice" (内米 (*uchi-mai*)) is rice held at the farm itself. "Domain tribute payments" (郷方札納) is the tax rice farmers deliver to the domain government. All of these terms are explained in the "Customs of Sakata Rice Trading" at the front of the volume.

That said, when the harvest across all provinces is roughly average and the local crop is about eight parts, the ceiling may come after a rise of only sixty or seventy tawara; but as a rule, a hundred-tawara rise is the standard. If, however, the Kamigata and the local region together produce something close to a half crop, then buying from visiting traders intensifies, and speculative players emerge in the local market as well. In such a poor-harvest year, farmers' harvested rice is meager, so some even purchase physical rice from outside sources to fulfill their tribute obligations to the domain lord; moreover, purchases for famine-reserve stockpiles (備荒貯蓄米 (*biko chochiku-mai*)) and other buying that is entirely unnecessary in normal years also appear. These bullish factors accumulate one upon another, stimulating market sentiment until—measured against the Osaka price—the spread vanishes entirely or even inverts, with prices bid up beyond all calculation or reckoning. One must never neglect caution. And when the ceiling has appeared in such a market, one must absolutely not hold a long position, no matter how promising the outlook may seem. Should one insist on being bullish and try to hold on, one may encounter an unexpected crash and suffer losses so great as to endanger one's entire estate. Why must one not buy this rice? Because in these cases, sentiment has climbed to the absolute extreme of bullishness—a hundred people out of a hundred believe that prices will rise without limit—and the bulls proliferate further still, and people are easily beguiled by the frenzy into holding on. But such a moment is the very apex of sentiment, and it is often the great ceiling for the entire year.

> *Article 9 (continued)*
>
> When rice that has risen from the floor is bought and a profit of twenty or thirty tawara per unit accrues, there are those who sell it back for a profit-taking (利喰 (*rigui*)). This is a grave error. One must absolutely not sell. If one does sell back, then by the time the November contract (霜月 (*shimotsuki*)) expires and the ceiling price appears, cascading margin calls (連落 (*tsure-ochi*))

> will result, leaving one with no gain—or worse, producing actual losses. This is a critical point. When the market approaches the ceiling, the first priority is to ascertain the margin calls. For positions where the counterparty has been called out, one may sell back. The above pertains to a severe poor-harvest year of four to five parts.

COMMENTARY: This sub-section teaches that once one has identified the floor and adopted a buying stance, one should not waver at each range-bound dip, but rather let one's profits run to their fullest extent. This is the same counsel as David Ricardo's dictum: *"Let your profits run."*

To explain: when rice is bought near the floor and a mere twenty or thirty tawara of profit per contract accrues, some may engage in profit-taking. But this is a serious error. The reason is that trading custom at the 酒田米會所 (*Sakata Kome Kaisho*) at the time did not settle profit-and-loss on a position until the contract month expired, except for positions where the counterparty had been called on margin. Therefore, even if one sold back a long position at a gain of two or three tawara, should the market subsequently rise further, the sold-back portion would be subject to margin calls, and the resulting cascading calls would not merely eliminate one's gains but actually produce losses. (See "Customs of Sakata Rice Trading.") Therefore, when one judges the market to be near the ceiling, the essential thing is to examine the state of one's counterparty's positions. For positions where margin calls have been triggered, the profit is realized automatically in the settlement, so there is nothing further to consider. But if the counterparty has posted additional margin and is carrying (繋ぎ (*tsunagi*)) the position, then one must sell against that portion as a hedge. However, the maneuvering (駈引 (*kakehiki*)) described above pertains to the tactics of a four-parts or half-crop poor-harvest year.

Article 10: On the Great Frenzy of a Rising Market

> 第十章　相場引上げ大騒考の事
>
> From the very start of the new contract, the market steadily advances, a great frenzy erupts, and the ceiling price is struck. Suppose on that day the price reaches two tawara three bu, hits

the ceiling, and within the same day reverses wildly to three tawara two or three bu. Pay close attention to that day's two tawara three bu. Within a day or two, the price will oscillate back to two tawara five or six bu, but it will lack the momentum to reach two tawara three bu and will drop limply (*kurari*) back to the three-tawara range. This is where one should sell. Because the rice was rapidly pulled up to two tawara three bu, sentiment remains taut within the three- to four-tawara range; when it falls to the four-tawara range, buyers push it back to the three-tawara level. But gradually buyers thin out, and the price drops to five or six tawara. At this point, one should consider arbitrage rice and buy in—the market will return to the three-tawara range at most. This is the "great oscillation" (大通ひ (*ōgayoi*)). If, in the following month, the price surpasses two tawara three bu by even one or two bu, buy without hesitation. If, in the month after that, it reaches only about three tawara to two tawara six or seven bu and stalls there, sell aggressively on conviction. This is the secret of the Three-Position Tradition (三位の秘傳 (*sanmi no hiden*)).

Editor's note: The price figures here use the Sakata exchange's bale-and-bu notation. "Two tawara three bu" is the highest price, with lower numbers representing higher prices on an inverted scale relative to modern conventions. Hayasaka's commentary below restates the principle using hypothetical yen-and-sen figures for clarity.

Commentary: To illustrate the great oscillation following the first ceiling: after the opening of the November contract, the market grinds steadily upward until—let us suppose—in the morning session it posts a high of ninety-five sen, and within that same day falls back to seventy-five sen. Pay very close attention to that day's ninety-five sen. Within a day or two, the price will oscillate from eighty-five or eighty-six sen up to ninety or ninety-one or ninety-two sen, but it will lack the momentum to reach ninety-five, and it will drop limply back to the seventy-sen range. This is where one should sell. Because the rice surged to a high of ninety-five sen and showed ninety-one or ninety-two, even when the price falls through the seventy-sen range to the sixty- and fifty-sen range, sentiment remembers the high price, and buy-backs are plentiful; when it drops to the fifty-sen range, it is pushed back up to seventy or eighty sen. But gradually the buying thins out, and the price falls to thirty or forty sen, even twenty sen. At this point, one should weigh the spread against other regions, the

comparison with physical rice, and take profit. The market will assuredly rally again to the seventy- or eighty-sen range—this is what is called the "great oscillation." However, this is merely the great oscillation *after the first ceiling*, not the true ceiling. If, in the following month, the price surpasses that ninety-five-sen monthly high (月節 (*tsukibushi*))—the previous peak—and pushes into the full-yen range, one should buy without hesitation. And if, in the month after that, the price merely reaches seventy or eighty sen and stalls, one should sell aggressively. This, the author says, belongs to his Three-Position Tradition. (The prices in the above explanation are hypothetical figures used for convenience of illustration; one should not take them literally.)

Article 11: On Prices That Arrive at the Ceiling

第十一章　行付天井直段の事

What is meant by "prices arriving at the ceiling" (行付天井直段 (*yukitsuki tenjō nedan*)) is this: over the course of several months, the market swings up and down, gradually pulling prices up by fifty or sixty tawara. Thereafter a period of uncertainty follows—it is unclear whether prices will rise further or fall. Then, day after day, prices are pulled up relentlessly by ten tawara at a time; both buyers and sellers are swept along; and when great commotion erupts, prices peak. This is the annual ceiling price.

COMMENTARY: This chapter describes the pattern of market sentiment when the ceiling price is struck.

What is called the "ceiling-arrival price" (天井行付直段)—also termed *yukitsuki tenjō*—refers to the highest ceiling of the entire year. Now, the pattern of sentiment when this ceiling forms is as follows: over a span of several months, the market falls and rises, falls and rises again, oscillating repeatedly as prices are gradually pulled up fifty or sixty tawara above the floor. Then comes a brief spell of indecision. After that, prices are pushed up relentlessly—ten tawara a day—until yesterday's sellers are chasing to cover today, and what was bought in the morning session returns in the afternoon at double the volume. When people begin to clamor, that is the moment when prices peak—the annual ceiling.

Article 12: On the Three Positions and the Kinoe Month: A Secret Tradition

第十二章　三位甲月秘傳の事

The ten Heavenly Stems (十干 (*jikkan*)) are divided as follows:

甲 (*kinoe*), 乙 (*kinoto*), 丙 (*hinoe*), 丁 (*hinoto*)—the first four stems. These Sōkyū associates with rising markets.

戊 (*tsuchinoe*), 己 (*tsuchinoto*), 庚 (*kanoe*), 辛 (*kanoto*), 壬 (*mizunoe*), 癸 (*mizunoto*)—the remaining six stems. These he associates with falling markets, with *mizunoto* marking the floor.

Each of the twelve months of the calendar year is assigned a cyclical stem. Depending on the year, the rise may begin in the *kinoe* month and conclude by the *hinoto* month; or it may be delayed into the *tsuchinoe* or *tsuchinoto* months. Eight or nine times out of ten, the rise begins in the *kinoe* month. When one targets a hundred-tawara rise, there is no case in which one fails to profit. In any event, within these four months, the market never fails to rise. From *tsuchinoe* through *tsuchinoto*—the span of six months—there is no rise; these are months of decline, with *mizunoto* marking the month when the floor price emerges. There are also cases, owing to unseasonable calamity or extraordinary events, when the rise is delayed past *tsuchinoe* and does not conclude until the *kanoto* month; but such an occurrence is exceedingly rare—perhaps once in thirty years. The above has held true without deviation from Meiwa 5 (1768) through Kansei 9 (1797).

Commentary: This section describes the method of predicting the monthly rise and fall by means of the Heavenly Stems assigned to each month. The practical application and historical examples are set out in later chapters and at the end of the volume; the reader should consult those passages.

Where the text says “depending on the year, the rise begins in the *kinoe* month and concludes by the *hinoto* month,” and so forth, it means that the rise commences in the *kinoe* month and is completed within the *hinoto* month, after which prices turn downward. The passages that follow should be understood on the same principle.

Article 12 (continued)

In a year when the seventh month falls on *kinoe*, natural disasters tend to strike both the 上方 (*Kamigata*) region and this locality, and prices frequently surge sharply from the seventh month onward. In such a year, one should buy without hesitation from the sixth month. Even if no disaster occurs, by the twelfth month the Osaka market will have pulled prices up to a ceiling of a hundred tawara or more. When the seventh month falls on *kinoe*, one should buy regardless of whether the harvest is good in both Kamigata and the local region.

Furthermore, in any month, if prices surge sharply by a hundred to a hundred and twenty tawara in the *kinoe* month, one should understand that no further rise will follow—that is the ceiling. If the rise is only fifty or sixty tawara, one should understand that further upside remains in the *hinoe* and *hinoto* months.

In a year when the year-block (年塞 (*toshifusagari*)) turns toward the west, a great rise is beyond doubt. Buy without hesitation from the sixth month. The ceiling should appear in the eighth, ninth, tenth, or eleventh month. Afterward, while prices consolidate thirty or forty tawara below the ceiling, the *kinoe* stem will rotate to the third, first, or eleventh month—at which point another rise of fifty or sixty tawara is beyond doubt. Such a year is one in which profits are made on the autumn-to-spring oscillation.

COMMENTARY: In any month to which *kinoe* falls, if prices surge sharply by a hundred to a hundred and twenty tawara in the *kinoe* month, there will be no further rise afterward—that becomes the ceiling and prices turn downward. However, if the rise amounts to only fifty or sixty tawara, that is insufficient for a ceiling, and prices should continue rising through the *hinoe* and *hinoto* months—two or three more months of advance.

Additionally, there is what is called the year-block (*toshifusagari*). The method of reckoning it is described at the end of this volume. When the block turns toward the west, prices will likewise rise without doubt through the eighth, ninth, tenth, and eleventh months, so one should buy from the sixth month onward without hesitation. After the ceiling appears around the eleventh month and prices decline thirty or forty tawara into consolidation, the *kinoe* stem may happen

to rotate to another month in the same year or the following spring. At that time, another rise of fifty or sixty tawara is assured; if one knows this, one can profit on the autumn-to-spring oscillation. One should keep this in mind well in advance. This section describes the historical experience of years when the seventh month falls on *kinoe*.

> *Article 12 (continued)*
>
> When it comes to the ceiling price: even if in the first year the ceiling reaches a hundred, a hundred and twenty, a hundred and sixty, or even a hundred and eighty tawara, in the second year the ceiling will fall short of the first year, and in the third year it will fall still shorter. One should understand this. The decline the following spring likewise falls short in proportion. The number of months and the number of tawara, both rising and falling, should be studied in the price-scale records (位付の書 (*kuraizuke no sho*)).
>
> Even when the leading month of the Three Positions arrives and prices fail to rise—indeed, even if they drop sharply by thirty or forty tawara—one should not think this a mistake. A rise in the *hinoe* and *hinoto* months is beyond doubt. When the Three Positions rotate to the fifth, third, or first month, there is no basis for estimating the new-crop price. Nevertheless, however good the harvest that year, one must not sell short. If the price is in the thirty-tawara range, one should buy.

Commentary: This section explains the general proportions when a ceiling price forms.

When the ceiling is struck, the typical pattern is as follows: even if in the first year the ceiling rises by a hundred to a hundred and eighty tawara, in the second year the proportional rise will fall short of the first, and in the third year it will be still less. The spring decline likewise diminishes year by year—the first year's decline exceeds the second, and the second exceeds the third. The evidence for this is set out plainly in the price records at the end of the volume; one should study them and grasp the general pattern.

Also, even when the *kinoe* month—the leading month of the Three Positions—arrives and prices fail to rise, instead falling sharply by thirty or forty tawara in the opposite direction, one should not regard this as an error. A rise in the *hinoe* and *hinoto* months is certain. However, when the Three-Position cycle rotates to the fifth, third, or first

month, forecasting is difficult and speculation is hazardous. Even so, in such years one should not take the sell side even if the harvest is good. If rice stands at the thirty-tawara level, one should rather buy on speculation.

Article 13: On a Midwinter Ceiling Followed by a Sharp Drop in the Sixth Month

第十三章　冬中天井六月急下げの事

After a midwinter ceiling price, in a falling market: in a year of four-and-a-half-tenths crop failure, market sentiment remains taut through the following spring and prices do not decline. Then, as shippers are in no hurry to buy, the midsummer *doyō* period brings clear skies, the paddies look splendid, shipments of domain rice (御藏米 (*okura-mai*)) fall short, inbound shipping is scarce, and sentiment turns sour—whereupon prices drop sharply in the sixth month.

COMMENTARY: This chapter is of the same import as the passage in Chapter 9: it describes a summer decline following a midwinter ceiling.

"Domain rice shipments fall short" (御藏米出不足) refers to a decrease in exported rice, while "shipping falls short" (船不足) means a shortage of inbound cargo—here it speaks of a scarcity of buyers.

Article 14: On "At Two, Close Out; at Three, Fully Ripe; at Four, It Turns"

第十四章　二つ仕舞三つ十分四つ轉じの事

After a ceiling price, the falling market typically declines by ten to thirty or forty tawara each month over a span of five or six months. However, depending on conditions, there are cases where the market declines for three months and rises in the fourth; or where a further decline begins in the fifth month; or where all six months are months of decline.

> The method is as follows: once the ceiling price has appeared, watch carefully for five or six days to ten days. Even if prices hold at the same level, or even if they are only slightly lower, sell. By the end of that month, prices will certainly fall by twenty or thirty tawara. If, from the first through the tenth of the following month, prices recover five, six, or ten tawara above the prior month's low, then by that month's end they will again fall twenty or thirty tawara. Pay close attention to the first four or five days of each month. If volume is thin and no trades materialize, continue selling through the tenth and into the twentieth.
>
> If, however, in the following month—from the first through the fourth or fifth day, or even through the tenth—prices remain at the same level as the prior month's low, or drop a further five, six, or ten tawara, then that month's close will certainly reverse upward. One must understand this thoroughly.
>
> > *"At two, close out; at three, fully ripe; at four, it turns."*
> > 二つ仕舞、三つ十分、四つ轉じ
>
> This is the secret tradition of the Three Positions.
>
> The meaning is this: from the ceiling month, prices decline with certainty for two or three months. In the fourth month, depending on circumstances, prices may rise—it is dangerous, and one must not sell.

Commentary: This chapter explains the normal tendency of monthly decline after a ceiling price, and simultaneously teaches the significance of the number of months.

After the ceiling, the falling market declines each month by roughly forty or fifty sen to a full yen over a span of five or six months. However, depending on the occasion, prices may fall continuously for three months and then rise from the fourth month onward; or a further decline may begin in the fifth month; or all six months may be months of decline.

The method of selling in such a market is this: after the ceiling price appears, watch carefully for five or six to ten days, then sell at the second peak—that is, at the "second mountain" (*ni no yama*). If no second mountain forms and the market merely consolidates, sell even if prices appear somewhat low. By month's end, the decline should amount to forty or fifty sen to a full yen. Then, owing to seller profit-taking (利喰 (*rigui*)) and the buying enthusiasm of the new session

opening (發會 (*hakkai*)), if prices recover somewhat through the tenth of the following month, they should again decline by forty or fifty sen to a full yen by that month's end.

In short, the pattern of a falling market is: the month opens high and closes low. One should focus on selling in the first four or five days. If volume is thin and one cannot sell sufficiently, one should continue selling through the tenth or even the twentieth. This pattern of oscillating downward—rallying then declining, rallying then declining—is the normal tendency of a falling market.

However, if this normal pattern breaks down—if prices consolidate at the same level as the previous month's low, or if at the month's opening they drop sharply by forty or fifty sen to a full yen—one must take careful note. This may mark the floor, and by month's end prices will certainly rise. This is described with reference to the pattern of three months of decline followed by a rise in the fourth month. (Note: the prices used in this commentary are set for the convenience of explanation and should not be taken literally. The same applies to many examples hereafter.)

Article 14 (continued)

In any month, if from the previous month's low, prices are ten tawara higher by the first through the twentieth of the following month, they will decline twenty tawara by that month's end. If, conversely, prices fall five, six, or ten tawara below the previous month's low at the start of the following month, prices will certainly rise by the latter part of that month. This is the art of profiting where others do not see. Consider it well and put it to use; study the price-scale records and learn from them.

Article 14 (continued)

The above works as follows: sell at the opening of the month; when prices fall at month's end, buy back the sell position and, in addition, go long. Wait for the rise at the opening of the following month, then sell again that month, and also close the long position. In this manner, trade briskly for two or three months. To carry a sell position for five or six months at a stretch is insufficient in profit and exceedingly dangerous—one must not sell on extended terms. This period is the selling

> opportunity of the entire year. Apart from this, to sell at other times invariably results in loss—this is plain, and one must exercise caution. The above pertains to rice in a year of great crop failure, with prices up more than a hundred tawara—a year of a major rise.

COMMENTARY: This section continues the preceding passage, describing the normal pattern of a falling market and the trader's method.

In any event, when the following month arrives and prices recover by forty or fifty sen above the previous month's floor by the fifteenth or twentieth, they should fall by roughly double—a full yen—by month's end. Conversely, when prices decline by thirty or fifty sen at the month's opening, they will certainly rise by month's end. Because few recognize this rhythm, one can profit as follows: sell at the month's opening, reverse into a long position (*doten*) at the month-end decline, then reverse again into a sell at the following month's opening rally—trading in this manner, one can profit skillfully where others do not see.

However, one important caution: this method of trading is limited to two or three months. To continue it for five or six months is forbidden.

In sum, the selling opportunity of the entire year is confined to the period after the annual ceiling price, as described above. Those who seek certain victory must not engage in sell-side speculation outside of this window—one must exercise the greatest caution.

Article 15: Rise and Fall Are Matters of Natural Order

> 第十五章　高下は天性自然の事
>
> The rise and fall of rice prices is governed by the principle of natural order (天性自然 (*tensei shizen*)). Because prices move according to this natural principle, it is exceedingly difficult to determine with certainty that they will rise or fall. Those unfamiliar with this Way must not engage carelessly in this trade.

COMMENTARY: The rise and fall of the rice market is, in the final analysis, governed by natural order—cheap in bountiful years, dear in years of famine. Yet the timing of these movements—that is, the moment of change—is influenced now by the conditions of rice supply and distribution, now by favorable or adverse weather, now by speculative reasoning about the causes of abundance or scarcity. The causes that move the market shift from moment to moment; and moreover, there are times when the market responds to these causes slowly and times when it responds quickly. For this reason, one cannot pronounce with certainty that prices will necessarily rise or necessarily fall.

慈雲齋 (*Jiunsai*) too has said: *"Between reason and unreason lies a reason beyond reason—know this as the wellspring of rise and fall."* And yet, in the end, there can be no such thing as a "reason beyond reason" in this world. When our intellect is insufficient to grasp the principle, we provisionally call it "reason beyond reason" or "the realm of the unfathomable." So it is with the rise and fall of markets: each rise has its cause, and each fall has its cause. To invoke "reason beyond reason" is ultimately to confess that one's investigation of causes has not yet reached its conclusion. Yet to pursue the full chain of cause and response is supremely difficult, and the difficulty of predicting market movements stems, in the end, from the inexhaustible variety of these causal states.

Article 16: The Range-Bound Market after a Ceiling Price

第十六章　天井直段後通相場の事

After a ceiling price (天井直段 (*tenjō nedan*)), in a range-bound market (通相場 (*kayoi sōba*)) that is trending downward, prices rise at the opening of the month and decline by the twenty-ninth or thirtieth, falling by twenty to thirty or thirty to forty 俵 (*tawara*) without fail. Of this there is no doubt.

COMMENTARY: In a falling market after a ceiling, prices in the first ten days of the month tend to edge upward, because the memory of the previous month's high price lingers and there is much wistful buying (買慕ひ (*kaimurahi*)). However, this is all it amounts to. The surrounding conditions offer no bullish factors; rather, with arrivals of physical rice (正米 (*shōmai*)), with producing regions reporting low prices,

with favorable weather, and with other bearish factors at work, buyers naturally thin out and selling orders (投物 (*nagemono*)) appear. By mid-month or the latter part of the month, prices invariably decline. One should therefore consult the chart (罫線表 (*keisen-hyō*)), confirm that the post-ceiling range-bound rally has occurred, and establish a sell strategy.

Article 17: A Seventh- or Eighth-Month Ceiling Followed by Five or Six Months of Decline

第十七章　七八月天井五六ケ月引下の事

When a ceiling price appears in the seventh or eighth month, prices decline through the twelfth month. In the first month they rise slightly, but through the spring the market remains sluggish. If, during this period, prices have fallen excessively, they will rise sharply at some point during the fifth or sixth month.

Commentary: A ceiling price around the seventh or eighth month is most often caused by wind, rain, flooding, and the like—the high price having been driven to ceiling levels by such events. After the fact, when the weather returns to normal and crop prospects improve, prices decline gradually, continuing to fall for as long as five or six months through the twelfth month. Around the first month, profit-taking (利喰 (*rigui*)) purchases emerge, and with prices considerably below the ceiling, speculative buying also appears, so prices rise somewhat. Nevertheless, the rice is the tail end of a bumper crop; buyers recall the previous year's experience and are reluctant to press their purchases aggressively. The market therefore fails to rally through the spring and consolidates (保合 (*mochai*)) at low levels. However, by the fourth or fifth month, complaints begin to surface about oversupply from producing regions or a poor wheat harvest, and the market creeps upward, sometimes continuing to rise through the fifth or sixth month.

Article 18: Rice Cheap through the Eleventh, Twelfth, and First Months Rallies in Summer

> 第十八章　十一十二正月頃迄下直夏引上の事
>
> Rice that remains cheap through the eleventh month, twelfth month, and first month should be understood as destined for a summer rally. It may rise through the seventh month. Take note of this.

COMMENTARY: The previous chapter explained why rice that made its ceiling in the seventh and eighth months declines through the eleventh and twelfth months. When the lingering momentum of the previous year's bumper harvest, together with pressure from physical rice deliveries and the like, pushes prices down from the eleventh month through the first month, such a market has already voiced every bearish argument there is to voice and has fallen as far as it can fall. Its rebound is therefore inevitable. In particular, after a period in which bullish factors have been exhausted through over-praising, conditions tend to turn bullish again; and when some fault in the spring wheat crop is reported, the rally can sometimes extend from the fifth month through the entirety of the sixth month.

Article 19: A Seventh- or Eighth-Month Floor Leading to a Major Rally through the Twelfth or First Month

> 第十九章　七八兩月応十二正月迄大上けの事
>
> Rice at its floor price (底直段 (*soko nedan*)) in the seventh and eighth months should produce a major rally by the twelfth or first month.

COMMENTARY: Rice at its floor in the seventh and eighth months is, in the final analysis, the result of the previous year's good harvest being reinforced by a strong wheat crop, which together drove prices down; then, with favorable weather being praised before and after the midsummer season (*doyō*), and crop conditions appearing exceptionally good, the market foresaw a bumper harvest and voiced every bearish argument until prices were pressed to their lowest. However, as a matter of market rhythm, the rebound must come; meanwhile,

natural disasters begin to occur, and reports of insufficient sickle entry (鎌入不足 (*kamairi-fusoku*)—an inadequate harvest yield) begin to circulate. The more the crop was over-praised at the outset, the more violent the rebound. This rally can sometimes continue through the first month.

Article 20: The Months in Which Prices Rise from the Floor

> 第二十章　底より起き上り月の事
>
> The ninth, tenth, and eleventh months—these three months are emphatically months in which no ceiling price appears. They are months in which prices rise from the floor.
>
> However, notwithstanding the above, there are years when the ceiling appears in the eighth, ninth, or tenth month. Consider this carefully.

Commentary: According to the approximate methods for estimating ceiling and floor months described in the preceding chapters, the three months of the ninth, tenth, and eleventh fall right in the middle of the cycle. This is why the Master stated the principle broadly in this way. However, the examples given in the previous chapters all concern six-month spans. If the span shortens to three months or more but under five months, then these same three months could correspond to ceiling months, so one cannot state the principle as absolutely as this chapter does. In essence, though, during these three months the disaster season has passed and the approximate shape of the harvest is known. If conditions prove uneventful, it is only natural that the floor price should appear in these three months. This is presumably why the Master stated the principle in such broad terms.

Article 21: How to Read a Rising Market

> 第二十一章　上相場見様の事
>
> The timing of the ceiling in a rising market is not fixed. In general, the month's floor appears early in the month, and the month's ceiling emerges between the twenty-first and the twenty-sixth. Rice that is rising from the floor continues to rise

for many months. When it has gradually risen by a hundred bales or more, and then at month-end—through the twenty-ninth and thirtieth—it still edges up by ten, twenty, or even thirty bales, know that the following month will produce the year's annual ceiling price (年中行付天井直段 (*nenjū yukitsuki tenjō nedan*)). Of this there is no doubt.

COMMENTARY: The method for observing the timing of ceilings and floors in a rising market has no fixed rule. However, the principle stated repeatedly in earlier chapters—that in a rising market, the month opens weak and closes strong—is beyond doubt. In general, the month's floor price appears early in the month, and between around the twentieth and the twenty-sixth or twenty-seventh, prices surpass the previous month's monthly high-low mark (月節 (*tsukibushi*))—that is, the previous high—to set the new monthly high. Moreover, rice that is rising from the floor oscillates in this pattern—advancing, retracing, advancing, retracing—and continues to rise over several months. When, over the course of these several months, prices have risen by a hundred bales, and then on top of that, at month-end, they climb another ten, twenty, or even thirty bales in a hissing rush (ヒス／＼, *hisuhisu*), the following month will without fail produce the year's highest price.

Article 22: A Ceiling Consolidation from the First Month through the Third or Fourth Month

第二十二章　正月より三四月迄天井持合の事

Rice that has been consolidating at ceiling-price levels from around the first month through the third or fourth month will assuredly break lower during the fifth or sixth month. If it declines fully in the fifth month, the sixth month will bring a sharp rally. If it does not decline in the fifth month, know that it will assuredly decline in the sixth month. Of this there is no doubt. A fifth- or sixth-month decline should be closed out cleanly (*sappari*) by the twenty-first. Declines in other months run through the twenty-ninth or thirtieth.

COMMENTARY: This chapter explains the summer break that follows a spring consolidation (保合 (*mochai*)).

Rice that produced a ceiling price by the twelfth or first month due to a poor harvest will, even after physical rice from supply regions has been drawn out in large volume by the high futures price, retain bullish sentiment (人氣 (*ninki*))—people remember the previous year's poor harvest and buying interest remains strong; every dip is targeted for purchase by the crowd. A major decline therefore does not come easily. Nevertheless, in such cases, one must not forget the sell strategy premised on a post-poor-harvest ceiling consolidation. The reason is that this consolidation never lasts indefinitely. Eventually the fifth month arrives; the wheat crop proves average; the weather turns favorable; and on top of that, the rice from the previous poor-harvest year is of inferior quality, so there is anxiety about spoilage in the warm weather, and rice holders begin to sell urgently. The result is a sudden, severe collapse.

However, the rule of thumb for the fifth- and sixth-month collapse is this: if one has profits, take them all by mid-month—around the twenty-first. The reason is that in other months this need not apply, but as the fifth month draws to a close, the new trading period begins in the sixth month, and seller profit-taking will emerge. Moreover, the sixth month gradually enters the natural-disaster season, making the sell side hazardous.

Article 23: Price Swings in the Fifth and Sixth Months

> 第二十三章　五六月兩月相場高下の事
>
> From mid-fifth month through the sixth month, when rice rises sharply, it will also fall sharply. When it falls sharply, the same holds for the rally. The same applies to new-crop rice during the seventh, eighth, and ninth months.

COMMENTARY: This chapter illustrates, by way of example, that market sentiment (人氣 (*ninki*)) tends to overreact to changing conditions and panic in fear.

Now, from around mid-fifth month through the ninth month lies the natural-disaster season. When word comes of flooding, people rush to buy without properly estimating the extent of the damage—a fear-driven, sudden rally. Then, when conditions appear to improve, a reactionary sell-off follows, producing a chaotic, disordered market.

The same holds true of typhoons. In short, the market during the disaster season is one in which a sharp rally is followed by a sharp decline, and a sharp decline is followed by a sharp rally. However, this is a broad generalization that holds in eight or nine cases out of ten.

Article 24: The Sell-Off of Rice in a Good-Harvest Year

> 第二十四章　上作年の米売崩しの事
>
> In a year when both 最上 (Mogami) and our own region have a good harvest, if rice has been holding at a relatively high price through the winter and into the first month, a sell-off should occur between mid-third month and mid-fourth month.

COMMENTARY: "Mogami" refers to the neighboring province of Shōnai—the present-day Murayama and Mogami districts. The meaning is that even in a year when both nearby provinces and the local region have had a good harvest, if for some reason the price has been holding at a relatively high level compared to other markets, eventually physical rice will arrive, and once prices dip slightly, a wave of speculative selling and new short positions will appear all at once. The result is a major collapse around the time of the equinox (彼岸 (*higan*)).

Article 25: Maneuvering Ahead of Crop-Condition Reports

> 第二十五章　作合取沙汰前方掛引の事
>
> Reports of crop conditions and complaints begin to emerge around mid-seventh month. Even when a good harvest has been proclaimed, some manner of adverse report will inevitably surface. Maneuvering (掛引 (*kakehiki*)) in advance of this is of the utmost importance.
>
> "Complaints" (申分 (*mōshibun*)) means crop damage or faults.

COMMENTARY: The meaning is this: even when favorable weather has been praised and the crop has been extolled, from around mid-seventh month onward, reports begin to emerge—flooding in one area, insect damage in another, a low-pressure system forming in yet another. The market tends to lean toward the upside. Therefore, anyone who has sold short in advance should be prepared, and it is essential to maneuver (*kakehiki*) toward closing the position.

Article 26: Carrying a First-Month Profit into the Second Month

第二十六章　正月利運持越しの事

A profitable rice position from the first month, if carried over into the second month, will prove most unsatisfactory. One should close it out cleanly within the first month. However, a position established in the first month based on one's reading of the twelfth month's conditions is a separate matter.

COMMENTARY: As the following chapter explains, the market in the first and second months tends toward a simple back-and-forth: if the first month rises, the second month falls; if the first month falls, the second month rises. Therefore, if one holds a profitable position from the first month, one should close it out promptly. This, however, is stated with reference to the market's normal monthly rhythm; it is not impossible for the first and second months to move in the same direction. But that can be discerned from the market's behavior in the twelfth month, and a trade (商内 (*akinai*)) founded on that reading is excepted from this rule.

Article 27: The Dull First and Second Months, the Fourth-Fifth-Sixth Month Collapse

第二十七章　正二売買退屈四五六崩しの事

The market in the first and second months sees no great swings. However, the pattern for these two months is: if the first month rises, the second month falls; if the first month falls, the second month rises. One should regard each as a single swing of the pendulum.

COMMENTARY: The market in the first and second months sees no great swings, and is mostly a range-bound consolidation (持合相場 (*mochai sōba*)). When prices move even slightly in either direction, people react as though the signal has arrived, and sentiment follows in a rush of blind imitation. Yet because there is no real substance behind the move, the advance quickly loses momentum. The observation that if the first month rises the second month falls, and if the first month falls the second month rises, amounts to a description of this effect of sentiment. However, this is a general principle and not a fixed rule; hence the emphatic warning: "Above all, one must watch for the latent market." The latent market (潜相場 (*hisomi sōba*)) refers to a consolidation that is on the verge of breaking in one direction or the other—a situation in which, as the saying goes, "the mountain rain is about to come and the wind fills the tower," where the atmosphere is charged with the potential for a sudden move. To perceive this, one should consider whether the current price stands at the ceiling, or at the floor, or whether it is a consolidation at a middle level. In short, speaking from the normal tendency of the market, the first and second months are months of small swings, and both buyers and sellers must steel their nerves. The third month is a strong month. The fourth, fifth, and sixth months are months when the market tends to collapse.

Article 28: Floor and Ceiling of the November Contract

第二十八章　霜月限底天井の事

When a new November contract (霜月限 (*shimotsuki-giri*)) opens and rice begins to rise from a floor of around forty-five or forty-six to fifty bales, if even a minor crop complaint (申分 (*mōshi-bun*)) emerges, the ceiling price should not be regarded as limited to a hundred-bale rise. Depending on circumstances, one should expect rises of a hundred sixty or even a hundred eighty bales. However, when rice begins to rise in the sixth or seventh month from a level of only thirty-four or thirty-five bales—that is, from a mid-level floor—then even if the local crop conditions are favorable and even if carry rice (乗米 (*nosei-mai*)) is flowing in to lift the Osaka market, a hundred-bale rise should be regarded as the ceiling.

COMMENTARY: Rice that begins to rise from a major floor of around fifty bales, when even a slight crop deficiency appears, will not stop at a hundred-bale rise but may reach a ceiling of a hundred sixty or even a hundred eighty bales above. But rice that starts upward from a mid-level floor need only rise a hundred bales before one should regard it as having reached the ceiling.

This chapter explains that a market rising from a middle-level position will produce a smaller total advance to the ceiling, whereas a market rising from a true floor will produce proportionally larger gains. To give an example: if the advance from a middle level is fifteen percent, then from a major floor the advance may reach as much as thirty percent.

Article 29: On the Range-Bound Market After a Major Swing

第二十九章　大高下過通ひ相場の事

After a major swing has run its course and the ceiling price has been struck, the market enters a consolidation (保合 (*mochai*)), waiting to see whether it will go up or down. When, amid this uncertainty, the market takes on a vaguely bullish tinge—perhaps on reports from the Kamigata region—and sentiment brightens a little, everyone turns buyer and the market rises enough to cause excitement. At that point, it is decidedly a selling opportunity. This is a range-bound market (通相場 (*kayoi sōba*)): it rises and then falls, falls and then rises, without any excessive swing, and oscillates back and forth repeatedly. One must not let one's heart be swayed by sentiment or by the oscillations of the range-bound market; considering the ceiling and the floor is of first importance. However, when rice consolidates at the floor without any great swing and begins to rise naturally, one must not sell it. Rather, one should add to one's buying position step by step. This is not a range-bound market—it is a market that is rising of its own accord.

COMMENTARY: This chapter sets out the principles for selling into the range-bound market that follows a ceiling. The meaning is sufficiently clear without further annotation.

After the ceiling, range-bound rallies may present selling opportunities for several months, but one should estimate the elapsed months and days since the ceiling and floor, together with the magnitude of the price range, and avoid overcommitting. In particular, a market that has established its floor and begins to rise naturally can sometimes be mistaken for a range-bound market. But one must never sell into a market that rises naturally without great swings; on the contrary, one should add to one's buying position.

Article 30: Secret Tradition of Buying and Selling After a Consolidation

第三十章　持合後売買秘傳の事

During the above-described consolidation, when the market turns slightly downward, everyone concludes that this is the beginning of a bear market. Those already short congratulate themselves and press their selling further. Even the longs abandon ship and sell to escape, then find themselves overselling. Everyone rushes to sell first, and the market falls still further. At this moment, one should buy. The profit is assured. It is an extremely difficult purchase to make, yet buy one must. Even experienced traders of many years often regret missing it. In range-bound trading, one should target a ten-bale swing and take profits quickly—that is the first principle.

COMMENTARY: In the consolidation following a ceiling, as described in the preceding chapter, when the market turns even slightly downward, the general opinion shifts to bearishness. The shorts, feeling that the market has come over to their side, ride their advantage and hammer the price down—and the longs, too, scramble to sell and escape, falling over one another to liquidate. The market accordingly falls further. But at precisely such a moment, one should buy. It is an extremely difficult purchase—even seasoned traders find it hard to pull the trigger—yet if one buys, the profit is certain. However, the typical range-bound swing amounts to roughly ten bales, so one should estimate accordingly and take profits nimbly.

Article 31: On the Discipline When a Buy Opportunity Is Missed

> 第三十一章　可買入見合候時心得の事
>
> When one has identified rice as a buy, but the price has already risen two bales or so and one feels one has been left behind, one sometimes reverses course and turns seller out of frustration. This is a grave error. When one has missed the entry, one should simply wait for the next buying opportunity.

COMMENTARY: In forming a market view, there are two faculties one must understand: one is intellect (智 (*chi*)), and the other is emotion (情 (*jō*)). A forward-looking assessment should be decided entirely by intellect; one must never, ever allow emotion to intrude.

So too in the case of this chapter: to identify rice as a buy was an act of intellect. But to hesitate, then to watch the price rise two bales, then to regret the missed opportunity and rashly turn seller—this is to discard the intellect that is essential to sound judgment and to adopt the emotion that invariably leads judgment astray. It is as though one were to throw away jewels and pick up dung. Having formed the view that one should buy, one should hold to that original assessment and wait for the range-bound pullback—that is, for the dip.

Article 32: When the Market Has Been Pulled Up Relentlessly for Two or Three Months

> 第三十二章　二三ケ月必至々々と引上候時の事
>
> When the market has been rising relentlessly for two or three months and then suddenly drops by about one fall (一落 (*hitootoshi*))—that is, three or four bales—one should decidedly buy. It will rise again. At that point, one should promptly take profits. This is maneuvering (駈引 (*kakehiki*)) of the first order, and it is extremely difficult to execute.

COMMENTARY: When the market has been rising vigorously for two or three months and then suddenly plunges three or four bales (one fall), such a sudden drop within an ongoing advance is a range-bound correction; it will necessarily retrace to some extent, so one should buy. But whether the advance will end after two or three months, or whether the market will continue to oscillate and keep climbing for another four or five months, cannot be known until one sees what follows. Therefore one should take profits promptly and reassess. However, when one has a small profit in hand, human weakness is to ride one's luck; this kind of maneuvering is consequently very hard to carry out.

Article 33: On Closing a Trade and Resting Forty or Fifty Days

第三十三章　商仕舞四五十日休の事

When one has bought rice on the conviction that it will rise, and the market advances beyond one's original expectation and one's trade has paid off handsomely—then, at the point where the advance stalls and runs into resistance, the market will swing erratically. At that point, one should close the trade and rest for forty or fifty days. During this rest, even if an opportunity appears so compelling that one feels one can see through the market, one must absolutely not trade. Regardless of the volume of carry rice (乗米 (*nosei-mai*)) or the inflow of ship-borne purchases, when a trade has paid off fully, one should close it out at that juncture, rest for forty or fifty days, carefully assess the strength or weakness of the rice market, compare it against the Three-Position Tradition (三位の傳 (*sanmi no den*)), determine the proper stance, and only then trade. The same applies when one has profited on the sell side.

COMMENTARY: This chapter admonishes against riding one's luck and chasing the market after a winning trade.

Now, when one has bought into a rising market and one's forecast has been entirely correct, and the advance stalls and runs into resistance, the market will swing wildly. Because one's forecast has been right, one feels reluctant to close the trade and wants to ride it further. But at such a time, one should take profit on every lot and rest for forty or fifty days. Observing the market from the sidelines of a neutral po-

sition, one sees the swings with far greater clarity. During that rest, however, one must absolutely not trade. It does not matter if there is ample margin between regional prices, or if buy orders are flooding in from elsewhere—none of these circumstances should concern one. When a trade has fully paid off, one takes profit, rests for a month or two, calmly assesses the market's condition and the direction of sentiment, and with a clear and composed mind sets one's course before resuming trading. The same applies when one has profited on the sell side.

Article 34: On the Discipline When Profits Accrue on a November Contract Purchase

> 第三十四章　霜月限買入利分付候時心得の事
>
> In the November contract, when one has identified the floor, bought in, and a considerable profit has accrued, the market sometimes enters a consolidation or pulls back slightly. At that point, one calculates the carrying cost (利足 (*risoku*)) and regrets not having sold on the earlier rally. This is a grave misunderstanding. When one has bought at the floor, one must never sell before a margin call (落引 (*ochibiki*)) has occurred. From the floor purchase through the advance, one should continue to add to one's position until the margin call comes. Keep this well in mind.

Commentary: The "carrying cost" (*risoku*) refers to a custom of the Sakata Rice Exchange (酒田米會所 (*Sakata kome kaisho*)): when a trade is not closed within the month in which it was opened and is carried over to the following month, the buyer must pay to the seller, at the time of profit-and-loss settlement, a sum reckoned at a fixed rate per month. The details are set out in the section on the customs of the Sakata Rice Exchange at the beginning of this volume.

> *Article 34 (continued)*
>
> This chapter discusses maneuvering on the buy side. The point is this: when one has bought at the floor and the trade is in profit, and the market dips slightly, one thinks: if only I had taken profit when the market was higher the other day, I would not have to pay the carrying cost for rolling the position into the

next month—and one feels regret. But this is a misunderstanding. Rice that begins to rise from the floor will not reach the ceiling until it has risen at least ten bales; therefore, until it has risen at least one fall—that is, three or four bales—one must not sell. On the contrary, one may add to the position.

Article 35: The Heart of the Lamp That Flares Before It Dies

第三十五章　燈火消えんとして光増心の事

In the November contract, when the price is near the ceiling and one holds a long position, it sometimes happens that no significant new commitments materialize, yet the market surges upward regardless. Even a trader who has bought two or three hundred *ryō* worth regrets not having bought more and feels vexed; he thinks he will buy the next small dip, but each day the market climbs higher, margin calls begin to appear, and positions taken just two or three days earlier are already being called. Thinking that he may be late but can still capture at least half a fall's profit, he adds to his position in rice that has already been driven to the top. This is extremely ill-advised and must be avoided. There is no profit to be taken from buying at this level. Even if one buys a hundred *ryō* worth, the profit from the original cheap purchase of two hundred *ryō* will be wiped out, leaving not merely no gain but an actual loss. Once one buys at such a level, one will be tempted to average down by buying more on the next small dip, compounding the damage. Furthermore, even if bullish reports of every kind arrive from the Kamigata region, one must never buy into the commotion. Keep this well in mind.

This kind of rally climbs and climbs until it seems it might rise forever. This is the heart of the lamp that flares just before it goes out (燈火消えんとして光増す, *tōka kien to shite hikari masu*). Even if one is utterly convinced that tomorrow will bring further profit, one must not buy. At this point, the rice is strong and sentiment is strong, and bullish conviction swells beyond all measure. It is precisely here that one must watch for the terminal ceiling (行付天井 (*yukitsuki tenjō*)). Consider this carefully.

COMMENTARY: This chapter warns against being swept into the vortex when the price is near the ceiling and everyone—without exception—has turned bullish.

Now, when the November contract approaches the ceiling and one's position is in profit, it sometimes happens that no great volume of new commitments is produced, yet the market rises sharply. Even a trader holding a hundred lots regrets not having bought two or three hundred and feels vexed; he waits to buy the next small dip, but each day the market edges higher, and the positions he bought just two or three days ago are already showing heavy profits. Thinking that, though he is a little late, there is still something to be gained at these levels, he adds to his position—unaware that the market has already reached its terminal ceiling. But this must be avoided. Buying at such levels never results in profit. Even if one buys a hundred lots, the profit from the initial cheap purchase of two hundred lots will be consumed by the high-priced addition, and when the market eventually dips, the result is not merely no profit but outright loss. Once one buys at such a level, stubbornness sets in: on the next small dip, one wants to buy still more to average down. And when bullish reports and all manner of supporting reasons come in from the Kamigata region, sentiment grows lively and excitable—but one must never buy into such commotion. Bear this firmly in mind.

The kind of rally described in this chapter is a market that has climbed to the extreme of its bullish phase—the turning point is already at hand. Sentiment is such that the bulls pile on their buying, and the bears, shaken and fearful, feel the market might rise without limit. This is what the proverb means when it says, *"A lamp burns brightest just before it goes out."* Even when it seems an absolute certainty that tomorrow will bring still higher prices, and even though buying here appears a sure profit as obvious as picking up coins, one must never buy. At this juncture, sentiment is strong and the market is strong, and bullish traders are desperate to buy more—but it is precisely here that fixing one's eye on the ceiling is the great secret of the market practitioner.

Article 36: On a Falling Market within a Rising Trend

第三十六章　上の内の下相場の事

When new-crop rice first appears on the market, there may be fluctuations of one or two 俵 (*tawara*); the market consolidates (保合 (*mochai*)) at the floor, then rallies some fifty or sixty

> tawara before pulling back two tawara or so and entering another consolidation. At such a time, buyers grow restless and sellers press their advantage, selling more and more. This rice must never be sold. Those who are short should cover their positions here. This rice is rising from the floor. The decline is a dip within a larger uptrend. Above all, one should consider the timing of the ceiling price (天井直段 (*tenjō nedan*)).

COMMENTARY: This chapter warns against selling into a market that is dipping within a larger rising trend—and illustrates the point with an example. Suppose that after the opening session (發會 (*hakkai*)) of the new contract, there are minor fluctuations and the market consolidates near the floor, then gradually firms, rallying some fifty or sixty sen before pulling back about twenty sen and consolidating again. In such a case, the buyers have grown weary from the market's prolonged refusal to advance, while the sellers, encouraged, press their sales more aggressively. Yet in a market of this kind, one absolutely must not sell. Anyone who has sold should cover here, for this market is in the form of a rise from the floor—the dip is merely a decline within the larger uptrend. If one intends to sell, one should wait for the timing of the ceiling price; that is the essential thing.

The previous chapter warned against buying into a market that is breaking down from a ceiling. This chapter warns the sell side against pressing into a market that is rising from the floor. The master's solicitous guidance is worthy of our gratitude.

Article 37: Guidance for Times of Adverse Fortune

> 第三十七章　不利運の節心得方の事
>
> In times of adverse fortune, one must never average down on sells or average down on buys. When one's forecast has gone wrong, close the position at once and rest for forty or fifty days. Even after a trade (商内 (*akinai*)) that has been thoroughly successful, once the position is closed one should rest for forty or fifty days, study the oscillation of rice prices, compare against the Three-Position Tradition (三位の傳 (*sanmi no den*)), consider the moment when the opportunity aligns, and only then re-enter the market. No matter how great one's winning fortune, if one forgets this rest, losses will inevitably appear when the

> trade is finally closed. However, "resting after closing a trade" does not mean resting absent-mindedly. One must set aside all bullish or bearish bias and study the daily price fluctuations without letting down one's guard. Again, when one has profited on the buy side the previous year, one is apt to cling stubbornly to a bullish stance—yet one must completely let go of last year's sentiment and consider the crop conditions, the relative abundance or scarcity of supply, and the state of market sentiment (人氣 (*ninki*)) for the present year. That is the first priority.

COMMENTARY: In times of adverse fortune, one must never average down—neither selling more to average a losing sell, nor buying more to average a losing buy. This amounts to fighting the market and insisting on one's own view, which violates the cardinal principle of market success: *"Follow the market."* Therefore, when one realizes one's forecast was wrong, one should cut the loss before it deepens and rest for forty or fifty days—setting aside bullish or bearish bias and, in a state of calm detachment, carefully observing the daily fluctuations and the positions of ceiling and floor, until one has a firm assessment of the market's condition, and only then re-enter. Even after a thoroughly profitable trade, once the position is closed one should rest and recuperate for forty or fifty days, suppressing overconfidence and cultivating sound judgment. If one forgets to rest and, intoxicated by recent success, presses onward, one will encounter an unexpected ambush—that is, a reversal in the market—and when the position is finally closed, it will assuredly end in loss. Yet "resting" here does not mean resting idly. It means setting aside the pull of bullish or bearish sentiment and observing the market with a Zen mind—what might be called "stillness within motion" (動中の靜觀). The details are explained in the section on Master Sōkyū's "market Zen" and so are omitted here; but in general, a weakness of human nature is that prior impressions become dominant, and this weakness manifests itself with particular frequency in the markets. To give a brief example: a person who previously profited on the bull side tends to cling to that experience and is inclined to buy; a person who previously profited on the bear side has that memory impressed on the brain and is inclined to lean bearish. But maneuvering (駈引 (*kakehiki*)) in the markets is like commanding troops in battle—one must vary one's tactics according to the moment. What matters most is to consider the crop conditions for this year, the general economic climate, the state of physical rice distribution, and the direction of market sentiment.

Article 38: Guidance for Times of Profitable Fortune

第三十八章　利運の節心得方の事

When a trade is going well, one should first secure a reasonable profit and take it. At that point, rest for one or two months. If one forgets to rest, then no matter how favorable one's fortune, losses will invariably appear when the trade is finally closed. Flushed with victory, one whose profit is a hundred ryo begins to think of taking two hundred; the mind drifts to a thousand, then two thousand; lost in greed, one cannot bring oneself to cut and losses mount. This is delusion born of avarice. In times of adverse fortune, it is all the more so. Knowing when to cut is essential. Be prudent and bear this in mind.

COMMENTARY: This chapter carries the same meaning as the previous one, so no separate annotation is needed. The "one or two months" here and the "forty or fifty days" of the prior chapter amount to the same thing. Where this chapter differs, however, is in warning against the danger of being flushed with victory and forgetting the market's extremes, pressing too deep into a position. One tries to profit on both the upswing and the downswing within a short span, forcing one's assessment and chasing the market's tail with trade after trade—and ends up losing on both the rise and the fall. This, in the end, is delusion born of avarice, and the chapter offers that admonition.

Article 39: One Must Not Ride a Winning Streak

第三十九章　勝に乗る可からざる事

When one's forecast has been correct for several months and one has been right eight or nine times out of ten, one must never ride the winning streak. Simply focus on securing profits without incident. Above all, one must not deepen one's greed and fall into delusion.

COMMENTARY: Suppose one has been on the right side of the market for months—whether buying or selling—and the trade has advanced steadily, but now the moment has arrived when the rise or the fall is reaching its limit. If, even then, one thinks one's profits are not yet sufficient and, out of deepening greed, holds on, the market will reverse, and one will have merely let what could have been a clean, uneventful profit slip away. One should make it one's sole concern to take profit without incident. Greed is a thing without limit.

Article 40: On Aiming for the Floor and Aiming for the Ceiling

> 第四十章　底ねらひ天井ねらひの事
>
> Make it one's constant aim to buy at the floor (底 (*soko*)) and sell at the ceiling (天井 (*tenjō*)). This should be the trader's single-minded focus.

COMMENTARY: That the essential secret of market success lies in targeting the ceiling and the floor goes without saying, but the method of observation is exceedingly difficult. As the various theories would take too long to detail here, the commentary confines itself to the master's own teachings, which hold that discerning the ceiling and the floor requires reasoning from two factors: the proportion of the price swing, and the number of months over which it has unfolded.

Regarding proportions, one passage in this book states: "In aiming for the floor, take a hundred-tawara decline as the target; in aiming for the ceiling, take a hundred-tawara rise as the target." And further:

- Depending on conditions, the rise may not stop at a hundred tawara but extend to 130, 145, 150, or even 180 tawara.
- In a market that rises and falls sharply, the timing of ceiling and floor cannot be fixed by a set number of days.

Regarding months, three doctrines exist for the turning point: a three-month theory, a six-month theory, and a twelve-month theory. Under the six-month theory:

- In a falling market after a ceiling price, the decline proceeds at a rate of one to three or four tawara per month over five or six months.

As supporting examples:

- Rice at a ceiling in the seventh or eighth month will fall through the twelfth month.
- Rice consolidating at the ceiling from the first through the third or fourth month will certainly decline by the fifth or sixth month. If it has fully declined by the fifth month, expect a sharp rally in the sixth.
- Rice consolidating at the floor from midwinter through the first and second months will certainly rise from the third and fourth months through the fifth and sixth. Rice at the floor in the seventh and eighth months should rise by the twelfth and first months.

Under the three-month theory:

- Rice rising from the floor reaches the ceiling sharply within two or three months. Depending on conditions, it may decline for three months and rise in the fourth, or begin falling from the fifth month. Sometimes it falls for all six months.

The master also noted exceptions of seven or eight months and of twelve months. Under the seven-to-eight-month theory:

- Rice at a low price in the eleventh, twelfth, and first months should be regarded as a summer rally; it may continue rising through the seventh month.

Under the twelve-month theory:

- In any month, when a sudden rise of ten to twelve or thirteen tawara occurs, regard it as a one-time ceiling. When the rise is five or six tawara, expect a further two months or so of appreciation. In a market that rises and falls sharply, the timing of ceiling and floor cannot be fixed.

Summarizing the master's teachings, the following principles emerge:

Duration—normal pattern:

1. The duration is three months or more, with six months as the standard for a full swing between ceiling and floor.
2. Occasionally the reversal comes in the fourth month.

Duration—exceptions:

1. In a market that moves sharply, the ceiling or floor may form within one or two months.
2. Rarely, a ceiling-to-floor cycle may extend over seven or eight months.

Magnitude—normal pattern:

1. As a rule, when the swing reaches approximately one hundred tawara, it marks the ceiling or the floor.

Magnitude—exceptions:

1. When rice rises from a deep floor of forty-five or fifty tawara and even a minor crop shortfall occurs, the ceiling may not stop at a hundred tawara above but may extend to 160 or even 180 tawara. When rice rises from a floor of thirty-four or thirty-five tawara and crop conditions are average with some arbitrage rice (乗米 (*nosei-mai*)) present, a hundred-tawara rise should be regarded as the ceiling.

Restating the master's teachings in modern terms and applying them in plain language:

1. A market that has been rising for three months or more, spanning fifty or more days, and has advanced approximately fifteen percent or thereabouts, is at or near the ceiling—one must not buy.
2. A market that has been falling for three months or more, spanning fifty or more days, and has declined approximately fifteen percent or more, is near the floor—one must not sell.
3. When a market rises or falls more than ten percent within one to two months, it may have reached the ceiling or the floor.
4. Observe the position and the magnitude of the ceiling and floor.

However, the figures for duration and proportion stated above are general principles based on the master's teachings. Readers should adjust the proportions in light of prevailing economic conditions and sentiment, exercising tactical flexibility (駈引 (*kakehiki*)) as circumstances demand. As the saying goes, the subtlety of execution resides in the practitioner's own mind.

Article 41: How to Recognize When a Rise Has Peaked

> 第四十一章　上げ留見様の事
>
> In a poor-harvest year, when a large swing has occurred and there have been two margin calls (落引 (*ochibiki*)), one should understand that the peak of the rise is near.

Article 42: When the Market Moves Neither Up nor Down and All Ten out of Ten Grow Bored

第四十二章　相場無高下十人が十人退屈の事

When the market shows neither rise nor fall for two or three months, or merely oscillates in a range-bound pattern (通相場 (*kayoi sōba*)), all ten out of ten traders grow bored. Even the bulls begin to lean bearish; the bears, believing their forecast is on target, press their sells all the harder—and then the market unfailingly rises. At that moment, both bears and bulls cry "Just as I thought!" and scramble to buy back at once, driving a sharp, gapping rally. When all ten out of ten are leaning to one side, the opposite invariably comes. If the market moved in the direction everyone expected, it would be an easy thing indeed—but it does not come as expected; it is beyond the reach of calculation. This is the natural principle of yin and yang (陰陽 (*in-yō*)).

Article 42: When the Market Shows No Movement and All Ten out of Ten Grow Weary

第四十二章　相場無高下十人が十人退屈の事

When the market shows no significant movement for two or three months, or merely oscillates within a range-bound market (通相場 (*kayoi soba*)), all ten out of ten grow weary. Even the bullish turn bearish, while sellers, convinced their strategy is working, pile on still more short positions. Thereafter the market invariably rises. At that moment, bulls and bears alike realize the truth at once and scramble to buy in a single rush, sending prices leaping upward in a sharp advance. When all ten out of ten lean to one side, the market will without fail go the opposite way. If things came as one expected, trading would be easy—but they do not come as expected, and calculation cannot reach that far. This is the natural principle of yin and yang (陰陽 (*in-yo*)).

COMMENTARY: This chapter teaches that when all ten out of ten grow weary, the moment of change is near. Further, when all ten out of ten lean to one side, bullish or bearish, the market moves contrary to what everyone expects; the chapter offers illustrative proof of this principle.

When the market has shown no great movement for two or three months, or has merely traded back and forth within a range, the crowd grows weary. Those who had been buying on bullish conviction, seeing the market unexpectedly fail to rally, lose heart and turn bearish. The sellers, meanwhile, seeing the market look weak, ride their advantage and pile on yet more short positions. But thereafter the market rises contrary to all expectations. At that point, people exclaim: "So that was the floor after all—we were fooled by sentiment—one cannot let one's guard down in this market!" Bulls and bears alike unite and scramble to buy all at once, and the market breaks away in a sharp advance. In general, when all ten out of ten lean to one side, the market will invariably move in the opposite direction; there is no need for deep deliberation—one should simply take a position on the opposite side from the crowd. This is what is called the natural principle of yin-yang reversion (陰陽轉還 (*in-yo tenkan*)).

To explain this principle of yin-yang reversion in somewhat more scholarly terms, it is as follows.

The principle by which a ceiling is formed consists of four elements: (1) buying power is exhausted; (2) profit-taking (利喰 (*rigui*)) selling emerges; (3) the sprouts of bearish factors become visible; and (4) new selling appears. In every case, a price high enough to constitute a ceiling means that the bulls have already bought to the utmost limit of their capacity, and it is this full commitment that produced the extreme high. Since there is no longer any surplus buying power, profit-taking selling must inevitably emerge. As this profit-taking selling continues and the market begins to stall, bearish factors that had been hidden now come to the surface, inviting new selling; moreover, sellers who had been waiting for a high price add their weight, and a natural downward momentum takes hold. The previous high becomes the ceiling, and the market turns steadily lower. The above is an explanation of the principle by which yang reverts to yin. Next, the principle by which yin reverts to yang:

The principle by which a floor is formed consists of four elements: (1) selling power is exhausted; (2) profit-taking buy-backs (*rigui umemodoshi*) emerge; (3) bullish factors begin to sprout; and (4) new buying appears. In general, the sellers have been riding the mo-

mentum of months of victories, increasing their positions as far as their resources allow and hammering the market down; it is this that produced the floor. Since they can no longer increase their positions further, they must perforce begin profit-taking buy-backs. And when such buy-backs cause the market to recover slightly, some cry "So the earlier low was the floor after all!" and rush to take profits, while others seize upon some bullish factor or another and new buying emerges. At times, the urgency of profit-taking buy-backs produces the paradox known as "rice sellers cause a rice rally" (米売りの米上げ).

What has been explained above is the scholarly account of the principle of yin-yang reversion. The ancients, however, did not explain this principle clearly; not a few described it in mystical or wondrous terms. Mokko-ken and Jiunsai (慈雲齋) are of this sort—a case of "the hero deceives people," as the saying goes. Jiunsai wrote:

> *"Between reason and unreason lies a reason beyond reason—know this as the source of the rise and fall of rice."*
>
> *"The principle of high and low is an empty principle, invisible to the eye; that which has neither shadow nor form is its true substance."*

And further:

> *"The Great Ultimate moves and begets yang; movement reaches its extreme and becomes stillness. Stillness begets yin; stillness reaches its extreme and again there is movement. One movement, one stillness—herein lies the root."*

Mokko-ken likewise wrote:

> *"When the spirit of man has risen to the extreme of yang, yin arrives and it tends downward. When it has fallen to the extreme of yin, yang arrives and it rises."*

Such pronouncements affect an air of profundity, but when explained in scholarly terms as above, they amount to nothing remarkable. Yet yin-yang reversion is not merely a truth of the market world alone—it is a universal truth of the cosmos. We do not in the least belittle it; but because such explanations are excessively tinged with a religious flavor, we fear they may mislead those who come after, and so we add this word of clarification.

Article 43: How to Buy the November Contract

第四十三章　霜月限買入心得方の事

For the November contract (霜月限 (*shimotsuki-giri*)), buying as early as the sixth or seventh month leads only to tedium, and profit is far off. Consider the conditions of that year and buy during the eighth or ninth month. In a year when the harvest faces no difficulty, this is the proper approach. In a crop-failure year, however, buying from the sixth month onward is paramount.

COMMENTARY: This chapter indicates the proper timing for speculative buying of new-crop rice. Even if the market is at a low price, when the weather is favorable for the season, there is no need to buy as early as the sixth or seventh month. There may even be a good buying opportunity on a dip caused by favorable-weather selling. However, when the weather is unfavorable and a crop failure seems likely, one must make it a point to begin buying from the sixth month.

Article 44: How to Manage Profits in a Rising Market

第四十四章　上相場にて利運心得方の事

In a rising market, when profits are in hand and margin calls come, one should remember the floor price and not sell back. If it falls to the buying level of the floor, one should pile on still more. Rice that is climbing toward a hundred-tawara rise will experience roughly two pullbacks; at that point one must consider carefully and secure one's profits. Moreover, when the hundred-tawara rise is near, one should promptly close out one's position; taking profits comes first.

COMMENTARY: When the market is rising and one's position has turned profitable, and one's holdings were bought at the floor price so that considerable profit has accrued—however tempting it is to take profits at once, one must by no means sell here; on the contrary, it is proper to add to the position. For example, if the market is to rise by one full measure, two margin calls along the way are to be expected; therefore, when the rise reaches approximately that one full measure,

one should carefully weigh the market's position and the state of sentiment (人氣 (*ninki*)) and secure one's profits. Above all, when the advance has been so great that two margin calls have occurred, the essential thing is to take profits when profit is at hand and then enter a new position afresh. Note that in Master Sōkyū's era, a margin call was set at thirty tawara, as has already been explained in the section on Sakata rice-exchange customs at the beginning of this volume.

Article 45: How to Manage Profits in a Falling Market

第四十五章　下相場にて利運心得方の事

In a falling market, when profits are in hand and a margin call comes, if the counterparty elects to carry (繋ぎ (*tsunagi*)) the position rather than settle, one should promptly buy back. The first priority is to buy back before the margin call is fully settled and the outcome decided. This is utterly different from a rising market. *"At two, close out; at three, fully ripe; at four, it turns"*—this is the foremost tradition of maneuvering (駈引 (*kakehiki*)) on the short side.

COMMENTARY: This chapter is based on experience with the trading customs of the Sakata Rice Exchange—specifically margin calls and carrying—and argues from that experience. Under present-day conditions, however, the argument runs in the opposite direction. As already explained in the section on Sakata trading customs at the beginning of this volume, "carrying" (*tsunagi*) means that the counterparty buyer, rather than accepting the margin call and settling, puts up additional margin and carries the position forward. When such a carry occurs, one should promptly buy back one's sell position and take profits. The reason is that when a margin call is fully settled, all the sellers scramble to buy back at once and the market rises; therefore one should seize the initiative before the crowd takes action and take profits first. That was the meaning of this chapter's instruction.

However, the conditions of today's market are the exact opposite, being largely a matter of the relationship between brokers (仲買 (*nakagai*)) and their clients. For example, suppose the clients are all long and the broker is short; if the broker, in order to squeeze the clients, hammers the market down and triggers a margin call, and the clients cut their losses and liquidate, then even in a market whose overall trend is downward, one may see some degree of rebound. But if the

clients put up the additional margin, then since the broader trend is against them, the market falls all the more. Such cases are plentiful, and one does well to bear them in mind.

Article 46: New-Crop Rice Should Be Bought

第四十六章　新米は買方に可付事

Around the time new-crop rice first appears, one should consider each year what price level is appropriate, according to the harvest of that year. Autumn rice must under no circumstances be sold short. Even if conditions do not entirely suit one's inclinations, one must without fail take the buy side. If one truly cannot bring oneself to buy, one should refrain from trading rather than sell. Until the annual ceiling price has appeared, selling is absolutely useless and exceedingly dangerous; one must take care above all not to lose the buying impulse. A true selling opportunity exists only when the market has risen to excess, the ceiling price is in, and there is no arbitrage rice (乗米 (*nosei-mai*)) left. Apart from that, selling during a consolidation (持合 (*mochai*)) market will without question result in a loss. Rice that drifts down little by little is terrifying when it turns upward. The reason is that because rice appears weak, both bears and bulls sell short and open positions are numerous; therefore, when the market turns upward, everyone scrambles to buy back at once, and the result is a sharp, unchecked rally.

Commentary: This chapter is principally an admonition against selling new-crop autumn rice.

Now, around the time each year when new-crop rice first appears, one should consider the quality of the harvest, compare it against chart records (罫線表 (*keisen-hyo*)) from prior years, and gauge the appropriate price level. In general, autumn rice is a commodity in which there is profit on the buy side and no profit on the sell side. The reason is this: if the weather has been favorable that year and the harvest is good, prices are correspondingly low, and there is no room to sell; moreover, people talk up concerns about insufficient cutting (鎌入不足 (*kamairi-fusoku*)), poor autumn weather, and the like, and the market tends to rise. Thus the Master, too, offered the following guidance:

"When there have been natural disasters during the summer, buy without fail from the sixth or seventh month onward."

"In the sixth and seventh months, when the weather is fine, drought continues, and there is talk of a bumper crop—when even the slightest observation suggests a good harvest—do not rush to buy. The eighth and ninth months are the proper time for the year's buying."

"Even if from the end of the sixth month through mid-seventh month there is talk of the best harvest in decades, floods and the like may yet occur, and the crop will suffer shortfall to some degree without exception."

"Buying [autumn rice] entails months of carrying costs whose extent is hard to know, and is indeed most disagreeable to buy; yet when profit comes, the carrying costs are as dust before the wind and no burden at all. Without exception, autumn rice never fails to rise."

And so on—he offers advice of every kind. As explained above, the autumn market is one in which the upside prevails eight or nine times out of ten; therefore, even if it does not quite suit one's inclination, one should take the buy side. If one truly cannot bring oneself to buy, one should step aside from the market entirely. Until the ceiling price of the autumn market has appeared, selling is dangerous and must not be attempted. One should take care to maintain a buying posture at all times. A true selling opportunity exists only when the market has risen to excess, the ceiling is in, and comparing prices across various regional markets shows a relative premium. Otherwise, selling during a consolidation market is tantamount to a guaranteed loss. Furthermore, rice that drifts down little by little from the floor is terrifying, because once it turns upward, it jumps to a wholly different level without any intermediate range-trading. The reason is that because the market looks weak, both bulls and bears have sold short and short positions are large; once the market turns upward, everyone scrambles to buy back at once, producing a sharp, unchecked rally.

Article 47: The Difficulty of Maneuvering on the Sell Side

第四十七章　売方駈引六ケ敷事

> Within a single year, apart from one major rise and one major decline, there is no great fluctuation. Within the rise there are minor declines; within the decline there are minor advances. These are range-bound oscillations (通相場 (*kayoi soba*)) and are not markets in which one should look for the ceiling or the floor. One must not be confused by range-bound fluctuations. In all things the initial entry (踏出し (*fumidashi*)) is critical. Buying may cause anxiety at first, yet when profit comes, there is not the slightest hardship. Selling, on the other hand, feels easy at first, yet the maneuvering (駈引 (*kakehiki*)) is exceedingly difficult. When prices begin to fall, the decline seems bottomless, and one is always late to buy back. The first priority is: do not be swept up in the downward momentum or the crowd's panic; detach from greed and buy back.

Commentary: This chapter sets forth the principles of maneuvering on the sell side. Now, within a single year—though the timing may vary—there is generally one advance from floor to ceiling and one decline from ceiling to floor, and no more. Within the advance there are minor dips, and within the decline minor rallies, but these are merely range-bound fluctuations within the larger trend—not the beginning of a true rising market from the floor or a true falling market from the ceiling. One must not be led astray by range-bound movement. In all things, the initial commitment is critical: one must buy at a price close to the floor, and sell at a price close to the ceiling. If one does not buy near the floor, then when one of those swift corrective declines occurs within a broader uptrend, one may panic and be shaken out of the position. Conversely, if one has not sold near the ceiling, then when a corrective rally occurs within a broader downtrend, one may be squeezed and suffer terrible losses. The buyer must pay carrying charges (利足 (*riashi*)) month over month to the seller, which seems a slight disadvantage—yet when prices do rise, there is nothing to worry about. The seller, meanwhile, receives carrying charges from the buyer, and if profits accrue on top of that, the arrangement seems quite favorable—yet when it comes to the seller's tactical maneuvering (*kakehiki*), the difficulty is extreme. When prices begin to fall, sentiment turns as though the decline will never end; then a sudden rally catches the seller off guard—because the profit-taking buybacks of the long side come too late, the net take is diminished. Therefore, however favorable the downward momentum may appear, and how-

ever much the crowd insists the decline is far from over, one should pay no heed to such clamor, suppress greed, and buy back to cover promptly.

Article 48: Teachings Outside the Three Positions That Must Be Observed

第四十八章　三位の外の教可守事

The new-crop contract (新商 (*shinsho*))—that is, the November contract—each year declines twenty to thirty tawara (俵 (*tawara*)) from its opening price before turning upward. From the eighth and ninth months through the tenth, eleventh, twelfth, and first months, it invariably rises. However, in a year when Kyūshū and the Kamigata region produce a crop around eighty percent or better, no such rise occurs. When natural disasters strike, prices surge sharply from the seventh or eighth month onward. When the harvest shortfall is gradual and natural, the nationwide average crop yield becomes known in Ōsaka by the ninth month, and from the tenth through twelfth months Ōsaka prices are pulled upward, so local prices rise as well. Consider this carefully.

In years when both the Kamigata and local harvests are average, or when the local harvest is good, there is only a modest rise through autumn and winter—no great advance. In a year of local crop failure, regardless of conditions in the Kamigata or elsewhere, local prices surge dramatically. In years of four-and-a-half- to six-tenths crop failure, one should anticipate that prices will eventually reach the ten-tawara level, and reckon carefully when they approach twenty tawara. The ceiling price, once reached, does not fall for fourteen or fifteen days, then declines gradually of its own accord. Through the third and fourth months, prices oscillate within a range of about ten tawara, declining twenty to thirty tawara; then a consolidation (保合 (*mochai*)) follows. By the fourth and fifth months prices fall thirty to forty tawara further, then rally twenty to thirty tawara again. Come the sixth month, with fair weather, splendid reports from both paddies and dry fields, both domain-warehouse rice (御藏米 (*okura-mai*)) and private stocks remaining abundant, and prices too high for the shipping buyers (船々, *funabune*) to rush in—at this point those holding long positions

grow weary and sell out, and prices suddenly collapse sixty, seventy, even a hundred tawara. One must understand that this is the great crash.

Article 48 (continued)

Furthermore, in a year when the fifth month is the head month of the Three Positions (三位 (*sanmi*)), if prices do not decline sufficiently in the fourth and fifth months, there will be no rise in the sixth or seventh months. When prices do decline sufficiently across the fourth, fifth, and sixth months, prices will certainly rise in the seventh and eighth months—there is no doubt of it. When the seventh month is the head month of the Three Positions, and prices have not risen in the fourth and fifth months, the sixth month is the floor month, and prices will certainly suffer a great crash by around the twentieth. When one has sold from early in the sixth month and prices begin falling, consider the floor to lie in the interval around the twelfth or thirteenth day; if margin calls (落引 (*ochibiki*)) are approaching, that is one thing, but if prices have not yet fallen, identify the floor, buy back, and go further to establish fresh long positions. Then wait for the subsequent rise, and when profit appears, close out promptly.

Rice that makes its ceiling price in the seventh, eighth, ninth, or tenth months will decline by the twelfth month—observe this rule. Rice that makes its floor price in those same months will rise by the twelfth month—observe this teaching. Rice that makes its ceiling price from midwinter through the first or second months will decline by the fourth, fifth, or sixth months. When prices fall sufficiently in the fifth month, the sixth month brings a sharp rally. When prices do not fall sufficiently in the fifth month, there will be a great crash by around the twentieth of the sixth month. In years when prices have been at low levels since the previous winter, speculative long positions pile up, leading to a sixth-month crash. Rice that has been at depressed levels from midwinter through the second or third months will certainly rally in the summer—one should expect it to rise as late as the seventh month. These are the teachings outside the Three-Position Tradition (*sanmi no den*); take them to heart. In any case, autumn rice should not be sold short—one should

> take the long side. Regardless of the magnitude, it invariably rises. As for the falling market after a ceiling price, that matter is recorded in the section on the Three Positions; study it well and put it into practice.

COMMENTARY: This chapter is titled "Teachings Outside the Three Positions That Must Be Observed," but when one reads it carefully and digests its meaning, it is a concise synthesis of the market principles expounded in the preceding chapters—something like a verse (*gāthā*) appended to a Buddhist sūtra.

Considering the normal pattern: the new-crop contract (i.e., the November contract) opens each year around the sixth or seventh month. Customarily, prices decline twenty to thirty tawara from the opening price, and then turn upward. From the eighth and ninth months through the tenth, eleventh, twelfth, and first months, they seem never to fail to rise. However, in a year when the Kyūshū and Kamigata crops are around eighty percent or better, no such vigorous rise occurs—the market is weak and listless. But when natural disasters strike, prices surge from around the seventh or eighth month. In years when cold weather and unseasonable conditions produce a naturally poor harvest, as the nationwide crop conditions become known, Tōkyō prices rise from the tenth through the twelfth month, and each locality rises in response.

In years when both the Kamigata and the local area produce an average or above-average crop, there is only a slight rise through autumn and winter and no great advance. In years of local crop failure, regardless of average or above-average harvests in the Kamigata or elsewhere, local prices alone surge dramatically. In years of four-and-a-half- to six-tenths crop failure, one should look ahead to prices reaching the ten-tawara level and make careful judgments when prices approach twenty tawara. In such years of severe crop failure, even when the ceiling price is reached, prices do not drop sharply as they usually would, but hold at high levels for fourteen or fifteen days in consolidation, then decline gradually.

The typical pattern is: through the third and fourth months, prices oscillate within a range of about ten tawara, fall twenty to thirty tawara, and enter a consolidation; by the fourth and fifth months they decline thirty to forty tawara, then rally twenty to thirty tawara again; then in the sixth month, with fair weather, both the green rice paddies and the wheat crop looking splendid and reports of a bumper harvest, both domain-warehouse rice and farm-yard rice (庭米 (*niwa-*

mai)) in ample supply, and the price too high for shipping buyers to rush in—seeing all this, those who had bought on speculation and those holding physical rice grow weary and begin selling out, whereupon prices suddenly collapse sixty to seventy tawara or even close to a hundred tawara.

Furthermore, in a year when the fifth month is the head month—that is, the first-stem month (甲月 (*kinoe-tsuki*))—if prices do not fall sufficiently during the fourth and fifth months, there will be no rise in the sixth or seventh months. Conversely, if prices do fall sufficiently across the three months from the fourth through the sixth, the seventh and eighth months will without doubt bring a rise. When the seventh month falls on the first-stem month, and prices have not declined in the fourth and fifth months, the sixth month has come to function virtually as a perennial floor month; prices will suffer a great crash by around the twentieth.

The tactical response is as follows: sell from early in the sixth month, and once prices begin falling, watch the period from around the tenth to the twelfth or thirteenth day to gauge where the floor lies. Take profit promptly by buying back, and go further to establish fresh long positions; then wait for the subsequent rise and, again, take profit promptly by selling out.

The rules to keep in mind are these: rice that makes its ceiling price in the seventh, eighth, ninth, or tenth months will decline by the twelfth month. Rice that makes its floor price in those months will rise by around the twelfth month. Rice that makes its ceiling price from midwinter through the first or second months will decline by the fourth, fifth, or sixth months. When prices fall sufficiently in the fifth month, the sixth month brings a sharp rally; when they do not fall sufficiently, prices collapse by around the twentieth of the sixth month. Rice that has been at depressed levels from the previous winter through the second or third months is certain to rally in the summer—sometimes continuing as late as the seventh month.

These are the teachings outside the Three-Position Tradition explained in the preceding and following chapters. In any event, autumn rice offers no profit on the short side; regardless of the degree, it invariably rises, so one should take the long side. These explanations have already been given in the preceding chapters and will not be repeated at length. As for the falling market following a ceiling price, that too has been explained in detail in the section on the Three Positions; refer to it there.

Article 49: When Summer Brings Cold Weather, One Must Not Let Down One's Guard

第四十九章　夏中冷数時は油断ならぬ事

In a summer of bad weather and persistent rain, one should understand this as a natural crop failure. When summer cold is severe and there are insect infestations, floods, great storms, and other natural disasters, one must not let down one's guard—buy into the market while prices are still low from the sixth and seventh months. In the sixth and seventh months, when the weather is fair and drought persists, when reports speak of a bumper harvest and every scrap of information points to a good crop, do not rush to buy. The eighth and ninth months are primarily the year's buying opportunity. Buy at the opening of each month. The ninth month tends to be slightly late; focus principally on the eighth month. Even in a bumper-crop year, prices invariably rise from the ninth and tenth months onward. Furthermore, even if from late in the sixth month through mid-seventh month the talk is of the best crop in decades, something or other will emerge, and the harvest will fall short to some degree without fail. A harvest that comes in without the slightest shortfall is exceedingly rare—consider this well.

Commentary: This chapter concerns the timing of speculative buying of the new-crop contract. The meaning is as follows: when the weather is unseasonable and the prospect of a poor harvest is well established, it is proper to begin buying from the sixth or seventh month. But in a year of fair weather, sentiment-driven declines may appear from mid-seventh month into the eighth month, so one should not rush to buy. Rather, target the very bottom of the listless drift—the buying opportunity. Because supplementary settlement discounts (補安 (*hoyasu*)) tend to bring prices down at the opening of each month, those are the levels to buy. The buying opportunity appears most often in the eighth month.

Even in any bumper-crop year, prices invariably rise from around the ninth or tenth month. Even if from late in the sixth month through around mid-seventh month people proclaim the best harvest in decades, afterwards some form of natural disaster appears, the harvest falls short to some degree, and prices rise accordingly. A crop that reaches full harvest without the slightest hitch is exceedingly rare—weigh this well.

Article 50: Guidance for Bumper-Crop Years Across All Regions

> 第五十章　諸方上作年心得の事
>
> When the local region and neighboring provinces have a bumper crop, and the Kamigata likewise produces largely a bumper crop, yet no floor price (底直段 (*soko nedan*)) has emerged by the third, fourth, or fifth months—one should understand that the floor price will emerge thereafter.

Commentary: In years when the local district and the Mogami region both enjoy an excellent harvest, there is a sell-off around the middle days of the fourth month—this is beyond doubt. Even if the third month falls on the Three Positions, there was a crash of about twenty tawara in the fourth month of Kyōwa 2 (享和二年, 1802, Year of the Rooster). In years when nearby provinces and the local area have a bumper crop, one must absolutely not establish speculative positions in summer rice until the first weeding (一番草取, *ichiban kusatori*) is past. One should, however, be prepared to buy on the fourth- and fifth-month crashes.

When both the local area and neighboring provinces have a bumper crop, even if a considerable decline occurs, various circumstances may prevent the market from falling through—prices remain in a relatively high consolidation without producing a proper floor. Yet the market does produce a crash and a floor-like bottom during the three months from the third through the fifth. The case of Kyōwa 2 is one such example.

In bumper-crop years for both the local area and nearby provinces, one must not establish speculative summer-rice positions until the first weeding season has passed. Focus on buying the fourth- and fifth-month crashes.

Article 51: The Seventh Month as the Leading Month of the Three Positions

> 第五十一章　七月三位頭月の事

When the seventh month falls on the leading month (頭月 (*kashira-tsuki*)) of the Three Positions, even though the sixth month may have fine weather and everything points to an excellent crop with further room to fall, pay no heed to that—if rice is around thirty tawara, buy without hesitation from the sixth month onward. As for autumn rice, even when all Japan proclaims a bumper harvest, it is rare that the crop escapes difficulty entirely. Should it be an average year with both the local area and the Kamigata enjoying good harvests, then hold off from the eighth, ninth, and tenth months, identify the floor price, and buy in. In most years of ordinary harvests, prices decline ten to twenty or thirty tawara from the opening and then mostly turn upward. A decline of forty to fifty tawara is exceedingly rare. However, if during the sixth and seventh months unexpected natural disasters strike both the Kamigata and the local area, there will be no orderly trading—prices leap upward by the bale in a sudden surge, and one is left behind. One must absolutely not let down one's guard. This matter is of the greatest importance; engrave it upon the mind. In short, when the seventh month is the leading month, buying from the sixth month onward is without error eight or nine times out of ten. The seventh month as leading month is a month when unusual events frequently occur in both the Kamigata and the local area—it is a month of sharp rallies. One must never be complacent.

Article 51 (continued)

When the eighth month falls on the ceiling and terminal month (終月 (*owari-tsuki*)), it is rare for either the new-crop or old-crop contract to produce a ceiling in this month. The old-crop contract does end in this month, to be sure. But the new-crop contract fluctuates through the seventh month of the following year, so one cannot fix the eighth month as its ceiling. This too tends to fall in years when the Kyūshū region is due for natural disasters. Even if the eighth month does produce a ceiling price, in a year when Kyūshū and the Kamigata suffer crop damage, there will be a rise approaching a hundred tawara within the tenth or eleventh month (霜月 (*shimotsuki*))—careful judgment is paramount.

Rice that has struck a ceiling at around eighteen to twenty-one or twenty-two tawara, and by the following summer has declined only forty to fifty tawara before buyers come in, indicates that physical rice in the Kamigata is in short supply and shipping buyers are rushing to purchase. In the normal course, one would expect a decline of sixty or seventy to nearly a hundred tawara from the first-stem month through to the floor month of the Three Positions. Yet in a year when sentiment remains stretched from the prior year's poor harvest and prices fail to decline as far as they should through the fourth and fifth months, once the busy shipping season passes its peak, prices ease slightly; in the fifth month, when shipping pauses, they fall twenty to thirty tawara further. Then in the sixth month, with fine weather and strong sunshine through the midsummer *doyō* period, reports of a bumper crop emerge; prices are too high relative to the cost basis, so shipping buyers hold back; sentiment deteriorates steadily. The sixth month is also the month when rice holders close out their positions—outside speculators with long positions, as well as non-professional and back-channel traders (素人黒人, *shirōto kurōto*), all sell to close. From mid-sixth month onward a great crash is beyond doubt. Especially in a year when the previous year saw a four-and-a-half-tenths crop failure and outside speculative longs are heavily accumulated, the collapse is all the greater. One should consider the circumstances of such years very carefully.

That said, even in a year when the eighth month corresponds to the ceiling, one should not chase high prices. Wait for a floor-like dip during the three months from the fourth through the sixth, buy both old-crop and new-crop rice, and wait for the eighth-month rally to take profit.

In most cases, an eighth-month ceiling is rare—it does not occur in ordinary years. When a ceiling price appears in winter or spring followed by an extraordinarily steep decline, another ceiling will emerge in the seventh or eighth month. The Tradition says, *"When prices fall sufficiently in the fifth month, the sixth month brings a sharp rally"*—the logic is the same. In an ordinary year, when a summer rally runs from the third and fourth months through the fifth and sixth months, one must understand that there will certainly be no rise in the eighth month.

COMMENTARY: This chapter explains the principles to follow when the seventh month falls on the first-stem month (*kinoe-tsuki*). The meaning is as follows: when the seventh month is the first-stem month, even if the sixth month has fine weather and the outlook points to a bumper crop with apparent room for prices to fall further, one should pay no attention to such appearances. If prices are around thirty tawara, buy the dips without hesitation. Even if the whole of Japan proclaims a bumper harvest during the summer, nine years out of ten, come autumn, complaints of crop difficulty emerge and prices rise.

Should the previous year also have been an average year with good harvests in both the local area and the Kamigata, one need not rush to buy but may wait until the eighth, ninth, or tenth month, identify the floor price, and buy in then.

Having determined the floor, one should buy in. In ordinary years, when the crop is about average, from the opening price of the new contract onward, there is typically a decline of ten to twenty or thirty tawara, after which the market mostly turns upward. A decline of forty or fifty tawara from the opening price is exceedingly rare. However, during the sixth and seventh months, when an unexpected natural disaster strikes both the Kamigata region and the local area, the market breaks sharply upward without any conspicuous trading—prices jump by the bale and surge higher—and one is left behind. One must never be caught off guard. This point is of the utmost importance and must not be forgotten.

In short, experience shows that when the seventh month falls on a first-stem month (甲, *kinoe*), buying from the sixth month onward proves unprofitable only one time in ten. When the seventh month falls on a *kinoe* month, it is generally a month in which some disturbance arises in both the Kamigata and the local area, producing a sharp rally—one must never let one's guard down.

Next, regarding an eighth-month ceiling: it is truly rare for the ceiling to appear in this month. Since the Sakata Rice Exchange's (酒田米會所 (*Sakata Kome Kaisho*)) customary trading season for old rice ends on the last day of the eighth month, and from the ninth month onward only new-rice contracts are traded, and since new rice fluctuates through the following seventh month, there is no particular reason, on principle, why the ceiling must appear in this month. A *kinoe* seventh month tends to coincide with a cycle in which natural disasters strike the Kyūshū region. Even if a ceiling price appears in the eighth month and the market eases temporarily, should Kyūshū and

the Kamigata suffer crop damage that year, there will likely be a rise of around one hundred tawara by the tenth or eleventh month—one should watch the situation carefully.

When rice that has struck a ceiling at eighteen to twenty-one or twenty-two tawara shows, the following summer, only a modest decline of forty or fifty tawara, and buying ships are pressing in, this is because physical rice in the Kamigata and the provinces is in short supply, and the ships are rushing to buy. Properly speaking, a decline of sixty or seventy to roughly one hundred tawara from the first-stem month through the last-stem month would be the normal course. Yet in years when strong sentiment persists from the previous year's poor harvest and prices fail to decline as far as they should by the fourth or fifth month, from the busy shipping season onward the market turns slightly lower; in the fifth month, when shipping briefly thins out and there are no buyers, it falls another twenty or thirty tawara. Then, in the sixth month, when the weather is fair and summer heat beats down during the *doyō* period, good crop reports circulate; moreover, because prices are disproportionately high and the arithmetic does not work for buyers in the provinces, the ships do not buy, and sentiment gradually deteriorates. The sixth month is also the month when rice holders sell off their inventory—not only provincial speculators but amateurs and professionals alike close out—and from mid-sixth-month onward a collapse is beyond doubt. Especially in years following a poor harvest, when provincial speculative positions are heavily built up, the collapse is all the greater. In such years, one should pay very close attention.

However, even in a year when the eighth month falls on a *kinoe* ceiling month, it does not pay to chase high prices. During the three months of the fourth, fifth, and sixth, whether in new rice or old, one should look for a floor-like dip and buy in, then wait for the eighth-month rally to take profit (利喰 (*rigui*)).

That said, judging by past precedent, an eighth-month ceiling is exceedingly rare—it simply does not occur in ordinary years. Only in years when the ceiling price has appeared from winter through spring and the market has subsequently fallen to an extraordinary degree does the ceiling reappear in the seventh or eighth month.

Beyond that, the kinds of years in which a seventh- or eighth-month ceiling may arise are those in which, around the sixth month, the weather is unfavorable and there is anxiety about a poor harvest ahead. In such years, by the custom of the Sakata Rice Exchange, the opening of the new-rice contract is postponed from the sixth month. If the market stands at the thirty-tawara level, one should buy during

the fifth and sixth months while prices are low. For physical rice (*shō-mai*), there are risks of spoilage and measure-shrinkage, as well as interest due to the selling counterparty; estimate these costs at twenty to thirty tawara and use rice certificates as collateral for borrowing (歩金 (*bukin*)—pledging rice certificates as security, much like pawning), then wait for the eighth-month rise. Should an extraordinarily high price appear in the seventh month, one need not wait until the eighth—take profit then. This is the same principle described earlier: "When the fifth month falls fully, the sixth month rallies sharply." In ordinary years, when there is a summer rally from the third or fourth month through the fifth or sixth, there will decidedly be no eighth-month rise—one should understand this well.

Article 52: On the Great Collapse from Winter through Spring When Cash Is Depleted

第五十二章　冬より春迄金拂底大崩しの事

In a year when cash is depleted (金拂底 (*kinbarai soko*)) from winter through spring, it is because speculative buying is heavy and funds run short. If in such a year prices have not fallen by the fifth month, a great collapse around the twentieth of the sixth month is beyond doubt. Should the seventh month in such a year fall on a *kinoe* month, prices should rise sixty or seventy tawara in the seventh month.

In Meiwa 5 (明和五年, 1768), the decline from the ceiling price was one hundred sixty to one hundred seventy tawara—a decline greater than this is rare. In Kansei 11 (寛政十一年, 1799), it was one hundred fifty tawara down; in Kansei 12, on the thirteenth day of the sixth month of the Monkey year, one hundred tawara down. The floor price persisted for three years.

When the seventh month falls on a *kinoe* month and the market turns downward, sell without hesitation; watch for twelve or thirteen days, target a hundred-tawara decline, then buy back and buy beyond that.

COMMENTARY: In Master Sōkyū's era, financial institutions were not as developed as they are today, and the avenues for deploying capital were nothing like what they are now. Consequently, in his domain and the local area, the uses of capital were limited to speculating in rice or speculating in other commodities. Considered from this standpoint, in a year when currency in circulation is depleted from winter through spring, it is proof that speculative buying in rice is heavy. In such a year, if the market has not declined by around the fifth month, it will assuredly collapse by late in the sixth month. Should the seventh month that year fall on a *kinoe* month, prices should rise sixty or seventy tawara in the seventh month.

"When the market turns downward, sell without hesitation. The first ceiling is difficult to identify, so watch for twelve or thirteen days, then sell without fail at the second ceiling. Target a hundred-tawara decline, assess the sentiment at that point, take profit promptly, and at times buy beyond the close."

Article 53: On Ceiling and Floor Prices Persisting for Three Years

> 第五十三章　天井直段底直段三年續きの事
>
> Ceiling prices and floor prices, it is said, persist for three years. One must not suppose this applies only to ceiling prices—floor prices, too, persist for three years. Since this occurs even in ordinary years, one should pay very close attention.

COMMENTARY: In the *Three-Position Catechism* of the Kuzuoka-gura (葛岡倉の三位問答, *Kuzuoka-gura no sanmi mondō*), this is explained as follows: if the market cycles high for three years, then the low cycle likewise continues for three years. Between these, there are middling years that belong to neither the high cycle nor the low. Cycling in three-year intervals, approximately once every ten years a great high cycle occurs.

This accords with the theory current in Europe and America that a panic occurs once every ten years. More detailed discussion will follow later, but in the passage elsewhere in this text concerning ceiling prices, it says: "In the first year, a ceiling of one hundred to one hundred twenty, one hundred sixty, or one hundred eighty tawara may appear; in the second year, it falls short of the first; in the third year,

it falls still shorter—understand this well. The pattern in the following spring's decline is the same." One should consult that passage as a reference.

Article 54: On Gauging the Ceiling: Targeting a Hundred-Tawara Rise

> 第五十四章　天井の考百俵上げ的の事
>
> To gauge the ceiling means targeting a rise of one hundred tawara or more. To gauge the floor means targeting a hundred-tawara decline—yet one may be confounded by the prevailing conditions. When prices begin to fall, the decline continues for ten, twelve, or thirteen days; therefore, watch carefully and wait for the bottom before buying in. On *ushi* days (丑の日), *fujōju* days (不成日 (*fujōju nichi*)—inauspicious completion days), *ten'ichi* days (天一), and *hassen* days (八専), the decline most often halts. In particular, when buying in a falling market, unless one buys the floor, profits will be thin.

COMMENTARY: That the ceiling and floor should be determined by a hundred-tawara swing as the standard has been stated repeatedly. This was based on the commercial customs of the Shōnai region in Sōkyū's time. In the present day, following the standard established by Master Ishikawa, one should treat roughly one hundred tawara as approximately one-tenth and conduct one's maneuvering (*kakehiki*) accordingly.

Now, to gauge the ceiling and floor, one targets a swing of one-tenth or more. There are times when one is swept up in the sentiment of the moment and finds it difficult to sell into the ceiling—this is not uncommon. But regardless of the frenzy of the moment's sentiment, when one detects the first sprout of a decline, one should sell without hesitation. Furthermore, when rice begins to fall from the ceiling, the decline continues for ten to twelve or thirteen days in succession. To scoop up small lots, one should wait for each successive dip. There are days when the decline pauses of its own accord: on *ushi* days, *fujōju* days, *ten'ichi* days, and *hassen* days, the decline most often halts.

One should consult the passage elsewhere in this text that says: "*Ushi* days and *tatsu* days are days when rice is cheap; however, *ushi* days are days when floor prices and ceiling prices appear—at ceilings and floors, pay close attention to *ushi* days." Next, regarding the state-

ment that “in a falling market, unless one buys the floor, profits will be thin”—in a falling market, scooping up small lots on the way down is difficult to profit from, because while one is still thinking the retracement has not gone far enough, the market turns and heads down again.

Article 55: On Reading the Sixth-Month Collapse

第五十五章　六月崩し見様の事

When the previous year’s harvest was poor, or when both the Kamigata and the local area suffered poor harvests, and there are rumors of goods in short supply, and Ōsaka prices are high—at such times, local sentiment is fired up, speculative buying of summer rice is heavy, and cash runs short. When buying is heavy, take heed. Around the eleventh month, twelfth month, or first month, a ceiling of eighteen or nineteen to twenty-two or twenty-three tawara appears. Rice that then holds in consolidation (保合 (*mochai*)) through the fifth or sixth month will assuredly collapse in the sixth month.

When a ceiling appears by around the tenth or eleventh month and there has been a rise of sixty or seventy tawara by the twelfth month or first month—and when the previous year was a half-crop or worse and a great ceiling of seventeen or eighteen tawara appears in winter—sentiment is stretched to the extreme. Because summer-rice speculation is intense, prices do not decline through the fourth or fifth month. In the sixth month, the weather is fine, the sun beats down through the *doyō* period, and reports of splendid paddy growth circulate. Since prices are generally high, the buying ships do not press; meanwhile, because both domain warehouse rice (御藏, *okura*) and private rice (内米 (*uchimai*)) come to market in insufficient quantities, these rumors cause sentiment to deteriorate, and sellers rush to escape, each trying to be first. Margin deposits (元質 (*motoichi*)) also fall short, and demands for additional funds, combined with the rest, bring abundant supply onto the market—and prices fall further still.

One must first of all consider the volume of ships, the volume of rice coming to market, and the size of long positions. *“What falls short will prove to be in excess; what is in excess will prove to fall short”*—in time, when the supply has thinned out, prices will rise. Consider this well.

> However, when one judges that a sixth-month collapse is likely, one should assess conditions carefully and sell from the start of the sixth month through around the tenth day, even at a thirty-tawara decline. Then observe the pace of the decline for six or seven to twelve or thirteen days from the start, gauge the floor price, and buy in. Because the season is late, large positions are pointless—limit oneself to two or three hundred ryō. In a year when the seventh month falls on a *kinoe* month, one may be confident. Otherwise, years in which buying ships ply their trade through the eighth month are rare—judge accordingly.

COMMENTARY: This chapter describes the conditions and the proper approach to a sixth-month collapse.

When the previous year's harvest was poor, and conditions in the Kamigata likewise lean toward poor harvests with rumors of physical rice in short supply, and the Ōsaka market is at high prices—local sentiment is stimulated and speculative buying of summer rice is heavy. The depletion of cash is the proof. At such times, one must pay the closest attention. When a ceiling of eighteen or nineteen to twenty-three or twenty-four tawara appears around the eleventh month, twelfth month, or first month, and rice holds at high-price consolidation through the fifth or sixth month, a sixth-month collapse is certain.

Again, when a first ceiling is struck by around the tenth or eleventh month, and thereafter the ceiling falls sixty or seventy tawara, and the market holds in consolidation around the twenty-seven-tawara level through around the fourth month—such rice will rally sixty or seventy tawara in the seventh or eighth month.

In a year when the previous year's harvest was roughly half-crop and a great ceiling of seventeen or eighteen tawara appears, sentiment is extremely taut, and because summer-rice speculation is heavy, prices do not decline through the fourth or fifth month. From around the *doyō* period of the sixth month, the weather is praised and buyers hold back anticipating a good harvest, while neither the domain's warehouse rice nor private supplies come out in sufficient quantity. As the market declines step by step, margin deposits on physical rice used as loan collateral also fall short, and the disposition of that rice comes onto the market too—all told, supply overwhelms demand and prices fall relentlessly.

At such a time, one must consider the volume of buying ships, the volume of rice coming to market, and the scale of long positions, and maneuver accordingly. Yet as the proverb says, *"what falls short will prove to be in excess; what is in excess will prove to fall short"*—in time, physical rice thins out and prices rise. One should consider this well.

When one judges that a sixth-month collapse is developing, one should sell from mid-fifth-month onward, even if prices seem somewhat low, and when the collapse begins, gauge the floor and take profit within about half a month. However, because the season is late, one must not commit large capital.

Article 56: On Resolve: "Just as I Thought" Whether It Rises or Falls

第五十六章　上れば扨こそ下れば扨こそ決心の事

One may believe that rice should rise, yet when an unexpected dip appears in the interim and one watches uneasily, and then prices rise a little, one thinks "just as I thought—it is going up." When prices then fall, one thinks "just as I thought—it was going down after all." This is nothing but a mind that is unsettled and in constant motion.

When one studies the market in hindsight, it seems easy enough: "I could have sold that rally and bought that dip, capturing both the rise and the fall." But in practice, capturing both sides of the swing is rare. Rather, one should step back for a month or two, observe the aftermath, and resolve to capture just one movement—either the rise or the fall. The desire to capture both sides of every swing keeps one ceaselessly tied to the market the whole year through, one's mind in constant agitation. That is why losses mount.

Commentary: In trading, one must empty one's mind and make it level, then discern whether prices are headed up or down—this is what matters most. When one's mind is even slightly unsettled, the merest uptick makes one think "Ah, so it is a rising market after all," and the merest dip makes one think "Ah, so it was a falling market"—and one's mind knows not a moment's rest. Looking at the market's footprints after the fact and thinking about them, it seems as though one could have profited on both the rise and the fall. But that is the ad-

vantage of the spectator—like an onlooker at a game of go who sees eight moves ahead. When one is actually in the thick of it, far from capturing both sides, one cannot even capture one.

Therefore, abandon such greed. Rather than chasing the market's every move, step back for a month or two, form a longer view, and resolve to capture just one direction—up or down. As stated earlier, the principle of committing to one side—buy only when you see an advance, sell only when you see a decline—applies precisely here.

This chapter pierces the weak point of the market speculator with penetrating insight. The reader will surely recognize having found himself in just such a predicament more than once.

Article 57: On the Error of Averaging Down in a Bearish Losing Streak

> 第五十七章　弱氣不利運心得違の事
>
> When one takes a bearish stance and turns to the sell side, and through misjudgment begins to accumulate small losses, one may then attempt to sell-average (賣平均 (*uri-beikin*)) by piling on more sell orders into rice that is already rising. This is a grave error of judgment. One must not go against the market; exercise restraint. The same applies when on the buy side. When one's assessment proves wrong, close out early and observe how things develop.

COMMENTARY: This chapter is a warning against averaging into a losing position—sell-averaging or buy-averaging, that is, the practice of adding to a losing trade (難平商 (*nanpin akinai*)). The meaning is clear without further annotation.

Article 58: In a Bountiful Year, Rice Must Not Be Sold

> 第五十八章　豐年の米不可賣事
>
> When the harvest in this region is bountiful, one must not sell rice. During autumn and winter, when the floor price (底直段 (*soko nedan*)) appears, buy in and carry the position through to spring; profit is assured. Because the news of a bountiful

> harvest reaches the other provinces, by spring incoming shipments (入船 (*irifune*)) increase, and winter buying also arrives. During autumn and winter, prices are pulled down in step with the crop yield. If prices do not rise by spring, they will certainly rise by the fifth or sixth month.

COMMENTARY: In a year of bountiful harvest in this region, the market will already have discounted the surplus, driving prices down close to the floor—so taking the sell side is unprofitable. In a year of good harvest, the floor price will inevitably appear sometime during that autumn or winter; one should buy at that point and carry the position to the following spring, when profit is assured. The reason is that when word of cheap prices from a good harvest spreads to the other provinces, winter buying flows in and, moreover, by spring the incoming shipments increase, creating the conditions for a spring rally. In some cases, depending on circumstances, the spring rally may be delayed until the fifth or sixth month. For further detail on incoming shipments and winter buying, see the section on Sakata rice-trading customs at the beginning of this volume.

Article 59: On the Two Kinds of Regret

> 第五十九章　後悔に二つある事
>
> There are two kinds of regret in trading; one must understand both. When prices are fluctuating and one could have taken full profit by waiting five or six more days, but rushes to take profits and captures only two- or three-tenths—this is the regret one laughs off. On the other hand, when one holds rice showing seven- or eight-tenths profit but, lost in greed, cannot bring oneself to close, and the market reverses into a loss—this is the regret that comes after great toil, the kind that truly wounds the spirit. One must take this to heart and be on guard.

COMMENTARY: In the matter of profit-taking (利喰 (*rigui*)) on the market, there are two distinct categories of regret. One is the regret one laughs off; the other is the regret that wounds the spirit. Examples of each are detailed in the main text. However, the tactical play of the market demands measures adapted to the moment, and one cannot lay down a fixed rule declaring the former approach always better

or the latter always preferable. If one always takes only a small portion of the profit, one will never achieve a large gain; yet if one always holds out greedily, trying to capture twelve-tenths of the profit, sooner or later one will be caught by a reversal and lose the gains already in hand. One must carefully read the broad trend of the market and the waxing and waning of sentiment (人氣 (*ninki*)), and take measures as the moment requires. In sum, the chapter's meaning comes down to this: when one holds a profitable trade, close out at seven- or eight-tenths.

Article 60: On the Need for Daily Attention to the Market

> 第六十章　毎日の相場に氣を付可申事
>
> The ultimate secret is to pay attention to the market every day and to trade according to the oscillation of rice. What is referred to here as "oscillation and advance" (通ひ運び (*kayoi hakobi*)) is a secret tradition. In reading this, the difference between right and wrong is stark—a hair's breadth of error leads a thousand leagues astray. This is the first principle.

Commentary: What the text calls "oscillation" (通ひ, *kayoi*) refers to the range-bound market (通相場 (*kayoi soba*)), and "advance" (運び, *hakobi*) refers to the trending market (伸相場 (*nobi soba*)).

Now, the ultimate secret of the rice trader is to pay daily attention to the market and judge whether the current market is one that oscillates back and forth in a holding pattern (保合 (*mochai*)), or whether it is trending upward or crashing downward as a trending market. One should attempt trades based on this judgment. However, the distinction between a range-bound and a trending market is extremely difficult to make; even a slight error in reading can have consequences for one's entire fortune, so one must exercise the utmost care in this observation. Let us here synthesize the master's teachings and say a few words about both types of market.

A trending market means a major market that climbs steadily from the floor price or crashes from the ceiling (天井 (*tenjō*)). Its standard is the monthly high-low mark (月節 (*tsukibushi*)): a market that breaks above or below the prior month's mark. In a rising market, prices dip at the month's opening and advance at month-end; in a falling market, they rise at month-opening and fall at month-end—this pattern

continuing for two months or more, up to roughly six months. For methods of observing this, refer to Upper Volume Chapter 2, Chapter 14, and Chapter 40.

The range-bound market, on the other hand, occurs in many forms:

1. A range-bound decline within an overall rise from floor to ceiling;
2. A range-bound rally within an overall fall from ceiling to floor;
3. Range-bound rises and declines within a small-amplitude consolidation.

For methods of reading the range-bound market, see Upper Volume Chapter 10, where the subject is discussed in detail.

Article 61: On the Alignment of Rice, Others, and Self

> 第六十一章　米人我三つ揃候時の事
>
> When the rice itself is weak, the general sentiment is uniformly bearish, and one's own assessment is likewise bearish—after such a time, prices will inevitably rise. When everyone's sentiment is bullish and the rice appears set to advance, it will certainly fall. As a general rule, one should regard rice that has risen a hundred bales (百俵 (*hyappyō*)) as bound to fall; and rice that is feebly weak beyond all reason (*tawahi mo naku*) as bound to rise. This is essential.

Commentary: The meaning of this chapter is that when the market approaches a ceiling or floor, both bulls and bears tend to lean uniformly in one direction, and one is easily swept along by the prevailing sentiment. But one should not be deceived by the crowd. Using the hundred-bale rise as one's standard, one should gauge the position of the ceiling or floor, and take the opposite side of the prevailing sentiment—selling into strength or buying into weakness. For further reference, see Chapter 42.

Article 62: On Accumulating Buys at the Floor

第六十二章　底直段買重ねの事

When rice has been consolidating at the floor price and begins to rise, it will reach the ceiling price rapidly within two or three months. At such a time, using the hundred-bale rise as one's target, it is good to accumulate additional buy positions (買重ね (*kai-gasane*)).

COMMENTARY: When rice has been quietly consolidating at the floor for a prolonged period, building latent momentum, and some catalyst emerges that triggers an upward breakout, the market will continue rising for two or three months. At such a time, one should estimate the upward range and, reckoning on roughly a hundred-bale rise, accumulate buy positions.

A floor-level consolidation typically lasts around thirty days at the major floor; the usual pattern is for the market to break above the prior month's monthly mark within forty to fifty days. However, after a bountiful harvest year or a violent swing, a prolonged consolidation may sometimes extend to about a hundred days, so one should take note.

Article 63: On How Falling and Rising Markets Differ Greatly

第六十三章　下相場は上相場と大違の事

A falling market, from the month the ceiling price is established after a rise of more than a hundred bales, declines gradually over five or six months. It differs greatly from a rising market. In terms of the rice market's oscillation pattern, prices rise at the month-opening and fall at month-end; each month they may gain roughly one bale at the opening, then lose roughly two bales by the close. If from the first through the fourth or fifth of the month, rice drops one or two increments, this represents a buying opportunity within the range-bound oscillation. However, since this is ultimately a rally within a larger decline, it is temporary, and one cannot buy in excess; the position should be closed out within the month.

COMMENTARY: This chapter describes the normal behavior and oscillation pattern of a falling market.

A falling market characteristically shows only modest range-bound rallies and declines steeply for the most part. The standard pattern is for prices to rise at the month-opening and fall at month-end. However, if this pattern is broken and the market shows an unexpected decline at the very beginning of the month, this signals a range-bound oscillation; one should buy at the dip. The market will indeed rally by mid-month. But since this is only a range-bound rally within a larger decline and not a genuine trend advance, one should keep one's position small.

Article 64: On How Rice Follows the Natural Order, Beyond the Reach of Calculation

第六十四章　米は天性自然の理算用に及ばざる事

When one trades by comparing prices against the Kamigata market (上方相場 (*Kamigata soba*)) and calculating the volume of arbitrage rice (乗米 (*nosei-mai*)), one goes against the market and invites error. Rice rises and falls according to the natural order of heaven; calculation cannot reach it. The ultimate secret is to understand the sequence of ceiling and floor, and to pay attention to the market every day. This is essential.

COMMENTARY: To disregard whether the current price stands at the ceiling or the floor, and to trade solely on the basis of whether the arbitrage spread is favorable or unfavorable against other regions, or to maneuver one's trades purely by such calculations, is a mistake. This means failing to follow the broad trend and going against the market. The rise and fall of rice prices is governed by forces that inevitably shift; arithmetic alone cannot capture it. The ultimate secret lies in attending to the ceiling and the floor, and to the waxing and waning of market sentiment.

Article 65: The Secret Tradition of Turning One's Sentiment

第六十五章　米商の秘傳氣を轉ずる事

After a major move up or down, when the market enters a consolidation (保合 (*mochai*)), if it looks somehow weak and, no matter how one considers it or compares with other regions, no bullish signs appear—and it seems that prices must surely fall another twenty or thirty bales, and that unless one sells here one will miss the chance—when the urge to sell presses irresistibly, at that moment, turn one's sentiment and take the buy side. This is the Tradition.

To take the buy side when one is deeply bearish (弱氣 (*yowaki*)) is extremely frightening; yet if one follows this text, abandons one's own opinion entirely, and buys, profit is assured. Likewise, when the urge to buy surges irresistibly, turn one's sentiment and sell. This is the secret tradition (秘傳 (*hiden*)) of the rice trader. One must never relax this mental discipline. When one feels bullish, one should recognize that others feel bullish too. The same holds when one feels bearish.

COMMENTARY: This chapter describes how to form one's assessment during a consolidation that follows a major price swing. Its meaning is as follows: a consolidation market has the effect of making people gloomy; everyone's sentiment turns bearish, and one's own mood follows suit. It begins to look as though prices must surely drop another twenty or thirty increments in the near future, and unless one sells now there will be no opportunity. The urge to sell becomes intense. But in such a case, everyone's mind is the same as yours; those who were going to sell have already sold; the market, along with sentiment, has already declined as far as it can, exhausting all bearish energy. To sell at such a point is the height of folly. Rather, one should buy against the prevailing sentiment.

To buy when one is bearish is a maneuver that is exceedingly difficult to execute. Yet this is precisely the moment to cast aside one's own opinion utterly, perceive the signs of a counter-move in sentiment, and buy. Profit will follow. And when bullish sentiment is surging, one should apply the same principle and sell against it. This is the secret tradition of the rice trader. One must never, ever follow the crowd's sentiment at a turning point.

Article 66: On the Error of Selling While Holding Bullish Conviction

第六十六章　買氣をはさみ賣方心得違の事

To sell while harboring bullish conviction (買氣 (*kaiki*)) is a grave error of judgment. For example, suppose one thinks: "This rice will rise, but there is unlikely to be any strength until around month-end; I will sell a little here, take the interest, and buy back around the first or second of the next month." To sell on such reasoning is a serious mistake. Invariably, prices begin to rise just when one expects them to fall. When one has sold in the conviction that prices must surely decline, and then the market rallies, one finds it even harder to buy back; one day passes, then two, and one falls behind, missing the chance to buy—and ends up on the sell side in the very month one expected to buy. Even if month-end brings a slight dip as expected, one thinks: "Since the rice still looks a little weak, surely the opportunity to take profits by next month will be no different"—and the weaker rice appears, the more one delays buying. When one has judged that next month will bring a rise, one should simply wait for the buying opportunity.

Commentary: This chapter is a warning against selling for short-term profit when one's fundamental conviction is bullish.

For example, suppose one believes this rice will generally rise but judges that the advance will be delayed somewhat — that such-and-such bearish factors remain, and that the price will dip in the near term. One thinks to sell a little, intending to scoop up the dip. But this should never be done. Invariably, just when one expects the decline, the market rises instead. People are stubborn creatures: when one has committed to a sell position out of firm conviction that prices must fall, and then the market rises against that conviction, one finds it all the harder to buy. Wavering and procrastinating, one falls behind the advance, and in the end, seized by frustration, one ends up selling in the very month one should have been buying — and suffers enormous losses. This calls for the greatest caution. If one expects prices to rise next month, one should simply wait for a buying opportunity on the dip.

Article 67: Trading on Personal Notion Alone Is Useless

第六十七章　一分の存念にて賣買無用の事

One must never trade on personal notion alone. Place the Three-Position Tradition (三位の傳 (*sanmi no den*)) at the fore, fix one's stance (立羽 (*tateba*)), and commit decisively — whether buying or selling.

COMMENTARY: The original text says one must not trade on personal notion. Taken at face value, this sounds as though one must never trade on one's own judgment, and one feels a strong urge to object. But the key lies in the three characters "personal notion" (我一分の, *ware ichibun no*). What Sōkyū warns against is trading carelessly, without having assessed the position of the ceiling and floor, and without having settled on a buying stance or a selling stance. His meaning is this: combine the Heavenly Stems (十干 (*jikkan*)) of the months, consult the charts of monthly and bale-count position-reckoning to grasp the highs and lows, and only after a fixed stance — sell if selling, buy if buying — has been firmly established should one begin to put on a trade.

Article 68: Following the Market's Swings Without a Fixed Stance

第六十八章　立羽もなく高下に連れ候事

When one follows the market's swings without a fixed stance, trading on the thought "it will rise" or "it will fall" — after five or six days, as rice moves, one turns bearish and over-sells; after fourteen or fifteen days, one turns bullish again — and each time, losses accumulate. This happens because one rushes the trade, determined to capture every move. Abandon greed. Ascertain the ceiling (天井 (*tenjō*)) and the floor (底 (*soko*)). If it is an up-market, trade up; if a down-market, trade down. Fix one's stance, check it against the Three-Position Tradition, and commit decisively to either buying or selling.

COMMENTARY: This chapter makes plain the reason why trading without a fixed stance ends in loss. When one has no settled stance — neither a buying stance nor a selling stance — one turns seller whenever the market looks weak, reverses position (*doten*), and when prices rise a little, reverses again to the buy side. At each settlement, the result is a loss. This happens chiefly because one is in a hurry to win. Such trading amounts to forcing a view where none exists, and loss is inevitable. Therefore, abandon the desire for gain, do not try to capture every up-swing and down-swing and range-bound oscillation without exception, but establish a fixed stance — buy or sell — and devote one's efforts to capturing the move in one direction.

Article 69: Tempering Oneself Through the Three-Position Tradition

第六十九章　三位の傳を以て上下鍛練の事

In this trade, use the Three-Position Tradition to discern the overall direction of the market. Within a given move, determine how far the decline extends, how far the advance reaches, and at what level it halts.

At that time, consider the crop conditions in the Kamigata and local regions, attend diligently to how matters develop from start to finish. For example, when one has taken a buy position, pay no heed to the erratic swings in between; hold firm and do not abandon one's stance. When one's assessment proves correct, one takes profit exactly as calculated. The approach of "buy low, sell high" may sound sensible, but it is not good practice. When one judges the market to be rising, consider the whole picture and commit to buying only (片買 (*katagai*)). If one's judgment proves wrong, promptly sell back, withdraw, and observe the movement of rice carefully. At such times, because rice appears weak, one is tempted to over-sell — but this is most inadvisable. Even if one is utterly convinced that prices must fall, one should not sell. Bear this in mind.

COMMENTARY: To observe the market's swings, one must empty the mind and achieve calm detachment. First, determine whether this is fundamentally a rising market, a falling market, a range-bound market (通相場 (*kayoi sōba*)), or a consolidation (保合 (*mochai*)). Next, in a rising market, how far does it rise and how far does it pull back? In a falling market, how far does it fall and how much does it rally? How

far does it oscillate, and at what level does it halt? Investigate the proportions of the swings. Then factor in crop conditions, stocks of old rice, volume of supply, the amount of arbitrage rice (乗米 (*nosei-mai*)) at each location, the direction of market sentiment (人氣 (*ninki*)), and so forth. Consider how, in the end, this market will move.

Once one has established a buying stance or a selling stance and has begun putting on a position in one direction, one must press forward with that stance to the very end. One must never fix one's eye upon the intermediate range-bound oscillations. Consider the whole of the market and commit to buying only or selling only (片買又片賣, *katagai mata katauri*). If one's judgment proves wrong, cut losses promptly, cease trading, rest and calm the mind, observe the market's course, and only then resume trading.

Furthermore, when one encounters an intermediate rally or dip, one is tempted to take a small profit — but until the full measure of the months and the price level has matured, one should never take profits.

Article 70: Guarding Against Losing Sight of the Market's Overall Direction

第七十章　高下に連れ米の一體を失ふ用心の事

Even one who has thoroughly studied this book will, when carried along by the market's swings, lose sight of the overall direction of rice. From time to time, check against the Three-Position Tradition. Weigh whether rice overall is heading up or down. When one calculates the highs and lows day after day, month after month, and whenever the spirit stirs, one attaches a view to every daily swing and trades all year round — and when the trade is settled, the result is invariably a loss. In any given year, there are only two occasions, at most, when one can trade with real confidence. Use the Three-Position Tradition to consider whether rice will rise or fall over the next two or three months; then commit single-mindedly to either buying or selling. If even this feels uncertain, wait for months on end and consider the moment when the opportunity aligns. I say again and again: never depart from the Three-Position Tradition and trade on personal notion alone. This is of the utmost importance. If one trades on personal notion, loss is beyond doubt.

COMMENTARY: However well one has mastered the meaning of each chapter explained in this book, once one actually opens a position and is buffeted by the swings, one's habitual discipline vanishes — one's eye is caught by the movement, and one can no longer see the larger trend. Therefore, from time to time, one should practice something like seated meditation (*zazen*): still the agitation of one's own mind, and based on the price-tracking charts (足取表 (*ashitori-hyō*)) — that is, the line charts (罫線表 (*keisen-hyō*)) — study the proportions of the swings, the passage of months and days, the direction and intensity of market sentiment, whether the market is ripe or unripe, and so forth. Only when one's conviction in the direction is free of doubt should one open a position. And, as stated in the two preceding chapters, such moments of assured opportunity occur only two or three times a year. This is reiterated here with the same meaning, as earnest and repeated counsel.

Article 71: Selling Rice That Has Risen Before November with a Margin Call Is Useless

第七十一章　霜月前引上落引の米賣方無用の事

Before the November contract (霜月限 (*shimotsuki-giri*)), if rice has risen only fifty or sixty tawara and triggers a margin call (落引 (*ochibiki*)), one should absolutely not sell. If rice has risen approximately one hundred tawara and triggers a margin call, one may regard it as a selling opportunity. However, in the case of spring or summer rice, when arbitrage rice is plentiful, even a hundred-tawara rise may not contradict the calculation.

COMMENTARY: When the November contract begins to rise from its floor, a hundred-tawara advance is a matter of course; therefore, at a mere fifty or sixty tawara, one should not take profits. At a hundred-tawara rise, that is the standard ceiling price, and one may take profits. However, in a spring or summer market, if the spread against other regions is fully developed, even a hundred-tawara rise does not necessarily mark the ceiling — one should keep this well in mind.

Article 72: Caution in a Range-Bound Market

第七十二章　通相場用心の事

In a range-bound market (通相場 (*kayoi sōba*)), one may have sold four or five hundred ryō worth and find twenty tawara or so of profit accrued. Thinking one has hit the mark, one piles on more — but this is a grave misjudgment. The swings in a range-bound market amount to only ten or twenty tawara; one should take profits quickly and not regret having let go of the position.

COMMENTARY: When one has opened a position on the view that the market is range-bound and, say, twenty or thirty chō of profit accumulates, one is tempted by greed to pile on, forgetting the original assessment. But this is a great error. The typical price range in a range-bound market is only twenty or thirty chō. When ten or twenty chō of profit has accrued, one should promptly take profits (利喰 (*rigui*)) and close the position. The market opens every day and one can always trade again; one should not begrudge letting go of one's position.

Article 73: The Secret Tradition of Waiting Two Days When the Urge to Trade Surges

第七十三章　賣買共心進み立候節二日相待秘傳の事

When one feels compelled that this rice absolutely must rise and one must buy today — wait two days. When the urge to sell surges because prices absolutely must fall — again, wait two days. This is the innermost secret tradition (極意の秘傳 (*gokui no hiden*)). In all cases, when the market reaches the ceiling price (天井直段 (*tenjō nedan*)), watchful timing comes first. When the ceiling price appears, concentrate the mind solely on selling. When the floor price (底直段 (*soko nedan*)) appears, concentrate the mind solely on buying. Never forget this discipline.

COMMENTARY: In Sun Tzu's chapter on strategic dispositions (*Gunkenhen*), it is said: an eye that can see the sun and moon is not thereby called sharp, and an ear that can hear thunder is not thereby called keen — for any person's eyes and ears can see and hear such things. Likewise, when the market nears the ceiling, it looks to everyone as though it will rise; and when it nears the floor, it looks to everyone as though it will fall. One is naturally tempted to trade in the direction of popular sentiment. But at such moments, the causes of the rise or fall have already been fully expressed in the price — the market stands at the very point of reversal. Therefore, no matter how intense the urge to trade, one should refrain for two or three days. Invariably, the market will move against popular sentiment.

Therefore, when one senses that the ceiling price is near, one must not forget the resolve to sell. And when one judges that the market has reached the floor, one must not forget the resolve to buy on the dip. This is the foremost secret tradition of the market.

End of the Upper Volume

宗久翁相場全集上卷了

Part II

Lower Volume (下卷)

Article 1: On Margin Calls

第一章　落掛りの事

When one has bought and the price has risen so many tawara, the margin call (落掛り (*ochikakari*)) is triggered at such-and-such a level.

When one has sold and the price has fallen so many tawara, the margin call is triggered at such-and-such a level.

When executing trades, one must be vigilant during periods of market fluctuation, and manage margin calls (掛引 (*kakehiki*)) according to the following rules.

When a full margin call (落切 (*ochikiri*)) is reached, one should promptly buy back at the same price level. However, if the counterparty carries the position (繋ぎ (*tsunagi*)), there is no need to buy.

Commentary: The source includes a schematic diagram of the margin-call (落掛り (*ochikakari*)) system, showing a scale from one to ten with corresponding levels for: **torikata** (取方) — the profit side (the party whose position is in the money); **yarikata** (遣り方) — the loss side (the party whose position is against them); the margin-call trigger point (落); and the reverse margin-call level.

The *yarikata* (loss side) instructions state: since this is a closing-out and sell-back, even if a margin-call notice has been given, there is no need to rush. The following day, observe the settlement and market conditions; if the price is roughly at the same level (*chō-chō kurai*), one should carry the position (*tsunagi*). If one observes the market conditions carefully and the price is roughly level, one should carry. If the position falls one tawara further beyond the trigger, one should close out entirely and wait to sell again when prices reach a higher level.

Article 2: When the Market Consolidates for Two or Three Months

第二章　相場二三ケ月持合ふ時心得の事

When the market consolidates (保合 (*mochai*)) for two or three months, eight or nine out of every ten traders turn to the sell side. Yet afterward, the market invariably rises. The exception: when rice has climbed relentlessly and consolidates at a level a hundred tawara or more above the floor, one should regard it as a falling market.

COMMENTARY: As a rule, when the market enters a consolidation, sentiment turns gloomy. Market feeling drifts toward the bearish side for no clear reason, and a general selling mood takes hold. Yet afterward, prices move contrary to that sentiment and rise. The reason is this: holding-pattern markets are, in eight or nine cases out of ten, consolidations at the floor. Everyone has sold into the consolidation, pounding the market down, and even though it looks as though it should fall further, it refuses to do so. If it cannot go down, it has nowhere to go but up. The market has been storing latent upward energy, and so, given even a small catalyst, it erupts upward. Even so, one must assess the price level (位取 (*kurai-dori*)): examining the footprint chart (足取表 (*ashitori-hyō*)), if the market has climbed steadily from the floor and consolidates at a level a hundred tawara or more above it, that is a falling-market case—the exception to the holding-pattern principle explained here.

Article 3: When One Missteps, Everything Is Reversed

第三章　一ト足踏みはづす時は皆裏表になる事

When a trade has gone well for several months and one's forecasts have proven correct, one must never ride the winning streak. One's sole aim should be to close out safely. Because one's forecasts have been right for months, one grows complacent — both in buying and in selling — and at every small fluctuation one is tempted to stake another view. Guard against this. In such a trade, the moment one missteps, everything is turned inside out. Take profits carefully, again and again; never treat the market carelessly. Rise and fall in this trade are matters of natural order, and apart from the Three-Position Tradition (三位の傳 (*sanmi no den*)) there is no way to secure profit.

COMMENTARY: When one has identified the direction months in advance, entered a trade, and seen it bear fruit just as expected, one must not, drunk on success, press for still more. The essential thing is simply to take profit without incident (利喰 (*rigui*)). After months of correct forecasting, one comes to regard the market as easy to read, and at every small price movement one is eager to stake large speculative positions. This must be strongly guarded against. To form a market view is not so simple a matter. While one is winning, all is well; but should one slip even once, everything inverts — the profits of recent months turn into losses of equal magnitude. Therefore one must, again and again, study the footprint chart closely, weigh the price level of the ceiling and floor, and trade accordingly. Apart from the contemplative discipline of Zen (禪心 (*zenshin*)), profit is hard to come by.

Article 4: The Secret Tradition of Turning One's Sentiment in Trading

第四章　賣買買氣を轉じ秘傳の事

When rice appears weak and selling pressure mounts urgently, wait three days, reverse your sentiment, and join the buy side. This is invariably profitable. When buying pressure mounts and everyone is certain prices must rise, reverse your sentiment once more and sell. This is the innermost secret (極意 (*gokui*)) of the rice trade — never forget it. When you yourself feel bullish, know that everyone else feels the same; when you yourself feel bearish, everyone else has likewise tilted bearish. What has risen to the limit falls; what has fallen to the limit rises — this is the natural principle of yin and yang, and requires no further deliberation. Entrust yourself entirely to the Three-Position Tradition.

COMMENTARY: Near the floor, all traders lean bearish, and one's own impulse is to sell along with them. But rather than selling at once, step back, reflect for three days, reverse one's sentiment, and turn to the buy side. The market will indeed rise. Conversely, near the ceiling, people proclaim that there is no telling how much higher prices may go; on the surface, everything that appears is bullish; one is swept along by the crowd's enthusiasm and wants to buy. Yet here too, one should make an abrupt about-face and turn to selling. The market, you see, always runs ahead of the crowd's thinking. When every last

person has turned bullish and buys recklessly, the market's hidden undercurrent has already shifted toward decline. Rising to the limit and then falling, falling to the limit and then rising — this is the market's normal state and its fundamental principle. Rather than being made a fool of by overheated sentiment, one should maneuver according to the Three-Position Tradition taught in this book.

Article 5: Guidance for a Year-Block Year When It Turns toward the West

第五章　三年塞西の方へ廻る年心得の事

In a year when the three-year directional taboo (年塞 (*toshi-fusagari*)) turns toward the west — that is, the Boar, Rat, and Ox years (亥子丑) — rice rises greatly. This principle admits no exception. However, if government storehouse rice (御蔵米 (*okura-mai*)) lies unsold in surplus, or disputes arise over warehouse certificates (札方 (*fudakata*)), or bumper harvests have continued for several years running and rice is plentiful at rock-bottom prices, then hold back and do not form deep speculative positions. If none of these adverse conditions apply, and the harvest across Japan and in the local region is normal, and the price stands cheap relative to the year's character, buy aggressively. In years when the three-year taboo is in effect, natural disasters strike Kyushu, the Kamigata region, and the local area alike — do not doubt this. After the ceiling price emerges during winter, there is a slight pullback; thereafter the first-stem month (*kinoe-tsuki*) falls in the eleventh, first, or third month, and at that time prices rise fifty or sixty tawara. Do not doubt it. In a year when the first-stem month falls in the seventh month, even if Japan and the local region both enjoy good harvests, do not hesitate — from the sixth month onward, buy without letting down your guard.

COMMENTARY: This chapter is not necessarily to be taken on faith, but here the commentator provides an explanation following the master's original text.

The three-year western taboo (西三年の塞) listed in the calendar apparatus at the end of this volume — that is, the three years Boar, Rat, and Ox — are years in which the market rises greatly. Based on past experience, this holds true in eight or nine cases out of ten. Even so,

if the deliverable rice — that is, the warrant rice (券米 (*kenmai*)) — is plagued by empty-certificate issuance and non-delivery, or if years of consecutive bumper harvests have left surplus rice flooding the market, then even in a western-taboo year the rise will be modest, and one should not form speculative positions. If, however, no such adverse conditions exist, and the harvest across Japan — especially in the local region — is good, and the price stands cheap relative to the crop, one may speculate fully on the buy side. Past precedent shows that in years when the three-year taboo is in effect, the cycle brings natural disasters in its train. After the winter ceiling emerges and prices pull back slightly, the first-stem month (*kinoe*) aligns with the eleventh, first, or third month, and at each of these junctures prices rise fifty or sixty tawara.

As for the great rise described above: in a year when the monthly stem-branch rotation places the first-stem month in the seventh month, one should turn to the buy side from the sixth month onward, buying without letup. The expression "government storehouse rice lies unsold" (御蔵米滞り) in the proviso refers to stockpiled rice that refuses to diminish.

Article 6: On Days When Nakagami Is in the Heavens

第六章　天一天上日の事

The days called 天一天上 (*ten'ichi tenjō*), 八専入 (*hassen-iri*), 丑日 (*ushi no hi*), and 不成就日 (*fūjōju-bi*):

When rice has been rising steadily and nears a hundred-tawara gain, and the high price falls on one of these days, that price is the annual ceiling (年中行附天井直段). Thereafter, no higher price will appear. In a three-year taboo year or a year when the first-stem month falls in the seventh month, the ceiling will without fail come on one of these days. In ordinary years, it is said that the ceiling may also fall on these days, but in practice this is rare — in ordinary years, the ceiling comes on an unremarkable day. When rice has been rising steadily toward a hundred-tawara gain and, on the twenty-ninth and thirtieth of the month, sentiment is buoyant by a *bu* or two, one should understand that the ceiling price will appear the following month.

COMMENTARY: This chapter records observations drawn from the three-year western-taboo and seventh-month first-stem years. In such years, when the market has risen to its limit, the ceiling will absolutely come on one of the days listed above. In other years, however, there is no fixed rule — the ceiling falls on an ordinary day. The way to read the ceiling is this: when the market has been climbing steadily for several months and, around the end of the month, the internal sentiment (内気配 (*uchi-kehai*)) is buoyant, one should understand that the ceiling price will emerge the following month.

Article 7: Guidance for When One Thinks to Profit Quickly

第七章　急に儲く可しと思ふ時心得の事

When one hastens to profit quickly, one is bewildered by the daily fluctuations and ends up chasing the market from trade to trade, suffering losses each time. For new-crop rice, carefully consider the weather (順氣 (*junki*)), the crop conditions in the Kamigata and other regions, the ceiling and floor, and check these against the Three-Position Tradition; then join the buy side and maintain a bullish stance throughout. Spring and summer rice follow the same order. The initial entry (踏出し (*fumidashi*)) is critical: wait for months on end and identify the floor — this is the first priority. When a trade is going well, profit-taking (見切 (*mikiri*)) is critical. After closing a trade, resting for forty or fifty days is essential.

COMMENTARY: When one rushes to profit, one overestimates the price range, chases the market, and buys at the very moment prices are about to turn downward from the ceiling, or sells short at the very moment prices are about to turn upward from the floor. Crashing into one wall and then the other, reversing position (ドテン (*doten*)) each time, one suffers losses on every trade. The market should be traded on the grand view — selling at the ceiling and buying at the floor. There is no surefire method for capturing the middle swings. Consider the crop conditions across all regions, the state of the weather, market sentiment, the volume of rice in storage and rice coming to market; fix one's attention on the ceiling and the floor. When one has identified the ceiling, sell single-mindedly; when one has identified the floor, buy single-mindedly — trade with decisive conviction. The initial entry is of the utmost importance, so wait for any number of

months, watching for the ceiling or floor to appear before committing. Then take profit at the seven- or eight-tenths mark, close the trade, rest quietly for forty or fifty days, observe the market's course at leisure, and enter the next trade.

Article 8: The Root of Rise and Fall Is the Quality of the Harvest

> 第八章　高下の本は作の善惡の事
>
> The quality of the harvest is the root of all rise and fall. Each year, the first priority is to consider the volume of rice — large or small — from Kyushu, the Kamigata region, the local area and its neighboring provinces, as well as old-crop rice. The Three-Position Tradition is not a technique for knowing rise and fall in itself; it is a technique for recognizing, when the time of the Three Positions arrives, what kind of development has emerged and whether the moment is ripe for a rise. This deserves deep reflection.

COMMENTARY: Since the quality of the harvest — that is, the size of the crop — is the fundamental cause of market rise and fall, one must assess the surplus rice carried over from the previous year together with the current year's crop. The meaning is clear enough, but a point of interpretive difficulty arises with the term "Three Positions" (三位 (*sanmi*)). This term, which has appeared repeatedly as a technical term in earlier chapters, admits of three interpretations:

First interpretation: "Three Positions" refers to the position of the ceiling, the position of the floor, and the position of the middle price.

Second interpretation: "Three Positions" refers to the three-year western-taboo and first-stem month system.

Third interpretation: this is the view of Master Kuzuoka (葛岡翁), offered in his *Sanmi Mondō* (三位問答). He held that "Three Positions" is an abbreviation of *sanmai* (三昧 (*sanmai*), "meditative absorption"), so that "the Three-Position Tradition" means: with a Zen mind and with the aid of the price-level charts, to observe the market's position and touch the heartstring of its rise and fall. Master Kuzuoka, however, acknowledged the validity of the first two interpretations as well, leaving the question open. To restate the chapter's meaning briefly: one should calculate and weigh the fundamental causes of rise and fall described in the preceding chapters, reflect deeply, wait

for months on end, and only when it accords with one's own conviction should one commit to a trade (商内 (*akinai*)). This is what the chapter teaches.

Article 9: Maneuvering by the Osaka Market

第九章　大阪相場を以て掛引の事

In the Osaka market (大阪相場 (*Ōsaka sōba*)), autumn prices tend to rise on the strength of the various provinces' harvests. From spring and summer through the seventh and eighth months, when old rice is running thin and the wheat harvest has shown no shortfall, prices decline year after year from the fourth month through the eighth.

When the local market enters its summer-rice season, ships arrive faster than the Osaka market's pace, domain storehouse rice (御蔵米 (*okura-mai*)) thins out, and rice runs scarce around the Inland Sea coast. When ships compete to buy, unexpectedly high prices can emerge. At such times, the volume of storehouse releases, the flow of domestic rice, and the number of ships are the primary considerations. One should note, year by year, around what time Osaka reaches its ceiling (天井 (*tenjō*)) and around what time it reaches its floor price (底直段 (*soko nedan*)), and maneuver (掛引 (*kakehiki*)) accordingly. In Kaga rice, forty-eight or forty-nine *monme*, or fifty-one or fifty-two *monme*, marks the floor.

Commentary: This chapter describes how to use the Osaka market as a reference for maneuvering in the local market.

The normal pattern for the Osaka rice market through the year is as follows: in autumn, prices tend to rise on the strength of each province's crop conditions. From spring and summer through the seventh and eighth months, when there is no concern about old rice running short and no failure in the wheat harvest, prices decline year after year from about the fourth month through the eighth.

In the local market's normal pattern, once summer rice comes in, the pace is faster than Osaka's: buying ships arrive earlier than usual, local stocks diminish, the provinces around the Inland Sea run short of rice, and ships compete to buy. In such years, unexpectedly high prices can appear. At those times, the most important tactical considerations are the volume of local warehouse stocks, the volume of

farmers' held rice, the volume of export rice, and the number of buying ships. One should keep a record of when Osaka typically makes its ceiling and floor each year and apply that knowledge to local maneuvering. As a rule of thumb, Kaga rice at forty-eight or forty-nine *monme* to about fifty *monme* generally marks the floor.

Article 10: On Price Ranges

> 第十章　十餘二三丁一二三匁廿匁より其餘の事
>
> When rice has risen more than ten 俵 (*tawara*) above the floor, one should sell. However, in a year of poor harvest, one should wait and observe.

COMMENTARY: Rice that has risen ten or more tawara above the floor should be sold against the trend. However, in years of poor harvest, prices can rise as much as a hundred and eighty tawara, so one must observe carefully before selling.

> When rice has fallen two or three increments (丁 (*chō*)), one should buy. However, rice that has been pushed up to around twenty-five tawara should not be bought in haste.

COMMENTARY: Even in a sharp decline, once rice has passed one full stage of major decline and dropped through a second and third breath of selling, one may try buying tentatively. However, when the market stands at around twenty-five tawara — a high price level — one must not rush to buy.

> One or two *monme* to three *monme* of spread marks the ceiling; one should sell. Twenty *monme* or more of spread marks the floor; one should buy. However, even if one notes the ceiling and floor prices, when rice is in the midst of rising, calculations alone will not hold.

COMMENTARY: This chapter describes a method for estimating the local ceiling and floor by using the spread (鞘 (*saya*)) — that is, the carry rice (乗米 (*nosei-mai*)) or price differential — between the Osaka market (the demand center) and the local market.

The references in the text to "one or two *monme*" and "twenty *monme*" refer to the spread of Shōnai rice against the Osaka market. The meaning is: when the spread narrows to one, two, or three *monme*, the market is very likely at the ceiling, and one should sell. When the spread has widened to as much as twenty *monme*, the market is at the extreme floor, and one should buy. However, this is stated in broad terms. In a rising market, the spread can narrow to nothing or even invert, so one cannot maneuver on the spread calculation alone. One must take a broad view of the overall trend.

Article 11: On the Twenty-Monme Floor

第十一章　二十匁底の事

The twenty-*monme* spread marks the floor. In a normal year, old rice declines around the fifth and sixth months. When two successive years of good harvest occur, the spread can widen to as much as twenty-five or twenty-six *monme*. In a year of local crop failure, the floor comes at a spread of sixteen or seventeen *monme*, and the ceiling arrives when the spread vanishes entirely. In a year of good harvest, one should reckon that the floor is at a twenty-*monme* spread and the ceiling at eleven or twelve *monme*. When the crop outlook is uncertain, one should buy without hesitation. After the ceiling price has appeared, one should gradually sell over five or six months — this yields full profit (十分利運 (*jūbun riun*)). Until the ceiling price has appeared, one must absolutely not sell. Note, however, that in the fifth and sixth months, depending on the volume of rice, the situation may defy analysis. In years when long positions are heavy, a collapse will certainly come in the sixth month — do not doubt it.

COMMENTARY: This chapter elaborates in detail on the method introduced in Article 10 for observing the ceiling and floor through the spread.

Around the floor, the spread against Osaka is typically about twenty *monme*. In a normal year, old rice declines around the fifth and sixth months, and when two or three years of decent harvests have continued, the spread can widen to twenty-five or twenty-six *monme* as prices pull back. In a year of local crop failure, the floor comes at a spread of sixteen or seventeen *monme*, and by the time the ceiling price appears, the spread has vanished entirely. In a year of good

harvest, if the floor is at a twenty-*monme* spread, the ceiling comes at about eleven or twelve *monme*. When the crop outlook looks uncertain, one should buy at these spread levels without hesitation. However, the fifth and sixth months are driven so much by the volume of remaining stocks and long positions that they are difficult to analyze with precision. In years when long positions are heavy, a major break will certainly come around the sixth month.

Article 12: On the Twelve-Monme Middle

第十二章　十二匁中の事

Twelve *monme* of spread marks the middle price (中直段 (*chū nedan*)). When new rice first appears around the sixth or seventh month and old rice is sitting at its fifth- or sixth-month ceiling price, new rice will open at a correspondingly high price. At such times, one should carefully assess the crop conditions and sell aggressively. When the harvest is good, the spread can widen to more than twenty *monme*. However, with a stake of three hundred *ryō*, quick-eyed deep commitment is unnecessary — exercise restraint.

COMMENTARY: The "middle" (中) means the middle price level. The reference to "three hundred *ryō*" and "quick-eyed" and so on means that one should not commit large positions; rather, one should limit oneself to small positions of two or three hundred *ryō*, take profits quickly, and cut losses promptly. The rest of the meaning is sufficiently clear and requires no further explanation.

Article 13: On the One-Monme Ceiling

第十三章　一匁天井の事

One *monme* of spread marks the ceiling. In a year of local crop failure, the floor comes at a spread of sixteen or seventeen *monme*, and one should reckon the ceiling at one *monme* or with no spread at all. From there, the spread widens: first to three or four *monme*, then to eight or nine *monme*, then down to twelve or thirteen *monme*. When this ceiling appears, one should study the spread and sell into it. In a range-bound mar-

ket (通相場 (*kayoi sōba*)), prices will assuredly decline for five or six months. In a falling market, one should close out sell positions month by month. Yet when one has sold forward positions two or three months out at the extreme tightening of the spread with no carry at all, there is no need to close out: *"At two, close out; at three, fully ripe; at four, it turns"* — this is the secret of the Three-Position Tradition (三位の傳 (*sanmi no den*)). Sell positions in an ordinary month should be closed by the twenty-ninth. Sell positions in the fifth and sixth months should be closed cleanly by the eighteenth, nineteenth, or twenty-first. Bear this in mind.

COMMENTARY: This chapter continues from the preceding one, describing the behavior of the spread at the ceiling and the corresponding maneuvering.

The meaning is as follows: at the ceiling, the spread narrows to one *monme* or to nothing. When the market has been rising for several months and reaches this state of sentiment, it is assuredly the ceiling. One should study the spread and sell in. The decline will continue for two to three months, or as long as five to six months. However, a falling market, as has been explained many times before, drops in stages — declining, then pausing, then declining again. One should maneuver accordingly. If one's position is in the near-month contract (期近物 (*kijika-mono*)), one should generally close out at a reasonable level. The instruction on closing fifth- and sixth-month sell positions has already been explained in the preceding chapter and should be consulted there.

Article 14: Buying Yields Eight Parts Profit; Selling Yields Two

第十四章　買八分の利賣二分の利と申事

"Buying yields eight parts profit; selling yields two."

The seller collects interest and, when carrying profits on top, appears to be in a most advantageous position. Yet if a crop failure should strike the Kamigata region or the local area, Osaka prices surge upward and buying back becomes impossible — losses result. The buyer, on the other hand, pays months of interest and bears indeterminate costs of settlement, making buying seem

> a most difficult proposition. Yet when fortune turns favorable, the carrying costs become as dust before the wind and cause no distress at all. Moreover, regardless of scale, autumn rice never fails to rise — one should not be a seller.

COMMENTARY: This chapter declares that buying is the more advantageous side, and expresses the proportion numerically: roughly eight parts to two in favor of the buyer. It places great weight on the buy side.

That buying is the more profitable side is confirmed by the fact that throughout history, the great majority of successful market operators have been buyers. The author of this text, Master Sōkyū, is of course an emphatic advocate of the buying side. It goes without saying. But even Ushida Jiunsai (慈雲齋) was an early proponent of this view, declaring in the most extreme terms: *"Compare a lantern with a temple bell — selling and buying: buying profits more; selling loses more."* He explained the reason as follows: rice is by nature a commodity biased toward strength, and therefore the advantage lies with the buyer. The allies of bullish sentiment include wind, rain, drought, blight, floods, and other natural disasters, as well as emergencies and shipping disruptions. The allies of bearish sentiment, apart from favorable weather and rice imports, have not a single supporting factor. This chapter expresses the same principle.

The proviso explains the trading customs of the Sakata rice exchange (酒田米会所 (*Sakata kome kaisho*)): when a seller does not close out within the month in which the position was opened and carries it over to the following month, the buyer must pay the seller a monthly interest charge at the time of settlement. This has already been explained in the Opening Volume. Thus, while the seller receives interest from the buyer and, when the market moves favorably, profits handsomely, should a crop failure occur, prices surge sharply upward and buying back is delayed, resulting in losses. By contrast, while the buyer must pay interest — an apparent disadvantage — when the market turns favorable, the profits dwarf the interest paid, which becomes as a single hair among nine oxen (九牛が一毛 (*kyūgyū ga ichimō*)) and causes no concern at all. Particularly in autumn, there is always talk of insufficient sickle-cutting, overpraised crops, poor autumn ripening, and one thing or another — the market is invariably biased upward, and the seller's position is disadvantageous. Beyond this, there is a further disadvantage for the seller: at delivery, the buyer need only prepare funds, but the seller must assemble funds *and* collect rice for delivery — a double burden.

Article 15: Do Not Sell Rice in a Bountiful Year

第十五章　豊年に米売り不可申事

There is a saying: do not sell rice in a bountiful year. Because it is a bountiful year, sentiment is weak and the market is priced cheaply in anticipation. Yet a uniformly good harvest across all of Japan is rare. Some province will produce a shortfall, and from the ninth and tenth months, Osaka will begin to rise. Moreover, because word of a bountiful year spreads everywhere, buyers will come even through the winter.

COMMENTARY: In a year that shapes up as bountiful, favorable conditions improve steadily and the market prices in the good harvest by declining gradually. By the time the bountiful year is confirmed, the market has already reached its floor. However, a uniformly excellent harvest across the whole of Japan is extremely rare; some province inevitably produces a shortfall in crop conditions, and this serves as the catalyst for prices to turn upward. This is the reason behind the admonition: do not sell rice in a bountiful year.

Article 16: Do Not Buy Rice in a Famine Year

第十六章　凶年に米買不可申事

There is a saying: do not buy rice in a famine year. Because it is a famine year, trade opens at high prices in anticipation. On top of that, merchants from the local area and elsewhere pile on with heavy speculative positions. In addition, townspeople and rural folk alike buy even rice they do not need, what with tax-rice payments and other causes, so that by the seventh, eighth, ninth, and tenth months, prices are pushed to their limit beyond what the crop shortfall alone would warrant. Furthermore, sentiment is stretched to its extreme and held there through the summer. The innermost truth is that prices will decline. Bear this in mind.

COMMENTARY: This chapter is the reverse of the preceding one. In a famine year, the market trades at an inflated premium. An inflated market will inevitably decline in the end. Therefore, at the point where prices have been pushed to their extreme, one should exercise great caution and must not buy.

Now, in a famine year, local bullish sentiment (強氣 (*tsuyoki*)) goes without saying, but speculators from other regions also crowd in with buy positions, and the general public develops an urge to stockpile even rice they have no immediate need for. The result is that the market overshoots the actual crop shortfall by three or four months, sometimes five or six, climbing steadily. Moreover, because people witness the famine with their own eyes, they chase the rally and sentiment grows taut. By the following spring, around the third or fourth month — sometimes stretching into the fifth month — the market holds at high prices in consolidation (保合 (*mochai*)). But from around mid-fifth-month into the sixth month, it invariably collapses.

A verse in the *Kinsen Roku* runs: *"When the bullish turn appears and all are bullish — because the price is high, buying is forbidden."* This, too, expresses the same idea as the present chapter.

Article 17: Do Not Buy at the Ceiling; Do Not Sell at the Floor

第十七章　天井を買はず底を賣らずと申事

Do not buy at the ceiling (天井 (*tenjō*)); do not sell at the floor (底 (*soko*)).

This is the first principle. Whether the market is rising or falling, one does not know where the ceiling or the floor lies. Having no sense of where the top or the bottom may be, one chases the rally or presses the decline, and in the end suffers losses. When the market has risen too far, understand that it will assuredly fall thereafter. When it is falling, understand that it will assuredly rise. At such moments, let go of greed and form one's assessment.

COMMENTARY: When one's forecast has been correct for several months running, and the market keeps rising or keeps falling, one loses sight of where the ceiling or the floor might be. One imagines it will go on rising forever, or falling without limit, and forgets to gauge the position of the ceiling and the floor. Carried away by momentum, one piles on buy orders at the ceiling or sell orders at the floor, and the result is loss. Therefore, when the ceiling draws near, one must never let go of the determination to sell. When one senses the floor is near, one must never forget the resolve to buy. The *Yagi Tora no Maki* admonishes: "Do not sell at the ceiling; do not buy at the floor." The meaning there differs slightly from the present chapter: it teaches that the ceiling and the floor are never immediately recognizable, so one should confirm them thoroughly before trading.

Article 18: Famine in a Bountiful Year; Bounty in a Famine Year

第十八章　豊年の凶作凶作の豐年の事

There is a thing called "famine in a bountiful year" and "bounty in a famine year."

When two or three years of good harvests have piled rice high in every province, a single poor crop does not cause serious concern. Conversely, when four or five years of half-yields at sixty or seventy percent have left rice in short supply, even a good harvest will send prices higher. In general, when good harvests have continued for two or three years, people forget the feeling of scarcity; they grow complacent, spending freely without restraint. At such times, understand that within a year or two, prices may reverse themselves as if by the flip of a hand.

COMMENTARY: The first half of this chapter explains "bounty in a famine year," and the second half comments on "famine in a bountiful year."

The volume of rice carried forward through reduced consumption is by no means small. Yet in general, when good harvests continue for two or three years, people forget the feeling of scarcity. Consumers — in weddings and funerals, in celebrations, and in daily life alike — all tend toward rice-eating, and this increase in demand is also by

no means negligible. Consequently, in such years, within a year or two the supply of rice reverses into shortage, and unexpectedly high prices may appear.

In recent times, when the domestic harvest fails, foreign rice can be imported to make up the shortfall in supply. Even so, the price of rice rises in proportion to the domestic crop failure. One should keep this chapter in mind and maneuver (駈引 (*kakehiki*)) accordingly.

Now, when three, four, or even five years of abundant harvests have continued, and surplus rice from deferred consumption has accumulated, a single year of poor harvest will not deeply affect supply and demand, because the surplus compensates for the shortage. Conversely, after a run of poor harvests, even a single good year will send rice prices higher. Moreover, when the populace is prosperous, the standard of living naturally tends toward luxury; ordinary meals shift from mixed grains toward pure rice. But when harvests have been poor or the economy depressed, the reverse occurs: even those who formerly ate only rice switch to barley. The volume represented by this shift in eating habits is by no means trivial.

Article 19: What Seems Scarce Will Prove Surplus; What Seems Surplus Will Prove Scarce

第十九章　足らぬは餘る餘るは足らぬと申事

It is said: what seems scarce will prove surplus; what seems surplus will prove scarce.

When something is plentiful, everyone assumes there is plenty and lets down their guard, making no preparations. For that very reason, it ultimately falls short. When something is scarce, everyone is vigilant and takes pains to secure it. For that very reason, it ultimately proves more than sufficient.

Commentary: In a year of poor harvest, everyone is on guard. People develop the urge to stockpile even rice they have no immediate need for; buy speculators appear; and farming households hold back their grain, reluctant to let it go. The market supply consequently falls short. But when the following spring arrives and the wheat crop looks promising and the weather normalizes, sellers gradually appear and physical rice flows into the market. Then, if the seventh and eighth

months bring strong sunshine and prospects for a good harvest firm up, spot rice floods the market all at once and momentarily piles up. See also Upper Volume, Article 55, on the sixth-month collapse.

Article 20: Do Not Envy Another's Trade

第二十章　人の商を羨むべからざる事

Do not look enviously upon another's trade.

The *Yagi Tora no Maki* states: "Trading born of envy is a thing to be guarded against." This is the meaning of the present chapter.

Article 21: One Must Not Trade in Anger

第二十一章　腹立売買不可致事

Selling in anger, buying in anger — one must never do these things. Exercise the greatest caution.

COMMENTARY: To form one's market assessment, one must rely on reason; one must never let emotion take over. This has been stated repeatedly in preceding chapters. To trade out of envy for another's success, or to trade recklessly because a string of losses has driven one to fury — all of this means acting not from a reasoned assessment of the market but from momentary emotion. One must exercise the greatest caution.

Article 22: Ceiling and Floor Prices Continue for Three Years, Then Change

第二十二章　天井直段底直段三年続き夫より變ずる事

Ceiling prices and floor prices continue for three years, then change. Of this there is no doubt.

Verify this against the records from Meiwa 5 (明和五年, 1768) and it holds true without exception. First, in the year of a three-year block (三年塞 (*sannen-fusagari*)), when the seventh month falls on *kinoe* (甲), the pattern especially continues for three

> years. In other years too, when there is extreme crop failure, it continues for three years. Observe carefully. Consult the price-rating records to confirm. If in the first year the market rises 120 俵 (*tawara*), in the second year expect a rise of 100 tawara. When the market declines from the following spring through summer, the same ordering applies: the decline is less in the second and third years than in the first. This also depends on the volume of buy positions being carried (買ハラミ (*kai-harami*)). Consider well.

COMMENTARY: The meaning of this chapter is clear enough from the proviso, but what remains unclear is the length of one full cycle.

In the *Sanmi Mondō* (三位問答) by the elder Kuzuoka (葛岡翁), a high-price cycle lasts three years, a mid-price cycle three years, and a low-price cycle three years, after which it returns to the high-price cycle. This theory coincides with the view current in Western commercial society that panics (恐慌 (*kyōkō*)) occur once every ten years.

Testing the present chapter's thesis against Meiji 3, Meiji 13, and Meiji 23, the pattern appears to hold in every case. Sōkyū, however, regarded the years when the seventh month falls on *kinoe* during a three-year block facing west as the most reliable instances.

Article 23: The Analogy of the Three Strategies and the Six Teachings

> 第二十三章　三略六韜タトへの事
>
> The *Three Strategies* and the *Six Teachings* (三略六韜 (*Sanryaku Rikutō*)) are writings on the innermost secrets of military arts and strategy — techniques for fortifying defenses and forming battle arrays. Yet even with them, one cannot defeat the enemy and claim victory every time. The rice trade is the same as military strategy. Though tens of thousands of people trade, none possess a proper method. This Three-Position Tradition (三位の傳 (*sanmi no den*)) has been devised with even greater freedom than the *Sanryaku* and *Rikutō*. The seventh month turning to *kinoe*, the three-year convergence — this is precisely the Eight Formations (八陣 (*hachijin*)). Treasure it and keep it with the greatest care.

COMMENTARY: The *Three Strategies* (三略 (*Sanryaku*)) and the *Six Teachings* (六韜 (*Rikutō*)) are both titles of Chinese military classics. The *Sanryaku* is divided into Upper, Middle, and Lower Strategies and treats principally the general's proper conduct. The *Rikutō* is divided into six sections — Civil, Martial, Tiger, Leopard, Dragon, and Dog — and records the maneuvering (駈引 (*kakehiki*)) of armies in the field.

The meaning is this: the *Sanryaku* and *Rikutō* expound the innermost secrets of strategy, yet even with them one cannot win a hundred battles out of a hundred. Now, the maneuvering of the rice trade is of the same nature as the unorthodox and orthodox maneuvers of war. Tens of thousands of people engage in it, yet most do not know the methods and tactical play of the rice trade. This book surpasses even the *Sanryaku* and *Rikutō* in revealing the secrets of rice-trade maneuvering; if one follows its teachings, one will never suffer loss. For example, setting a buy net when the seventh month turns to *kinoe* during a three-year block is like the Eight Formations of military science, which let no enemy escape — a secret method yielding a hundred gains without a single loss. Keep this deeply in mind.

Article 24: When the Seventh Month Turns to Kinoe

第二十四章　七月甲に廻る時の事

When the seventh month turns to *kinoe* (甲, the first Heavenly Stem), both locally and in the Kamigata (上方 (*Kamigata*), the Osaka–Kyoto region), it is usually a year of natural disaster. At such times, the market rises sharply from the seventh month; fifty to sixty tawara in the seventh and eighth months, and by the ninth, tenth, and November (霜月 (*shimotsuki*)) a ceiling of one hundred to one hundred twenty tawara or more will appear.

On the other hand, when both Kamigata and locally the weather has been fine from the mid-summer 土用 (*doyō*) onward, and reports of a good local harvest circulate, and Kamigata too has favorable conditions, and moreover old rice remains through the fifth month with roughly half still in the government storehouses — in a year when both new and old rice carry over, there will be no rise through the seventh month. In such a year, the November contract (霜月限 (*shimotsuki-giri*)) will rise gradually and naturally from the eighth, ninth, and tenth months, and the ceiling price will appear by the twelfth month or the first month. Do not rush from the sixth month onward. Wait and

> observe. Consider well: the volume of old rice, the quality of the harvest, and the state of market sentiment (人氣 (*ninki*)) all differ. For this reason no two years are alike. Yet whether early or late, in such a year the market will invariably rise.

COMMENTARY: The maneuvering for a year when the seventh month turns to *kinoe* is explained in detail in Upper Volume, Article 51. Here it is stated more briefly.

Now, when the seventh month turns to *kinoe* and natural disaster strikes, the market rises steadily for five or six months from around the seventh month. However, if that year's weather is favorable and stored rice is plentiful, the rise is delayed, beginning around the eighth or ninth month. Still, because the volume of old rice, the quality of the harvest, and the state of sentiment cause the timing to vary, one must weigh these factors and maneuver accordingly.

Article 25: On the Kamigata Price Scale

> 第二十五章　上方相場位附の事
>
> - Chikuzen rice (筑前米) trades about 4 *monme* below Higo rice (肥後米).
> - Kaga rice (加賀米) trades about 5 *monme* below Chikuzen rice.
> - Chūgoku rice (中國米) trades about 9 *monme* below the same [Chikuzen] rice.
> - Shōnai rice (荘内米) trades about 7 *monme* below the same [Chikuzen] rice.
>
> The above proportions have held year after year.

COMMENTARY: The four items above are the price-rating table (格附表 (*kakutsuke-hyō*)) as it stood in Osaka at that time.

Article 26: On Trading by the Contract Month

第二十六章　月切商仕様の事

In a one-month contract trade (月切 (*tsukigiri*)), one should gauge the moment and take even a small profit.

COMMENTARY: When a position (商内 (*akinai*)) one has established reaches the current contract month's expiry, even if one still sees some prospect ahead, one should generally cut the position and secure whatever small profit remains.

Article 27: On the Doyo Entry and Seasonal Turns: The Yin-Yang Counting Method

第二十七章　土用入并に節替り陰陽繰方の事

The method for knowing whether one enters yin (陰) or yang (陽) at the 土用入 (*doyō-iri*) and at the seasonal turn (節替り (*setsu-gawari*)):

Odd months (1, 3, 5, 7, 9, 11)	子寅辰午申戌 (*Ne, Tora, Tatsu, Uma, Saru, Inu*)
Even months (2, 4, 6, 8, 10, 12)	丑卯巳未酉亥 (*Ushi, U, Mi, Hitsuji, Tori, I*)

Count from the first day onward to determine the day. When the entry falls on a Day of the Rat (子), regard it as yang; when it falls on a Day of the Ox (丑), regard it as yin. The remaining days follow this pattern accordingly.

Article 28: On Kinoe, Kinoto, and Unlucky Days

第二十八章　甲乙並に不成就日の事

The ten Heavenly Stems (十干 (*jikkan*)): 甲 (*kinoe*), 乙 (*kinoto*), 丙 (*hinoe*), 丁 (*hinoto*), 戊 (*tsuchinoe*), 己 (*tsuchinoto*), 庚 (*kanoe*), 辛 (*kanoto*), 壬 (*mizunoe*), 癸 (*mizunoto*).

Unlucky days (不成就日 (*fūjōjubi*)):

- **1st and 7th months**: 3rd, 11th, 19th, 27th
- **2nd and 8th months**: 2nd, 10th, 18th, 26th
- **3rd and 9th months**: 1st, 9th, 17th, 25th
- **4th and 10th months**: 4th, 12th, 20th, 28th
- **5th and 11th months**: 5th, 13th, 21st, 29th
- **6th and 12th months**: 6th, 14th, 22nd, 30th

Article 29: On the Sixth-Month Doyo Entry and the Day of the Ox

第二十九章　六月土用入丑の日の事

If within the first six days after the entry into the sixth-month 土用 (*doyō*), a Day of the Ox (丑の日 (*ushi no hi*)) falls, autumn winds arrive early and the harvest suffers. However, if it falls on the second or third day, the damage is particularly severe; if it falls on the fourth, fifth, or sixth day, the effect is not so great.

Furthermore, if it rains on the fifth day after the *doyō* entry, then even if the crop inspection looks favorable, the actual yield will fall short. When the Day of the Ox falls on the third day, it is called "Doyō Saburō" (土用三郎). In such a year, moreover, price fluctuations are pronounced.

If a Day of the Tiger (寅の日 (*tora no hi*)) falls within the first three days, this too is unfavorable. This is because when the Day of the Ox falls on the second day, the Day of the Tiger necessarily falls on the third. Counting five days from each *doyō* entry, the autumn period amounts to approximately thirty days; hence these are dates of critical importance.

Article 30: On Rain on the Seventh Day of the Seventh Month

第三十章　七月七日雨の事

Rain on the seventh day of the seventh month (七夕 (*Tanabata*)): heavy rain does not signify much, but light rain is decidedly bad for the harvest. This holds without exception.

Article 31: On the Autumn Equinox

第三十一章　秋の彼岸の事

When the autumn equinox (秋の彼岸 (*aki no higan*)) extends even a single day into the ninth month, the harvest will without question be poor. This rule has never failed; the reason must be that the season runs late. Even if the equinox does not reach into the ninth month, if it falls after the twentieth of the eighth month, the outcome is unfavorable.

Furthermore: if a Day of the Rooster (酉の日 (*tori no hi*)) falls within the seven days of the equinox period, a great wind will blow without fail.

Article 32: On Solar Eclipses

第三十二章　日蝕の事

A solar eclipse (日蝕 (*nisshoku*)) occurring between the hour of *yotsu-mae* (四つ前, approximately 9 a.m.) and the hour past *yatsu* (八つ過, approximately 3 p.m.) is bad for the harvest; eclipses outside these hours are said not to matter. Nevertheless, any year in which either a solar or lunar eclipse occurs has without exception, whether great or small, been a year of poor harvest.

Article 33: On Unlucky Days

第三十三章　厄日の事

The unlucky days (厄日 (*yakubi*)): it is said that if the eighty-eighth night (八十八夜 (*hachijūhachiya*)) passes without incident, then the two-hundred-tenth day (二百十日 (*nihyaku tōka*)) will also pass without incident.

However, even if the two-hundred-tenth day passes safely, should a Day of the Rooster fall on the third day thereafter, a great storm will come on that day. This rule holds without exception. In Kansei 9 (寛政九年, 1797), the Day of the Rooster fell on the third day, and indeed a great storm struck.

Article 34: On the Three Trees

第三十四章　三木の事

- When 甲乙 (the Wood stems) continue for three months running, great winds will blow.
- When 丙丁 (the Fire stems) continue for three months, there will be drought.
- When 戊己 (the Earth stems) continue for three months, know that the price of grain will be high.
- When 庚辛 (the Metal stems) continue for three months, there is reason to expect a grain shortage.
- When 壬癸 (the Water stems) continue for three months, grain prices rise high and people perish.

Consider the above in relation to the season — spring, summer, autumn, or winter — and weigh the implications for great winds, grain prices, drought, and so forth.

In Tenmei 6 (天明六年, 1786), the first of the ninth month fell on 庚丑 (*kanoe-ushi*), the first of the tenth month on 庚未 (*kanoe-hitsuji*), and the first of the intercalary tenth month on 辛未 (*kanoto-hitsuji*) — the Metal stems continuing for three months in succession. That year, the price stood at 26 tawara 8 *bu*, reaching a ceiling of 16 tawara 4 *bu* on the sixteenth of the tenth month. That year, the autumn equinox fell on the twenty-eighth of the eighth month.

Commentary: "When 甲乙 continue for three months" means: when the first day of the month (朔日 (*tsuitachi*)) falls on a *kinoe* or *kinoto* stem for three consecutive months. The same principle applies to 丙丁 and all the rest.

Article 35: On Fire Days and Wood Days Occurring Three or Four in a Row

第三十五章　朔日火木三つ四つ續く事

- When the first of the month falls on a Fire-element day (火) four times in succession, that year will see drought.

- When the first of the month falls on a Wood-element day (木) three times in succession, that year will see frequent great storms.
- In any month, when Water-element days (水) occur five times in succession, it is said that "five waters destroy the seed," meaning frequent flooding will occur.

However, this rule is not rigid — one should consider it carefully.

Article 36: On Days of the Ox and Days of the Dragon

第三十六章　丑の日辰の日の事

Days of the Ox (丑の日 (*ushi no hi*)) and Days of the Dragon (辰の日 (*tatsu no hi*)) are days when rice is cheap. However, the Day of the Ox is also a day on which floor prices and ceiling prices tend to emerge. At ceiling and floor turning points, one should pay close attention.

Article 37: On the Saying "One Mark, Then Two"

第三十七章　壹つ目二つと申事

The saying "one mark, then two, with no rise or fall" refers to the "marks" (目, *me*) in the price-ranking ledger (位付の書 (*kuraizuke no sho*)). One should understand this accordingly.

Commentary: Regarding the "one mark" of this chapter, one should refer to Upper Volume, Article 27, where it states: "In the first and second months, if the first month rises then the second month falls; if the first month falls then the second month rises."

Article 38: On the Period from the First through the Fourth or Fifth of the Month

第三十八章　朔日より四五日頃迄の事

When rice dips once or twice between the first and the fourth or fifth of the month, this constitutes a buying opportunity within a range-bound market (通相場 (*kayoi sōba*)). This refers to the pattern described earlier: during a falling market after a ceiling, when the beginning of the current month is higher than the end of the previous month, prices will rise that month. One should take note of this.

COMMENTARY: As has already been explained, a "falling market after a ceiling" is one in which, for a period of two or three months or even five or six months, prices are high at the start of each month and low at month-end. However, if this pattern is broken — if, carrying over from the end of the previous month, the beginning of the current month posts a high price — the market has shifted to an upward range-bound phase (*kayoi-ue*), and prices will rise through the month. One should bear this in mind.

Article 39: Guidance for the Rice Trader

第三十九章　米商心得方の事

The principle of "at two, close out; at three, fully ripe; at four, it turns" (二つ仕舞、三つ十分、四つ轉じ) has been set forth previously.

The rice trade proceeds from two directions only — rise and fall — yet the paths of the human heart are as numerous and tangled as threads. Those who devote themselves to this trade should constantly and vigilantly examine the principles set forth in the preceding chapters. When one has thoroughly discerned the whole, one will naturally come to know the strength and weakness of the rice market. When one studies this book carefully and trades accordingly, then no matter how the market moves — be it from natural disasters, unseasonal weather, bountiful or poor harvests, abundance or scarcity of rice, volume of shipping, or the force of market sentiment — one will never fail to profit. This must absolutely not be shown to others; guard it with the utmost care.

COMMENTARY: The phrase "at two, close out; at three, fully ripe; at four, it turns" is the supreme principle of futures trading (定期賣買 (*teiki baibai*)). Whether in contract rice, spot rice, or equities, the tactical maneuvering (駈引 (*kakehiki*)) of buying and selling is contained entirely in this single saying — it may fairly be called a golden maxim. Accordingly, its application may be interpreted from various angles.

Some interpret it in light of the passage elsewhere in this book: "After the ceiling month, prices will assuredly fall for two or three months; by the fourth month, depending on the commodity, they may rise — one should not sell." On this reading, one follows the market for two or three months, and by the fourth month, the trend reverses.

Others read it as: take profit at seven or eight parts, close out the position when it is fully ripe, then turn one's mind — if one had been buying, switch to selling; if one had been selling, switch to buying.

Still others say it describes the rhythm of the market: take profit on a position after one or two swings, wait for the market to reach its full extreme, identify the highest or lowest point, and then play the reversal.

In the end, from whichever angle one interprets it, this is the innermost secret of market maneuvering — there is no other "secret of the market" beyond this. In particular, the appended remark — *"The rice trade proceeds from two directions only, rise and fall, yet the paths of the heart are as numerous and tangled as threads"* — is a golden maxim that spans East and West, past and present; there is no finer truth than this.

The meaning is this: the rice market is a thing whose causes of rise and fall are exceedingly complex, and these complex causes act upon the human heart, manifesting as the market. Because the market is formed by the hearts of ten thousand people gathered together, the paths of those hearts are as tangled as threads. Yet in the end, just as a thread has two ends, there are only two directions — up and down — and nothing else. Put another way, observing the rise and fall of the market is like trying to untangle knotted thread. When one harbors feelings of attachment, greed, or suspicion, or when one's mind grows impatient and one tries to profit in haste, one cannot arrive at a sound judgment — yet forces oneself to form one anyway. In such a state, it is exceedingly difficult to find the two ends — the ceiling and the floor. In most cases, what is not the thread's end appears to be the end, so one opens a position only to encounter a move in the completely opposite direction and suffer great loss.

How, then, should one identify those two ends — the ceiling and the floor? The method is to study the explanations set forth in the preceding chapters of this book, reading them over and over until they are thoroughly absorbed. In the course of reading, one will naturally come to perceive the strength and weakness of the market. When one has fully mastered this book and trades on that basis, then no matter what great swings one encounters, there will be no confusion, and one will be able to maneuver freely and at will — and thereby amass great wealth. This is, without question, a secret book that must never be shown to others.

Article 40: Guidance on Weather Conditions

第四十章　一天心得方の事

There is an old saying: "When the sky is completely clear, a flood will come within three days." This is indeed true. When fine weather continues for several days, it will without fail be followed by prolonged rain. Moreover, in the sixth and seventh months, when the sky is perfectly clear without a wisp of cloud and the heat is extreme, heavy rain will invariably come within two or three days. In some years, however, a long dry spell sets in and twenty or thirty days or more may pass without rain; one should judge according to the circumstances.

Article 41: On Buying and Selling at Ceiling and Floor in the November Contract

第四十一章　霜月限天井底賣買の事

In trading the November contract (霜月限 (*shimotsuki-giri*)), over the course of several months there are shifts in timing, and both the buyer's conviction and the seller's judgment may prove correct at different points. For example, even if a buyer enjoys a run of profitable fortune, should he continue piling on purchases at the ceiling, his fortune will turn adverse. Likewise, even if a seller holds losing positions, should he press his selling at the very point where prices reach the ceiling, his fortune too will turn adverse. When a rise is pushed to its limit, a fall follows; when a fall is pushed to its limit, a rise follows. This is the principle of yin and yang (陰陽 (*in'yō*)).

COMMENTARY: The meaning is clear without awaiting commentary. The essential point is that one must trade the ceiling and the floor.

Article 42: On Fluctuations in a Range-Bound Market and Cutting One's Losses

第四十二章　通の高下見切の事

In a range-bound market, target a swing of ten 俵 (*tawara*) and cut quickly — this is the first principle.

COMMENTARY: Before opening a trade, it is essential to determine whether the market is range-bound (通相場 (*kayoi sōba*)) or trending (伸相場 (*nobi sōba*)) and to trade accordingly. Range-bound fluctuations involve narrow price swings, so one must not employ the leisurely maneuvering suited to a trending market. One should target a swing of ten tawara, take profit (利喰 (*rigui*)) promptly, and close the position.

Elsewhere in this book it states: "In a range-bound market, where swings are only one or two tawara, one should quickly cut at a ten- or twenty-tawara swing and secure the profit" — the meaning is identical to this chapter.

Article 43: Five Articles on the Osaka Market

第四十三章　大阪相場五ケ條の事

The Osaka market price around the twenty-seventh or twenty-eighth of the ninth month reflects the crop conditions of the eastern provinces, which by then are broadly known.

The Osaka market's contract changeover (立代り (*tachikawari*)) falls on the seventeenth of the tenth month. Prices through around the twentieth are dispatched, arriving here around the sixth of the eleventh month.

The Osaka grand settlement price (大調べ (*ōshirabe*)) on the eleventh of the twelfth month arrives around the twenty-seventh or twenty-eighth of that month.

> The Osaka year-end rice price and the fourth-day opening market price arrive around the twenty-fourth or twenty-fifth of the first month.
>
> The Osaka market's contract changeover on the seventh of the fifth month: prices through about the tenth are dispatched, arriving around the twenty-third or twenty-fourth of the fifth month.

COMMENTARY: The articles above record the number of days required for Osaka market prices to reach Sakata. In the master's time, transportation was not yet as developed as it is today, and all market intelligence was communicated by entrusting written dispatches to express couriers (飛脚 (*hikyaku*)). As the text shows, Osaka prices required between sixteen and roughly twenty days to become known in Sakata.

Article 44: On Higo Rice as a Leading Commodity

> 第四十四章　肥後米立物の事
>
> In a year when Higo rice (肥後米 (*Higo-mai*)) becomes the leading commodity (立物 (*tatemono*)), price swings are violent and the market is generally biased upward. When prices climb to their limit, the reversal is extremely swift. It is a rice that permits no complacency.

Article 45: On Those Who Move Funds Easily and Those Who Are Constrained

> 第四十五章　米金差繰易き人並に不自由なる人の事
>
> Those who can readily shift between rice and money (米金差繰 (*bekin-sakuri*)) are inclined toward the buy side. Those whose rice-and-money position is constrained invariably lean toward the sell side. For this reason, even a small rise sends them scrambling to buy back their positions.

COMMENTARY: "Rice-money freedom" (米金自由 (*bekin jiyū*)) refers to a commercial custom of the Shōnai region: a fixed term is agreed upon, during which one party has free use of rice and the other has free use of money; when the term expires, each returns what was borrowed in its original form.

The meaning of this chapter is as follows: those who can easily manage the shifting between rice and money—that is, those with ready access to funds—tend naturally toward the buy side. Those whose rice-and-money position is constrained tend to side with the sellers. For this reason, even a small rise throws them into panic, and they scramble to buy back their short positions.

Article 46: On Times When Gold Piles High

第四十六章　金澤山成時の事

When gold is plentiful (金澤山 (*kane takusan*)), rice tends to be cheap. This is because there is little speculative interest in rice, and funds flow into interest-bearing deposits (歩金 (*bukin*)). When gold is scarce, rice is dear. This is because speculative interest in rice is strong.

COMMENTARY: In today's world, with its developed financial institutions, it is obvious that when currency is abundant, commodity prices rise. But this chapter observes from within the feudal era, and specifically from the extremely narrow vantage of the Shōnai region.

The meaning is this: when gold appears plentiful in the local market, it is because speculative interest (思入 (*omoiire*)) in rice is low and funds have flowed out as interest deposits. Consequently, the market is cheap. Conversely, when one looks into why circulating money is scarce in the market, it is because speculative interest in rice is strong and funds have been committed to rice positions. Consequently, the market is dear.

Article 47: On Years When Winter Purchases Do or Do Not Reach the Shippers

第四十七章　冬買船手へ落又不落年の事

In a year when winter purchases (冬買 (*fuyugai*)) do not reach the shippers' hands (船手 (*funate*)), understand that from the following spring onward, the market will gradually build momentum and rice will rise. In a year when winter purchases flow plentifully into the shippers' hands, the spring market will inevitably be weak. In such a year, prices should rise from the fifth or sixth month.

COMMENTARY: The term "shippers' winter buying" (船手冬買) is explained in detail in the introductory volume, under the heading on commercial customs of the Sakata Rice Exchange.

Now, in a year when the local area (the Shōnai region) has a good harvest, rice prices are comparatively cheap. Trading merchants from the shipping regions seize on this advantage and buy in during winter—this is the custom called "winter buying." However, if merchants hold back their stocks or for some other reason the physical rice does not pass into the hands of the shippers—that is, the winter-buying interests—then the following spring, as the shipping season draws nearer, these interests are compelled to buy regardless, and the market gradually gains momentum and prices rise. Conversely, in a year when the physical rice has fully passed into the hands of winter buyers, purchasing the following spring will naturally be light, and so the spring market will be weak. However, in such a year, a rise comes from the fifth or sixth month.

Article 48: "What Seems Too Late Is Still Early; What Seems Still Early Is Already Too Late"

第四十八章　まふはまだ也まだはまふ也と申事

"What seems too late (まふ, mō) is still early (まだ, mada). What seems still early is already too late."

So the saying goes. However, if one acts on the thought that "it is already time" and one's judgment of the moment is poor, this becomes an error. Yet while one continues to wait, thinking "not yet, not yet," the opportunity slips away.

COMMENTARY: This chapter addresses the rhythm of entering a trade (商内仕掛 (*akinai-jikake*))—that is, the art of seizing the right moment. The main text is identical to the *Yagi Tora no Maki* ("Book of the Rice Tiger") by Mōkoken, though the commentary differs slightly in wording; the meaning is nevertheless the same. The explanation in the *Tora no Maki* covers the matter fully.

For example: when one's heart surges with the impulse to buy, thinking "surely the floor has been reached and prices will now rise," one should restrain that impulse with the thought "not yet" and wait a while. Conversely, when one's heart surges with the conviction that "this is not yet the floor—prices will fall further still," one should adopt the attitude that "it is already the floor" and take the buy side. When one's own mind harbors the feeling of "not yet," the market will, contrary to one's expectation, rise.

Therefore, the proper frame of mind in such moments is this: if you intend to buy a hundred lots, resolve in your heart to buy only thirty or forty. The same principle applies, *mutatis mutandis*, when one feels "it is already too late."

This chapter lays bare a fundamental weakness of human nature with respect to the market. It accords with what was stated in Article 1 of this book: "When the urge to sell surges within you, wait three days, then reverse your thinking and take the buy side. When the urge to buy surges and you feel that today is the only opportunity, here too wait a moment, then take the opposite—the sell side. This is supremely profitable." Likewise, the teaching in another chapter—"At two, close out; at three, fully ripe; at four, it turns" (二つ仕廻、三つ十分、四つ轉じ)—carries the same meaning in the end: the market, having reached its extreme, invariably reverses. Therefore one must not follow the crowd's sentiment when it reaches its furthest extreme.

One should turn one's mental posture around decisively. Learning to sense this rhythm is an essential matter for the market practitioner; one must never, under any circumstances, forget this lesson.

Article 49: The Secret Tradition of Buying the November Contract

> 第四十九章　霜月限買入秘伝の事

The November contract (霜月限 (*shimotsuki-giri*)) generally opens trading in the sixth month. Now, buying new-crop rice between the seventh month's seasonal ingress day (節入日 (*setsuiri-bi*)) and the mid-month day (中の日 (*naka no hi*)) is exceedingly favorable. Without fail, the floor price (底直段 (*soko nedan*)) appears during this interval. In particular, when the floor price appears on an Ox day (丑の日 (*ushi no hi*)) within this month, the market rallies sharply. When the market turns profitable from the end of the mid-month day of the seventh month onward, one should buy without hesitation. New-crop rice purchased during this interval will never prove unprofitable.

However, pay attention to a decline of one hundred tawara from the summer ceiling price (天井直 (*tenjō ne*)) of old-crop rice. In some years the decline extends to 130 or 140 tawara before new-crop trading begins. At such times the price stands at the absolute floor, and when it turns upward the move is fierce. One must act swiftly.

However, this teaching applies when all provinces proclaim a good harvest. If, between the seventh month's seasonal ingress and the mid-month day, an Ox day arrives and the floor price appears, buy without reservation. But if crop difficulties have appeared since before the sixth month's seasonal boundary, and prices have already risen thirty or forty tawara by mid-season, one must not rush to buy. Whether the ceiling will appear in the seventh or eighth month, or whether prices will remain stuck through the eleventh month, is impossible to determine. If, however, during the sixth and seventh months the sun does not shine and there is rain or insect damage, one may buy even at forty tawara above the floor. One must never assume that merely buying between the seventh month's ingress and the mid-month day guarantees profit even on high-priced rice. If one's judgment is wrong, losses will follow. Consider this carefully.

COMMENTARY: The November contract at the Sakata Rice Exchange—that is, the eleventh-month contract—generally opens (發會 (*hakkai*)) each year from the sixth month. From around the seventh month's seasonal ingress through mid-season, when the midsummer heat (土用 (*doyō*)) is intense and good weather suggests a favorable crop, market sentiment (人氣 (*ninki*)) turns bearish (弱氣 (*yowaki*)) across the board, and the floor price emerges. If one pays attention to this floor and buys, profits are assured. However, one must watch the spread between the ceiling price of old-crop rice and the initial price of new-crop rice—particularly the hundred-tawara discount. A hundred tawara is generally the floor, but in some years the discount reaches 130 or 140 tawara. When that happens, it is certainly the floor, and one should buy heavily; after such a deep floor, prices will without fail rally sharply.

What one must be careful about, however, is this: when both the distant provinces and the local area proclaim a good harvest, and around the midsummer period floor-like cheap prices appear, one may buy without hesitation. But if crop troubles have appeared from around the sixth month and the market has already risen thirty or forty tawara from the bottom, this demands considerable deliberation. The crop-difficulty premium is already priced in: if good weather continues, that level may prove to be the ceiling. And even with mixed weather, prices may simply remain at a high consolidation (高直持合 (*takane mochai*)) through the eleventh month—one cannot say which. Therefore one must not rush to buy. Conversely, if during the sixth and seventh months—the season when strong sun ought to prevail—there is nothing but rain, or insect damage and other calamities, then even at forty tawara above one may buy.

Not knowing this distinction, and blindly assuming that one need only buy between the seventh month's ingress and mid-season for a guaranteed profit even on high-priced rice, is a grave error.

Article 50: Guidance When Holding a Buy Position as the Market Rises

第五十章　買米有之相場引上の節心得の事

When one holds buy positions and sentiment is bullish (强氣 (*tsuyoki*)), and the market is climbing, the temptation is to give no thought to where prices might stop, to pile on still more purchases, and to add heavily at extreme highs—only to end in loss.

> This must be guarded against. The way to secure one's profits is this: if you hold a thousand ryō in buy positions, first sell back five hundred ryō's worth and observe whether rice shows strength or weakness. Since one does not yet know where the ceiling has settled, closing out everything is also unwise. Taking partial profits on sell positions follows the same principle. When the market falls, it can seem as though the decline will never end—the same logic applies as when it rises. Consider this well.

COMMENTARY: This chapter addresses the precautions for profit-taking (利喰 (*rigui*)). It is a fundamental weakness of human nature that when a buy position is showing profit, one rides the momentum and grows arrogant: one gives no thought to where prices might stop, imagines the rise will continue indefinitely, adds more positions near the very ceiling, and then suffers loss when the inevitable reversal strikes. The proper approach to profit-taking at such a time is to close out half of one's committed position and observe how the market develops. Since one has not yet seen where the ceiling has settled, closing out entirely is also inadvisable. The same principle applies to securing profits on sell positions.

Article 51: Tactical Maneuvering in the November Contract Based on Yearly Crop Conditions

> 第五十一章　霜月限年々作合を以て駈引の事
>
> November contract trading begins, in accordance with each year's crop conditions and the balance between high and low old-crop prices, at fifty to sixty tawara or as much as a hundred tawara below old-crop levels. In a year when trading opens at around twenty-eight to thirty tawara below, even if recent years have generally seen good harvests, prices decline a further ten to twenty tawara. Rice that opens at around twenty-seven to twenty-eight tawara below will fall twenty to thirty tawara. A forty-tawara decline to the floor is extremely rare. Rice that opens at around twenty-five to twenty-six tawara below will see a fifty- to sixty-tawara decline to the floor. In all cases, the floor price appears by the seventh or eighth month; from the eighth, ninth, and tenth months onward, prices gradually rise

regardless of degree; and by the eleventh or twelfth month, or the first month of the following year, the ceiling price emerges. Bear this in mind.

When rice is on the rise, do not calculate with the abacus—that is, do not count profits prematurely. Target a hundred-tawara rise, and maintain a one-sided buy position (片買 (*katagai*)) up through seventy or eighty tawara of the advance. However, depending on the year's crop conditions, the rise may not be limited to a hundred tawara: it may reach 120 or 130, or 140 or 150, and at times even 170 or 180 tawara. It is essential to judge based on the crop conditions of the Kamigata provinces and the surrounding regions. As a general rule, a hundred-tawara rise is the norm.

In most years, when a hundred-tawara rise has occurred, this constitutes the year's ceiling price. It is also the year's selling opportunity. One should sell with the resolve of leaping into fire. If one then carries and rolls the position for three to five months, great profit is beyond doubt. Outside of this window, to persist in selling at all other times is certain to produce large losses.

Furthermore, after this ceiling has appeared, no matter how poor the harvest, no matter how great the speculative interest, one must never hold a position through to the following summer. If one mistakenly forces a bullish stance, the loss may equal one's entire fortune. Guard against this strictly. After the ceiling price emerges, close out cleanly (*sappari*), rest for thirty to forty days, then apply the Three-Position Tradition (三位の傳 (*sanmi no den*)) to assess the market's strength or weakness before initiating a new trade. If one does not know how to rest, then no matter how favorable the run, the ultimate outcome will be loss. Understand this, again and again—it is of the utmost importance.

COMMENTARY: The wording of this chapter resembles a passage in Article 9, but the central argument differs. Article 9 placed emphasis on tactical maneuvering (駈引 (*kakehiki*)) in poor-harvest years; this chapter demonstrates how to gauge the level of the ceiling and floor based on each year's crop conditions.

The November contract generally begins trading at a discount of roughly ten tawara—that is, about a hundred tawara—relative to old-crop prices. However, the levels at which the ceiling and floor settle vary depending on the opening position. According to experience: forty-five to fifty tawara represents an extreme floor; thirty-four to thirty-five tawara represents a moderate floor. Thus rice that opens at around twenty-eight to thirty tawara below will bottom out with a decline of merely ten to twenty tawara, even in a year that is not an exceptionally good harvest. And a market that begins declining from around twenty-seven to twenty-eight tawara below will fall twenty to thirty tawara.

A market that begins with a decline of only ten tawara is an exceedingly rare occurrence; such a market will, needless to say, immediately form a floor. Again, rice that begins at a level twenty-five or twenty-six tawara down will find its floor within a decline of fifty or sixty tawara. As described above, if the floor price (底直段 (*soko nedan*)) emerges in the seventh or eighth month, the market will gradually rise over the course of two or three months through the ninth and tenth months, reaching its ceiling (天井 (*tenjō*)) around the first month. When rice is in the process of rising, one should use a hundred-tawara advance as the benchmark and continue to add to one's long position through a rise of seventy or eighty tawara. Depending on crop conditions (作柄 (*sakugara*)), the advance may reach a hundred and thirty or forty tawara, or even a hundred and fifty, sixty, or a hundred and eighty tawara. One should therefore weigh carefully, using that year's observed crop conditions, the probable magnitude of the rise and fall. As a general rule, however, one takes a hundred-tawara advance as the target for ceiling and floor alike. In most years, this hundred-tawara advance marks the ceiling; recognize it as the selling opportunity, and sell with the resolve of one leaping into fire. One will assuredly reap a great profit.

The only position that guarantees victory for the seller is the terminal ceiling price (行付天井直段 (*yukitsuki tenjō nedan*))—there is nothing else. This ceiling is the price at which market sentiment (人氣 (*ninki*)) has reached its utmost extreme—the so-called overshoot price. After that point, no matter how strong the bullish factors that may emerge, the price will not break above it. Therefore, however poor the harvest and however promising the outlook, one must not hold a position into

the following spring. If one mistakenly adopts a bullish stance, the result will be catastrophic loss amounting to the ruin of one's entire fortune. Once the ceiling price has appeared, close out every position, rest for thirty or forty days, and set out on a hot-spring cure or a pleasure trip. If one does not know when to rest, one may achieve a great profit for a time, but will assuredly end in failure. This is a point the market trader must guard against above all. The Master's teaching:

"Rest; from time to time, reassemble one's defenses—this is essential."

This dictum speaks precisely to this point.

Article 52: Gauging Crop Conditions in the Kamigata Region and Locally

第五十二章　上方筋當地作合見計らひの事

In years when Kyūshū, other provinces, and our own region all enjoy a normal harvest, there are no deep price swings—careful assessment is essential. In years when the crop across all provinces and locally falls to four-tenths or to roughly half the normal yield, local sentiment grows bullish; professional traders (黒人 (*kuronin*)), amateurs, and traveling merchants all buy in; even the rural districts, the rice-certificate deposits, the provisioning allocations, and the like are bought up. In such years the market seems to know no limit to how far it can rise. As a result, the accumulation of long positions (買孕み (*kaiharami*)) grows steadily, and holders are locked in. If, with the prior year's ceiling price at eighteen or nineteen tawara, or twenty-one or twenty-two tawara, rice stands at twenty-two or twenty-three tawara through the third and fourth months when shipping is at its peak and still does not decline, the shippers will not buy either; the market enters a holding pattern (保合 (*mochai*)), and rice holders grow weary. When the sixth month arrives and favorable weather and reports of a good crop emerge, sentiment turns bearish. The sixth month in particular is the closing-out month for both professionals and amateurs, so a major decline through the end of the sixth month is beyond doubt. In assessing this, the key considerations are: in a poor-crop year or a year of middling harvest or better, the relationship between the prior year's ceiling and the summer rice

> prices, the extent of long accumulation, and the degree of forward selling (賣明き (*uriaki*)—that is, short sales by wholesalers against shipping contracts).

COMMENTARY: The general import of this chapter is as follows. In years when crops throughout Japan and locally are normal or better, there are no large price swings. In poor-crop years, the accumulation of long positions is heavy, and when the following year brings favorable conditions, these positions are liquidated, producing a summer collapse. Here too, one should weigh the extent of long accumulation and forward selling (that is, advance short sales by wholesalers against shipping commitments), and further consult the commentary on Article 9 and Article 51 of this text.

Article 53: The Initial Entry into the Rice Trade Is of the Utmost Importance

> 第五十三章　米商踏出し大切の事
>
> In the rice trade, the initial entry (踏出し (*fumidashi*)) is of the utmost importance. One must never rush into either buying or selling. When one rushes, one should understand that a misstep will inevitably follow. When the urge seizes you that today is the only trading opportunity, wait two or three days—four or five days—consider well the oscillation of the rice market, and only then enter the trade. In both autumn and winter, until the floor price has emerged, wait for months on end; when the situation is solid, enter the trade.

COMMENTARY: This chapter is a variant text of Upper Volume, Article 1. For its meaning, one should read the commentary on Article 1 and grasp the teaching there.

Article 54: Conduct When a Trade Turns Profitable

> 第五十四章　商利運の時心得の事

> When a trade turns profitable (利運 (*riun*)), one must not ride the winning streak. When the advance nears a hundred tawara, devote one's ingenuity solely to securing the profit safely. Never give way to greed; take profit cleanly, close the trade, and rest—this is the first principle.

COMMENTARY: The meaning is clear without need of commentary.

Article 55: Discerning the Floor Price

> 第五十五章　底直段を見極むる事
>
> When one has discerned the floor price and begun buying, one should not waver at intermediate fluctuations. Hold firm with composure, and maintain a one-sided buying stance (片買 (*katakai*)) until the price has risen a hundred tawara.

COMMENTARY: When one has bought at the floor price, one should not be distracted by intermediate dips in the oscillation, but maintain an exclusively bullish stance until the price has risen approximately a hundred tawara. As for identifying the ceiling, the instruction to use a hundred-tawara advance as the target has been repeatedly stated in the preceding chapters. See also Upper Volume, Article 34.

Article 56: One Must Not Trade on Personal Judgment Alone

> 第五十六章　我一分の了簡立て間敷事
>
> One must not trade on the basis of one's own judgment alone. Throughout the year, compare one's view against the Three-Position Tradition (三位の傳 (*sanmi no den*)), consider carefully whether the market will rise or fall, and from well in advance, gradually observe and position oneself accordingly.
>
> The buyer's advantage: eight parts out of ten.
>
> The seller's advantage: two parts out of ten.

COMMENTARY: When one trades at one's own discretion, one is apt to lose sight of the market's current positioning and be deceived by prevailing sentiment—buying at the ceiling, or selling at the floor. One should therefore study this text closely, cross-check the number of months and tawara of rise and fall, and thereafter, with an empty mind and calm spirit, determine whether the market's overall direction is upward or downward. Rather than forming a hasty conviction, observe well in advance, and enter the trade only when one's own judgment accords with the market. The word "well in advance" (前廣 (*maebiro*)) carries the implication of seeing through to the rise or fall several months hence.

Article 57: Monthly Heavenly Stems and Rising or Falling Markets

第五十七章　月々干支上げ下げの事

甲 (*Kinoe*), 乙 (*kinoto*), 丙 (*hinoe*), 丁 (*hinoto*)—these are taken as rising months.

戊 (*Tsuchinoe*), 己 (*tsuchinoto*), 庚 (*kanoe*), 辛 (*kanoto*), 壬 (*mizunoe*), 癸 (*mizunoto*)—these are taken as falling months.

The above are the Heavenly Stems assigned to each of the twelve months. Though the ceiling price is expected to appear in *hinoe* or *hinoto* months, in many cases the rise begins from a *kinoe* month and continues repeatedly. Whenever the year contains such months, the market rises regardless of the magnitude. However, depending on the year, the ceiling may appear slightly earlier or later. Also, once in twenty years, it may be delayed into a *tsuchinoe*, *tsuchinoto*, *kanoe*, or *kanoto* month.

COMMENTARY: This chapter records the method of predicting price movements from the Heavenly Stems (十干 (*jikkan*)) of each month. This chapter is a variant text of Upper Volume, Article 11.

Article 58: The Eight-Specialist Days and Inauspicious Days

第五十八章　八専不成就日の事

天一天上 (*Ten'ichi-ten'jō*), 八専 (*hassen*), 丑日 (*ushi-nichi*), 不成就日 (*fujōju-nichi*)—

When rice has been rising steadily and has reached the level of approximately a hundred-tawara advance, and a high price appears on one of these days, that is the terminal ceiling price for the year. It is not, however, the case that the ceiling forms exclusively on these days. Eight or nine times out of ten, the ceiling falls on one of these days. In extremely rare cases, the ceiling may appear on an ordinary day. One should examine the year-by-year records to verify this.

COMMENTARY: This chapter states the empirical observation that ceilings and floors tend to appear on one or another of these four types of calendar days. This has already been described in Lower Volume, Article 6 of this text, but it is presented here again on the basis of a variant text.

Article 59: On Years When the Year-Block Turns Westward

第五十九章　三年塞酉の方へ廻る年の事

In years when the year-block (年塞 (*toshifusagari*)) turns toward the direction of the Rooster (酉, west), rice will rise—without fail. However, in years of generally cheap prices, or when rice certificates have been issued in ample quantity, domain warehouse rice (御藏米 (*okura-mai*)) is in arrears, and supplies are abundant, one should consider that these circumstances will suppress the advance.

In such years when the three-year block turns westward, the ceiling price appears in autumn and winter, after which the market declines thirty or forty tawara through the first, second, and third months. During consolidation, when the first, second, or third month falls on a *kinoe* month, a rise of fifty or sixty

> tawara will assuredly occur. It does not rise in *kinoe* or *kinoto* months but rises in *hinoe* or *hinoto* months. This should not be doubted.

COMMENTARY: This chapter concerns the guidance for years when the three-year block turns toward the Rooster, as explained in Lower Volume, Article 5. What is presented here is an excerpt from the variant text of that chapter. Incidentally, the phrase "suppressed by these [circumstances]" (右に押さる) means that the market is held down by the aforementioned conditions and does not rise.

Article 60: On Years When the Seventh Month Falls on Kinoe

> 第六十章　七月甲に當る年の事
>
> In years when the seventh month falls on *kinoe* (甲), within a span of several years, both the Kamigata region (上方 (*Kamigata*)) and our own locality will without fail suffer a natural calamity during the summer. Whether it comes early or late is beside the point—as a general matter, the market will rise sharply. When such a year arrives, one must not let down one's guard.

COMMENTARY: This chapter, too, is an abridgement of Upper Volume, Article 51, and what is presented here is its variant text.

Article 61: On the Shippers' Winter Buying Season

> 第六十一章　船手冬買時の事
>
> The eleventh month, twelfth month, and first month—these three months are the shippers' (船手 (*funade*)) winter buying season. When rice on which margin calls (落引 (*ochibiki*)) apply has risen only fifty or sixty tawara, selling is entirely futile.
>
> When rice subject to margin calls has risen approximately a hundred tawara, one should recognize it as a selling opportunity.

> However, when the rice is spring or summer rice and arbitrage rice (乗米 (*nosei-mai*)) is plentiful, even a hundred-tawara advance may not defy the calculus—that is, there may still be room for further gains.

COMMENTARY: These three months are the period when shipper buying flows in heavily. When this winter buying pours in and drives the market upward, it can rise as much as a hundred tawara; therefore, one does not sell at a mere fifty- or sixty-tawara advance. Moreover, rice in the spring or summer season, when shipping is unrestricted and rice at various locations stands at a substantial discount, may still have room for buying even after a hundred-tawara advance.

Article 62: Conduct When a November Contract Trade Turns Profitable

> 第六十二章　霜月限商利運の時の事
>
> When a trade in the November contract (霜月限 (*shimotsuki-giri*)) is going well, one's mental composure is the first priority. Suppose, in proportion to one's means, a profit of a thousand tawara has accrued—one should resolve to secure five hundred tawara of it. When the profit amounts to a hundred tawara, one should make it one's practice to secure fifty tawara. Without this mental discipline, one will be led astray by greed, buying at the ceiling and selling at the floor, and after much toil, the outcome will be loss. Those who follow this path must never neglect this discipline.

COMMENTARY: This chapter describes the proper approach to profit-taking (利留 (*ridome*)) when a trade is profitable. When one judges that the time has come, one should first close out half one's position and observe the market's course. See also Upper Volume, Article 59.

Article 63: On a Range-Bound Falling Market

> 第六十三章　通にて下相場の事
>
> In a range-bound falling market (通にて下相場), the market rises at the opening of the month and falls through the twenty-ninth and thirtieth.

COMMENTARY: The meaning of this chapter is explained in detail in Upper Volume, Article 63. This chapter is its variant text.

Article 64: The Discipline of Securing Profits on a Long Position

> 第六十四章　買米利運取留心得の事
>
> When a long rice position has turned profitable, there are those who sell back two or three tawara' worth, thinking to lock in a small profit. This stems from ignorance of the way of trading and is highly inadvisable. Even having sold back, one gains not the slightest peace of mind. When new rice forms a floor and market momentum builds, trading is sparse and the price surges upward. As a result, both the buy and the sell become subject to correlated margin calls (連れ落 (*tsure-ochi*)), leaving no net gain. Moreover, the position must be carried for several months until the eleventh month, causing great hardship. On top of this, when the price surges sharply, one becomes anxious about a reversal on the sell side. When trades are in hand, one must maneuver (駈引 (*kakehiki*)) day and night without complacency, using the margin-call chart, and remain vigilant through the last day of the eleventh month.

COMMENTARY: This chapter speaks from the trading customs of the Sakata Rice Exchange (酒田米會所 (*Sakata Kome Kaisho*)). The point is this: suppose, for instance, rice is poised to rise ten tawara, and at a rise of only two or three tawara one sells back in order to lock in profit. This is a method born of ignorance of the margin-call (落引 (*ochibiki*)) rules. Under the customs of the Sakata Rice Exchange, settlement by forced closing was not conducted until the eleventh month. Therefore, during the interim, whether profit-taking or fresh positions, sells are counted as sells and buys as buys. If the market subsequently

rises above the price at which one took profit, the profit-taking position too becomes subject to margin calls—producing what is called a correlated margin call (連れ落 (*tsure-ochi*))—and for months on end one labors with little net gain. Accordingly, one should consult the margin-call chart in Lower Volume, Article 1, and maneuver without complacency. One would also do well to study the section on margin calls at the beginning of the volume.

Article 65: One Must Not Rush a Trade

第六十五章　商急ぐ可からざる事

One must not rush headlong into a trade. When one has formed a conviction and presses forward, whether buying or selling, it feels as though no opportunity will ever come again—but this is the mark of inexperience. Wait for months, consider the range-bound oscillation (通 (*kayoi*)), and initiate the position only at a reliable juncture. Positions opened recklessly, with no assessment of the ceiling price (天井直段 (*tenjō nedan*)) or floor price (底直段 (*soko nedan*)), end in failure. This is the consequence of haste.

COMMENTARY: This chapter is a variant text of Upper Volume, Article 1. Its meaning has already been explained there, and is therefore omitted here.

Article 66: Do Not Recommend Trades Even to Close Friends

第六十六章　心易き人にも賣買進め間敷事

No matter how close the friendship, one must never recommend trades to another person. Should the assessment prove wrong, one earns nothing but resentment. As a general rule, one ought never to debate whether the market will rise or fall. A person who truly understands this way (此道 (*kono michi*)) does not abandon his own judgment to trade on another's opinion—that is simply not done. Yet even a small stroke of luck emboldens people, and they grow eager to form opinions. This is the very first thing one must guard against.

Of course, when one has identified a reliable move in the market and speaks openly of it, urging others to act, they too become caught up in the excitement. The result is that a person who might have profited by two or three tawara ends up unable to profit by even one. If one has fixed upon a reliable position, one should trade without regard for others' opinions. Naturally, one should keep abreast of the times—gathering intelligence on crop conditions across the provinces (諸國作合 (*shokoku sakuai*)), good harvests and bad, the Kamigata (上方 (*Kamigata*)) market, and conditions in Kyushu. But one's own views must never, under any circumstances, be disclosed to others. This is the supreme secret (大極意 (*daiokui*)). One must be vigilant about this at all times.

Editor's note: Articles 67–84 are lost. Page 88 of the source is absent from the NDL scan (marked 欠, "lacking"). Only the table-of-contents entries for these eighteen articles survive; they are listed in the front matter of this edition.

Article 85: Historical Price Records: Sakata Rice Exchange, Meiwa 9 to Kansei 9

第八十五章　三年塞西へ廻る年の試し
並に明和九年より寛政九年迄直段酒田米相場

This section provides year-by-year Sakata rice market records, noting opening prices, monthly high and low marks, ceiling annotations, and calendar-system correspondences.

Editor's note: The OCR for these price tables is fragmentary and low-confidence throughout (most entries between 0.33 and 0.62). The structured records below represent a best-effort reconstruction from the OCR text, the manuscript image, and cross-referencing with the established era-year/zodiac calendar. Specific figures and annotations should be treated with caution.

Historical Price Records

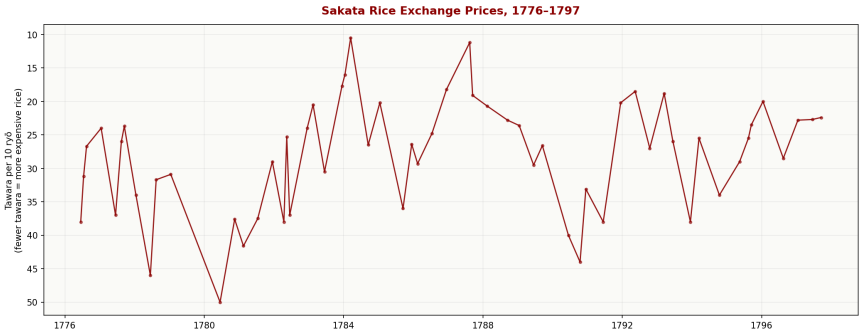

Figure 3.1: Sakata rice prices, An'ei 5 (1776) through Kansei 9 (1797), reconstructed from the records in Article 85. The mean-reverting character of the market is visible: prices oscillate within a bounded range, with each spike followed by a return toward the center.

An'ei 5, Year of the Monkey 安永五申年 (1776)

Year-block direction: west (塞午). First-stem month: 5th month (五月甲). Autumn harvest: six-tenths crop (六分作 (*rokubun-saku*)).

Opening
38 tawara

5th month (*kinoe*)
31 tawara, 2 bu

5th month
26 tawara, 7 bu — approximately 140-tawara rise

6th month
26 tawara, 7 bu — 41-tawara decline

12th month, 2nd day
24 tawara — *kanoto* ceiling, 140-tawara rise

An'ei 6, Year of the Rooster 安永六酉年 (1777)

Opening
37 tawara

6th month
26 tawara

7th month
23 tawara, 7 bu

Through 12th month
around 34 tawara

An'ei 7, Year of the Dog 安永七戌年 (1778)

Year-block direction: west (塞午). First-stem month: 11th month (十一月甲).

Opening
46 tawara

1st month
31 tawara, 7 bu — noted as "sign of a *kinoe* rise"

1st month onward
A dispute arose at the certificate office (札方へ申分出); 35 tawara, 5 bu. No settlement through the 10th month.

11th month (*kinoe*)
30 tawara, 9 bu — ceiling on a *fujōjunichi*, 151-tawara rise

Following year, Year of the Boar:

6th month
35 tawara, 5 bu — 46-tawara decline

An'ei 8, Year of the Boar 安永八亥年 (1779)

Year-block direction: west (塞西).

Opening
39 tawara to 44 tawara, 5 bu (range)

Note
A dispute arose at the certificate office; no trading.

An'ei 9, Year of the Rat 安永九子年 (1780)

Year-block: west, rotating to Rooster (寒酉). First-stem month: 7th month (七月甲).

This year's goods were plentiful; physical rice also at 50 tawara. New certificates also opened at 50 tawara.

9th month
37 tawara, 6 bu

Following year, Year of the Ox:

1st month
41 tawara, 6 bu

5th month
35 tawara, 9 bu — ceiling on a *hassen-kō*, 57-tawara rise

Tenmei 1, Year of the Ox 天明元丑年 (1781)

Year-block: west (塞酉). First-stem month: 5th month (五月甲).

5th month
37 tawara, 5 bu

10th month, 18th day
29 tawara — 188-tawara rise

Following year, Year of the Tiger:

3rd month
38 tawara

3rd month
25 tawara, 3 bu — *kinoe* ceiling on an ordinary day, cumulative 127-tawara rise

7th month
25 tawara, 3 bu

7th month
27 tawara, 7 bu — 24-tawara decline

Tenmei 2, Year of the Tiger 天明二寅年 (1782)

Year-block: Rat direction (塞子). First-stem month: 3rd month (三月甲).

Opening
37 tawara

10th month
24 tawara — ceiling on a *fujōjunichi*, 130-tawara rise

Following year, Year of the Rabbit:

1st month
20 tawara, 5 bu — *kinoe* ceiling, cumulative 33 tawara, 5 bu

Tenmei 3, Year of the Rabbit 天明三卯年 (1783)

Year-block: Rat direction (塞子). First-stem month: 1st month (正月甲).

Opening
30 tawara, 5 bu

10th month
17 tawara, 7 bu — from 17.5 tawara

12th month
16 tawara

Following year, Year of the Dragon:

1st month, 2nd day
12 tawara, 8 bu

1st month, 26th day
10 tawara, 5 bu — *hinoe* ceiling, 200-tawara rise

7th month
26 tawara, 5 bu — 160-tawara decline

Tenmei 4, Year of the Dragon 天明四辰年 (1784)

Year-block: blocked-Ox (塞子). First-stem month: 9th month (九月甲).

Opening
32 tawara, 5 bu

7th month (*kinoe*)
20 tawara, 2 bu

12th month
20 tawara, 2 bu — *hinoto* ceiling, 123-tawara rise

Tenmei 5, Year of the Snake 天明五巳年 (1785)

Year-block: blocked-Rabbit (塞卯). First-stem month: 7th month (七月甲).

7th month
36 tawara

10th month
26 tawara, 4 bu — *ushi*-day *hinoto* rise, 96-tawara rise

12th month
28 tawara, 8 bu

Following year, Year of the Horse:

1st month
29 tawara, 3 bu

5th month
24 tawara, 8 bu — *ushi*-day *kinoto* ceiling, total 116-tawara rise

6th month
24 tawara, 8 bu

Tenmei 6, Year of the Horse 天明六午年 (1786)

Year-block: blocked-Rabbit (塞卯). First-stem month: 5th month (五月甲).

Opening
30 tawara, 5 bu

Same month
18 tawara, 2 bu — 5-tawara rise

10th month
18 tawara, 2 bu

Following year, Year of the Sheep:

6th month
11 tawara, 2 bu — *fujōjitsu*-day *hinoto* ceiling, total 193-tawara rise

Same month
19 tawara, 1 bu — 79-tawara decline

Tenmei 7, Year of the Sheep 天明七未年 (1787)

Year-block: blocked-Rabbit (塞卯). First-stem month: 3rd month (三月甲).

Opening
27 tawara

Following year, Year of the Monkey:

1st month
20 tawara, 7 bu — *kinoe* ceiling, 63-tawara rise

7th/8th month
22 tawara, 8 bu

9th month
26 tawara

Tenmei 8, Year of the Monkey 天明八申年 (1788)

Year-block: blocked-Horse (塞午). First-stem month: 1st month (正月甲).

Opening
26 tawara

11th month
23 tawara, 6 bu — *ushi*-day *kinoe* ceiling, 24-tawara rise

Following year, Year of the Rooster:

6th month
40 tawara, 5 bu

Tenmei 9 / Kansei 1, Year of the Rooster 天明九酉年 (1789)

Era changed to Kansei (寛政と改元). Year-block: blocked-Horse (塞午). First-stem month: 11th month (十一月甲).

Opening
29 tawara, 5 bu

7th month
26 tawara, 6 bu

Note
The record breaks off here.

Kansei 2, Year of the Dog 寛政二戌年 (1790)

Year-block: blocked-Horse (塞午). First-stem month: 7th month (七月甲).

New opening
40 tawara

8th month
44 tawara

10th month
33 tawara, 1 bu — *kinoto* ceiling

Kansei 3, Year of the Boar 寛政三亥年 (1791)

Year-block: blocked-Rooster (塞酉). First-stem month: 5th month (五月甲).

Opening
38 tawara — from 27 tawara, 2 bu

10th month
20 tawara, 2 bu — *ten'ichi ten'jō*-day, 178-tawara rise

12th month
24 tawara

Following year, Year of the Rat:

3rd month, 16th day
18 tawara, 5 bu — 87-tawara decline

6th month
18 tawara, 9 bu — 81-tawara decline

8th month
27 tawara — rises again; 22 tawara

Kansei 4, Year of the Rat 寛政四子年 (1792)

Year-block: blocked-Rooster (塞酉). First-stem month: 3rd month (三月甲).

New opening
32 tawara, 9 bu

9th month
22 tawara, 4 bu — *ten'ichi ten'jō* rise

12th month
23 tawara, 3 bu

Following year, Year of the Ox:

1st month, 17th day
18 tawara, 8 bu — *kinoe* ceiling, total 148-tawara rise

Kansei 5, Year of the Ox 寛政五丑年 (1793)

Year-block: blocked-Rooster (塞酉). First-stem month: 1st month (正月甲).

New opening
26 tawara

Up to 10th month, 8th day
38 tawara

11th month
31 tawara

12th month
30 tawara, 2 bu

Following year, Year of the Tiger:

1st month
25 tawara, 5 bu — *ten'ichi ten'jō*-day *hinoe* ceiling, 125-tawara rise

6th month
29 tawara

8th month
34 tawara — 85-tawara decline

Kansei 6, Year of the Tiger 寛政六寅年 (1794)

Year-block: blocked-Rat (塞子). First-stem month: 9th month (九月甲).

New opening
32 tawara

8th month
28 tawara, 3 bu

Following year, Year of the Rabbit:

Through 3rd month
Consolidation (持合)

4th month onward
Around 29 tawara

6th/7th month
Around 25 tawara, 5 bu — *kinoe* ceiling, approximately 65-tawara rise

Kansei 7, Year of the Rabbit 寛政七卯年 (1795)

Year-block: blocked-Rat (塞子). First-stem month: 7th month (七月甲).

New opening
31 tawara

7th month, 23rd day
23 tawara, 5 bu — *ushi*-day *tsuchinoe* ceiling, 128-tawara rise

12th month
20 tawara

Following year, Year of the Dragon:

1st–3rd month
From 19 tawara, around 20 tawara

6th month, 22nd–23rd day
28 tawara, 5 bu — floor, 102-tawara decline

Thereafter
Rises again to around 23.5 tawara

Kansei 8, Year of the Dragon 寛政八辰年 (1796)

Year-block: blocked-Rat (塞子). First-stem month: 5th month (五月甲).

Opening
31 tawara, 4 bu

11th month, 16th day
22 tawara, 8 bu — *ushi*-day *kanoe*, 87-tawara rise

Following year, Year of the Snake:

4th month, 29th day
22 tawara, 7 bu — 36-tawara decline

7th month, 19th day
22 tawara, 4 bu — *ushi*-day *tsuchinoto* rise

Intercalary 7th month
Record ends.

> *Editor's note:* The foregoing records the price movements of the Sakata rice exchange. In the lower line, annotations such as "*kinoe* ceiling" (甲天井) or "*hinoe* ceiling" (丙天井) mean that the market reached its ceiling in a *kinoe*-month or a *hinoe*-month, respectively. The figures "rise of one hundred and some-odd tawara" (百何十俵上) that follow are stated per 100 ryō of capital.

End of the Lower Volume

宗久翁相場全集終